

What's News

Business & Finance

- ◆ **Paramount** was among the companies burned by higher interest rates when it completed a \$52 billion debt sale to help finance its acquisition of Warner Bros. Discovery. **B1, B3**
- ◆ **The big-budget** political satire “Digger,” in which Tom Cruise plays multiple roles, opened to an estimated \$8 million in the U.S. and Canada, disappointing its distributor, Warner Bros. **B3**
- ◆ **A mix of bond volatility** and French politics accelerated debt sales in Europe last week as investors expressed worries about potential fragility in the global financial system. **B1**
- ◆ **Novartis struck** a deal valued at up to \$7.8 billion to license a messenger RNA drug candidate from Abogen Biosciences and gain options over future therapies. **B2**
- ◆ **ON Semiconductor** will acquire Synaptics for cash rather than stock in a down-sized deal, according to their amended agreement. **B2**
- ◆ **Amazon.com** will help expand power generation at the Calvert Cliffs Clean Energy Center on Chesapeake Bay and explore the possibility of adding new reactors there. **B1**
- ◆ **Key members** of OPEC and its allies agreed to keep oil production steady in November, as security risks in the Middle East remain elevated. **B9**
- ◆ **The struggles** of some businesses to collect tariff refunds have revealed a gap between how the process has unfolded for the biggest payers and the smallest ones. **A1**

Worldwide

- ◆ **The son of Brazil's** imprisoned ex-president Bolsinaro finished ahead of the country's leftist leader and put Brazil's right within reach of taking back power in Latin America's largest nation. **A1**
- ◆ **The U.S. removed** all its B-1 bombers from the U.K.'s RAF Fairford air base, a decision made due to security concerns over suspected terror plots against the facility. **A1**
- ◆ **A new wave of attacks** on vessels around the Strait of Hormuz threatens a recovery in Middle Eastern oil exports just as Gulf producers have pushed crude shipments back toward prewar levels. **A1, B9**
- ◆ **Before Hamam** al-Hammami attacked the captain of FlyDubai Flight 1073 with an ax, there had been ample opportunity for authorities in three countries to keep him from getting anywhere near the cockpit. **A1, A10**
- ◆ **Trump expanded** his plan to provide benefits to voters, saying he would hand seniors \$90 and reiterating a promise to give \$5,000 to all adult Americans if Republicans win the midterms. **A4**
- ◆ **Japan lodged** a formal protest with the U.S. after police arrested a 20-year-old Marine on suspicion of robbery and murder following the death of a woman in Okinawa. **A7**
- ◆ **The Supreme Court** justices will open a new term with a range of tough cases that include climate change, gun control and the role of religion in public life. **A3**

JOURNAL REPORT

Investing Monthly: Five things I learned after hiring a financial adviser. **R1-8**

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Flávio Bolsonaro, a son of Brazil's imprisoned former President Jair Bolsonaro who is now running for the position, follows election returns in Brasília on Sunday. He held a surprisingly large 5-point lead over leftist leader Luiz Inácio Lula da Silva.

Bolsonaro Son Surges to a Lead In First Round of Brazil Election

By SAMANTHA PEARSON

SÃO PAULO—Flávio Bolsonaro dealt President Luiz Inácio Lula da Silva a bruising first-round defeat Sunday, finishing ahead of the leftist leader and putting Brazil's right within reach of taking back power in Latin America's largest nation. Flávio Bolsonaro, a 45-year-old senator and the eldest son of imprisoned former President Jair Bolsonaro, received 47.3% of votes, short of

the 50% needed for an outright victory, while da Silva got just 44.8% with 98% of the total counted late Sunday. Other right-wing candidates won at least 5%, leaving the 80-year-old incumbent fighting for his political survival ahead of the Oct. 25 runoff. The result—and major victories by conservatives in concurrent congressional and state elections—underscored the strength of right-wing sentiment in Brazil that none of

the major polls had managed to capture. On the eve of the vote, Datafolha had put Bolsonaro at 42% of the vote against 45% for da Silva. Brazil's right has gained ground in recent years, fueled by anger over violent street crime, the growing political clout of evangelical Christians and frustration among middle-class voters over taxes, spending and the left's stewardship of the economy “Brazil has had enough...this

is the end of the era of the Workers' Party,” Bolsonaro said in a speech after Sunday's vote. The Bolsonaro family scored a series of victories Sunday. Jair Bolsonaro's wife, Michelle, was elected to the Senate, as was another son, Carlos, while his youngest son, Jair Renan, and his brother, Renato, won seats in the lower house of Congress. Da Silva called the disap- Please turn to page A7

U.S. B-1 Bombers Moved From U.K.

The U.S. removed all of its B-1 bombers from the U.K.'s RAF Fairford air base, a decision made because of security concerns over suspected plots to attack the facility, American officials said Sunday.

By Shelby Holliday, Michael R. Gordon and Max Colchester

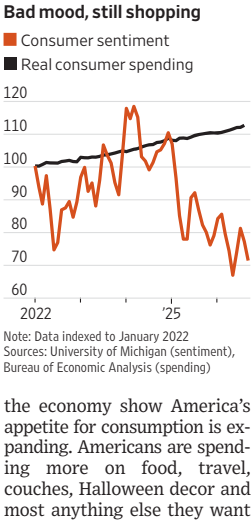
The decision represents a shift for the U.S. which has used the military base, northwest of London, as a hub for launching bomber strikes in Iran. Until their recent departure, a dozen B-1s had been stationed at the base. “While operational security precluded us from confirming the movement of our assets

and forces in real-time, we can acknowledge now that all U.S. bombers that were deployed to RAF Fairford have redeployed to their home stations in the United States,” the Pentagon said, adding that the U.S. bombers remain ready to carry out attacks from the U.S. The U.K. Ministry of Defense declined to comment. The decision follows the arrest of six suspects in connection with a suspected attack on the base that U.S. and British official said was foiled on Sept. 27. U.K. Prime Minister Andy Burnham said there were “strong indications” that Iran played a role in the incident, which was shrouded in mys- Please turn to page A6

Mighty U.S. Consumer Powers Through Inflation, Fuels Growth

By JEANNE WHALEN AND MATT GROSSMAN

CHICAGO—Happy hour at Chicago's Bar Roma was buzzing this past week as locals poured in for \$10 cocktails and \$11 bruschetta. Kathleen Harper and her husband would normally share a few appetizers, but tonight they were splurging on the \$50 tasting menu. “After a long day—I work from home—I like to just get out of the house,” said Harper, who sells fraud-protection services. “Business has been good,” she added, “because fraud, unfortunately, is up.” She worries about the overall health of the economy and rising prices for gas and groceries, but feels secure enough to enjoy a happy-hour deal. Decisions like that across



or need—pushing through inflation and their own gloomy feelings about the economy. The dollar amount spent by U.S. households rose by 6.1% in the 12 months through August, up from annual growth of 4.3% at the end of last year, the Commerce Department reported. Economic growth for the second quarter of 2026, the most recent data available, was revised upward this past week, fueled by consumer spending and business investment. “For all the talk about AI data centers, the main engine of growth for GDP in the United States has been broad-based consumer spending growth, which I think is tied to a broad-based, stable labor market,” Austan Goolsbee, head of the Chicago Fed, told Please turn to page A2

Brits Argue Over Who Gets to See An Old Embroidered Cloth

Arrival of the Bayeux Tapestry from France has sparked a class war in England

By JOE STONOR

LONDON—The Bayeux Tapestry, Britain's most hallowed piece of cloth, is back in England for the first time in about 1,000 years. So why is everybody so mad? Brits who want to see the 11th-century relic say they're being treated like Taylor Swift fans on Tick- etmaster while American tech billionaires, luxury hotel guests and museum sponsors get to skip the line. “That's not what this is all about. The Bayeux Tapestry should be for everyone,” said Sasha Mills, 25. The tapestry holds a partic-

ular position in British public consciousness. It tells, over 230 feet of finely embroidered cloth, the story of the last time England was conquered—the victory of William of Normandy at the Battle of Hastings in 1066. Since its creation by nuns in England, the tapestry has lived mostly in Bayeux, a medieval town in northern France. It has survived French revolutionaries who wanted to use it to cover a wagon and Nazi soldiers who tried to move it to Berlin. After seven years of diplomatic wrangling, England and France struck a deal to temporarily bring it to Please turn to page A12



Art appreciation

INSIDE



SPORTS

Major League Baseball playoffs to show if a salary cap is really necessary. **A14**



FASHION

Levi's enjoys a comeback as shoppers rediscover jeans with low rises, loose fits. **B1**

New Strait Attacks Threaten Oil Flows

DUBAI—A new wave of attacks on vessels around the Strait of Hormuz is threatening a recovery in Middle Eastern oil exports—just as Gulf producers have pushed crude shipments back toward prewar levels.

By Georgi Kantchev, Rebecca Feng and Shelby Holliday

The swift rebound in shipments in recent weeks has been driven by U.S. naval protection and earlier waves of strikes that knocked out Iranian radar and communications along the strait. The United Arab Emirates and other producers have set up an elaborate system of shuttle runs in which tankers load inside the Persian Gulf, exit Hormuz and transfer the crude to vessels waiting outside the waterway.

But following several days without reported attacks on ships toward the end of September, the U.K. Maritime Trade Operations, which is affiliated with the Royal Navy, has reported seven strikes on vessels around the waterway since Sept. 28. On Sunday, it reported another strike, but didn't specify when the incident happened. Iran's Islamic Revolutionary Guard Corps navy issued a warning to ships planning to use the U.S.-backed route through the strait on Saturday, saying they would be targeted and destroyed. “Don't trust U.S. Navy and don't use south corridor at all and don't put your life in danger,” a radio message transmitted on a public shipping channel and reviewed by The Wall Street Journal said. The renewed attacks may Please turn to page A6

Series of Missteps Put Pilot On Flight To Israel

Authorities in three countries missed chances to keep attacker from cockpit

DUBAI—Before Hamam al-Hammami stood behind his captain on FlyDubai Flight 1073 and raised an emergency ax to begin the assault that nearly brought down the plane, there had been ample opportunity for authorities in three countries to keep him from getting anywhere near that cockpit.

By Summer Said, Anat Peled, Benoit Faucon and Saleh al-Batati

Oman had scrutinized his online habits and decided he showed too much interest in radical ideology to trust as a pilot at state carrier Oman Air, where he worked. They banned him from flying, sent him to a deradicalization program and put him in a desk job but didn't flag their concerns more broadly, people familiar with the matter said. When FlyDubai hired him in February, it didn't contact Oman to vet his experience. The company did do a criminal-background check, a person familiar with the process said. The airline later put him on the sensitive route to Tel Aviv, where he flew multiple times, people familiar with the Please turn to page A10

◆ **Netanyahu embraces** FlyDubai passengers ... **A10**

U.S. NEWS

Diesel Prices Wearing Down Truckers

Economic cog shows strain as cost to fill up has nearly doubled from a year ago

By Rachel Wolfe

ORANGE, Texas—Across the 12 fuel lanes at the Flying J Travel Center off Interstate 10—where rigs carrying soft drinks, steel, Mexican produce and Mississippi-bound car parts rumble to a stop—the economics of trucking have broken down.

Diesel prices have been climbing most of the year, recently hitting a record national average retail price of \$6.53 a gallon, up nearly \$3 from the average a year ago. President Trump floated an export ban on diesel, but on Friday that threat seemed to fade after G-7 countries agreed to release 100 million barrels of oil from emergency stocks.

The moves were an acknowledgment that soaring diesel prices are the clearest sign of inflationary pressures from the U.S. conflict with Iran, with the effects rippling into the broader global economy. Nowhere is the impact more obvious than at the Flying J, just over the border from Louisiana at the crossroads of a U.S. consumer economy that runs on diesel.

On Thursday, diesel at the Flying J hovered around \$6.26 a gallon. Agron Berani pulled the pump out of his 18-wheeler loaded with steel and electrical supplies bound for Beaumont, Texas, and pointed to the screen with a groan:

\$944.44. A year ago in Texas, the same 151 gallons would have cost around \$500.

He took out his credit card, already loaded with around \$8,000 of debt, and swiped.

“We have to do what we have to do,” said Berani, who is 56 and lives in Yonkers, N.Y. “I can’t sell the truck. What am I going to do if I sell the truck?” He blames the price jump on Trump, whom he voted for in the last election, the first in which he could vote since becoming a U.S. citizen after immigrating from Kosovo.

Every idling minute was income lost: One driver sprinted from his truck into the concourse. Inside, nobody was lingering. Three rows of brown leather armchairs facing a TV tuned to the American Heroes Channel were unusually empty on this afternoon. The 14 showers went mostly unused.

“If my wheels ain’t turning, I ain’t earning,” said Kevin Smith, a 50-year-old driver who worries he’ll no longer be able to support his family.

Most independent truckers who operate job-to-job on the so-called spot market pay for their own costs, like fuel. To make up for high prices at the pump, drivers cut elsewhere. Out at the fuel bays, truckers spoke about cooking meals inside their cabs, sleeping where they unhooked their trailers to avoid overnight parking fees and waiting for rainstorms to clean their rigs rather than paying \$100 for a wash. Some were parking their trucks altogether.

Small operators, which dominate registered motor carrier companies, can’t keep up: More



Agron Berani's recent bill was nearly double from last year.

than a dozen have filed for bankruptcy in the past month, and the Owner-Operator Independent Drivers Association warns more will follow if fuel prices don't drop.

Smith was heading to a Louisiana Walmart distribution center to unload 37,000 pounds of potatoes. Driving from his home in nearby Lake Charles, La., to Colorado to pick up the produce and back had cost him over \$2,500 in fuel, including what he spent Thursday afternoon filling up at the Flying J. After paying \$1,800 a month on his truck loan and \$1,300 a month in insurance, his margins were tight on the job, which paid a

flat fee of \$4,600. “If I don’t move these potatoes, you don’t get your french fries,” Smith said. “But I can’t even afford to keep this running.”

Fuel surcharges protect some carriers from price shocks by ensuring that shippers pay more when fuel prices rise. But the severity of the increase caught the industry by surprise. “Nobody expected prices to ever get this high,” said American Trucking Associations chief economist Bob Costello. Independent drivers operating with thin cash reserves struggle to cover thousands of dollars in upfront fuel costs while waiting to be repaid.

U.S. WATCH

BALTIMORE
Girl, 12, Killed in Gunshots' Crossfire

A 12-year-old girl was killed when she was caught in the crossfire of gunshots between two men who apparently were arguing over a parking space in a Baltimore park where a youth football game was being played, police said.

Officers responded to Leon Day Park at 6:15 p.m. Saturday, where the girl and a woman were found with gunshot wounds. Two men also walked into area hospitals seeking treatment, Baltimore Police Commissioner Richard Worley said at a news conference.

The girl was pronounced dead at a hospital. Three adults suffered injuries that weren't life-threatening, Worley said.

He said police were seeking at least two suspects.

“Two grown men got into an argument, and now a 12-year-old is gone,” Baltimore Mayor Brandon Scott said at a news conference. “We never should have to say something like that. What happened out here today is one of the most disgusting things I've ever seen in my life.”

—Associated Press

IRS
Celebrities' Tax Files Improperly Viewed

Dozens of Internal Revenue Service employees improperly viewed the tax records of celebrities, government officials and business leaders from 2022 through 2025, according to an inspector general's report released on Friday.

Unauthorized access is illegal, even if employees don't disclose tax information outside the government, and it can be punished through criminal prosecution or employee discipline. The inspector general sent the cases to its investigation division for further review. The report warned that the IRS doesn't have effective ways to prevent employees from peeking at celebrities' tax records or detect that access after it happens.

The unauthorized access happened after the most damaging leak of taxpayer information in the agency's history, which had prompted a tightening of internal defenses. Charles Littlejohn, a former IRS contractor, provided tax records of President Trump and thousands of wealthy Americans to news organizations.

The extent of that breach became clear in June 2021 and the fact that it came from inside the IRS has been known since Littlejohn's arrest in September 2023. He is currently in federal prison and is scheduled to be released next year. Since the Littlejohn leak, IRS executives have said they have been tightening security controls.

—Richard Rubin

Consumers Are Still Buying

Continued from Page One

journalists after an economic forum this past week.

Hiring slowed last month, though the unemployment rate remains low.

Spending is rising because prices are climbing and because Americans are buying more stuff. Just over half the spending increase in the year through August owes to the persistent inflation that has frustrated many shoppers: Consumer prices were up by about 3.4% over that period. But inflation-adjusted spending climbed by 2.6%, too, extending a streak of steady growth over the past five years.

Supporting all that consumption is an economy that may frustrate Americans but is keeping spending habits afloat. The job market has cooled from the postpandemic surge, but remains sturdy, with unemployment hovering at low rates.

Meanwhile, many older Americans who own homes and stocks have benefited from soaring prices for both. A larger net worth might not mean a higher monthly income, but it has made many people comfortable spending more than they would otherwise.

Upbeat spending is particularly remarkable because it seems to contradict downbeat consumer sentiment. Long-running gauges of consumers' moods are running near historic lows, weighed down by high gasoline prices, subdued hiring and contentious politics. Lousy consumer moods once correlated with lower consumer spending, but since the Covid pandemic, sentiment has increasingly decoupled from spending and other economic indicators, economists say.

The University of Michigan's monthly sentiment index is just a hair above a record-low level it touched earlier this year. A similar survey, by research group The Conference Board, turned in its lowest reading in 12 years last month.

“The macro numbers look good...spending looks good. And no one is happy,” said Brian Fabel, senior fellow at the research group NORC at the University of Chicago.

Fabel attributed much of the spending to high earners, while Americans in the middle search for value and those at the bottom scrape to get by.

For the poor, “spending



Spending is rising because prices are climbing, but also because Americans are buying more products and services. Above, a crowd this summer at Casita Taqueria in St. Petersburg, Fla. Below, shopper Juliette Zielke talks recently with Richard Price, the owner of Alamo Shoes at the store on Clark Street in Chicago.

isn't actually a choice,” Fabel said. “You can’t not buy food. You can’t not buy housing.”

Down the street from Bar Roma at a high-end furniture store, retired lawyer Alice Withaar, 65 years old, was looking for a sofa, a coffee table and two side chairs.

“I’ve lived with my old stuff for a long time and it’s time for a refresh,” she said.

Rising prices bother Withaar. But her old sofa is threadbare, and she no longer has to worry about pets ruining her furniture, so she is ready for an upgrade.

“I don’t mean I have unlimited money,” she added. But she is able to spend “whatever it’s worth to me.”

A survey by the New York Fed suggests spending growth has been fairly even across income groups. People who earned less than \$50,000 said that their spending rose by 4.7% in the year through August, while those who made more than \$100,000 said their spending grew by 4.4%.

Wealthier Americans have a rosier outlook. Since May 2025, consumer sentiment has risen for people who own the most stocks, while it has fallen for those who don’t own any, said Joanne Hsu, director of the Michigan survey.

During that stretch, the S&P 500 stock index has handed investors a roughly 32% return.

Because spending is growing faster than disposable income, it might stall as people face the limits of what they



have in savings or want to borrow, said Gregory Daco, chief economist at EY-Parthenon.

Americans' saving rate has been trending down and is now at the historically low level of 4.1% of after-tax income, versus almost double that before the pandemic. Meanwhile, Americans are taking on record levels of debt. “People are using their savings, they’re using credit, they’re using wealth, and they’re trying to find different ways to finance their outlays,” Daco said. “But these alternative resources are finite.”

Liz Senator, 28, a civil engi-

neer from Atlanta, sees plenty of negative news and social-media posts about the economy, and some of her friends have struggled with long stretches of unemployment. But for her, costs have felt more manageable now that she is married and splitting more living expenses with her husband, a cybersecurity researcher.

Over nearly four years of full-time work since getting a master's degree, her salary has gradually climbed by about \$20,000, giving her a slightly more comfortable budget each year. Senator still tries to be

frugal. But when her husband's cousin was getting married in Hawaii this summer, the couple didn't hesitate to RSVP despite high airfares, and they didn't feel like they needed to cut back elsewhere to afford the trip.

By and large, consumer businesses are seeing solid demand for goods and services.

In the latest quarter, which ran through June, ticket sales at StubHub were up 34% from a year earlier, lifted by the crush of fans shopping for World Cup seats.

Other companies selling restaurant meals, furniture and vacations have posted more modest numbers, but say that customers, for the most part, aren't afraid to treat themselves.

When money feels tight, many people often cut back on extras such as casual meals out or streaming subscriptions, said Mark Mathews, chief economist at the National Retail Foundation. But recently, spending behavior doesn't reflect the gloom that many people say they feel.

“Consumers are spending their financial condition, not their psyche,” Mathews said.

In projections based on its credit-card data, Mastercard expects U.S. holiday shopping to rise 5.5% this year, which would be the fastest growth rate since 2022.

Rising prices would likely account for about half that increase, the card issuer said, with the rest coming from a higher volume of purchases.

The spending seems to contradict consumer sentiment.

CORRECTIONS & AMPLIFICATIONS

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U.S. NEWS

Texas Gains as Energy Firms Exit Oklahoma

Sooner State feels the sting of loss as oil-and-gas industry heads to Houston

By Benoît Morenne

OKLAHOMA CITY—An NBA basketball team. An Olympic rowing facility. The state's tallest skyscraper. All were lavished on this mid-American city by two oil-and-gas companies and their leaders over decades of investment to lure top talent.

Now, the partnership has run into a Texas-shaped wall. **Devon Energy** and **Expand Energy**—the successor of Chesapeake Energy—said in back-to-back announcements this year that they were moving headquarters to a more desirable location: Houston.

Just like that, Oklahoma City is losing its two largest public oil-and-gas companies, with market values of about \$52 billion and \$20 billion, respectively. The abrupt exits have frazzled some of the city's elder statesmen, chagrined politicians—and prompted some chief executives to make not-so-subtle digs at their former neighbors.

The companies have said they would maintain a large presence in Oklahoma City, but some officials fear that will dwindle over time.

“We should be asking why Oklahoma keeps building energy companies only to watch so many of them eventually move south,” said state Sen. Dusty Deever.

The corporate migration carries extra sting because the companies were by far the top corporate boosters in Oklahoma City. They erected sprawling campuses and up-scale strip malls—and even helped turn a moribund river into an Olympic water-sports venue. The drive from the airport to the city center is studded with signs celebrating the Oklahoma City Thunder, which won its first NBA championship two seasons ago.

The departures are the latest sign that a frenzy of oil-and-gas mergers is consolidating the energy industry in Houston. Devon announced its departure after agreeing to a deal to merge with Houston-based Coterra Energy. Chesapeake merged with Southwestern Energy, which was based in north Houston, two years ago and changed its name to Expand.

Oil giants ExxonMobil and Chevron both based in the Houston region, have acquired rivals once based in New York, Denver and Irving, Texas and centralized corporate functions in Houston.

“People don't understand that locating in Houston is like moving a film company to Hollywood,” said Oklahoma City Mayor David Holt.

Devon has said moving its top executives to Texas will create more opportunities for the company. A spokeswoman said its commitment to and presence in Oklahoma City hadn't changed, and the city remained a major operations center.

Expand has said relocating will allow it to be closer to other energy companies and customers. The size of its Oklahoma City workforce remains largely unchanged, and its operations team remains there.

Some business leaders note that Oklahoma City's reliance on the oil-and-gas industry as a growth engine has waned. The sector counts about 10,000 jobs in the region, down more than half from 2018, stemming in part from pandemic-era layoffs as oil prices crashed and natural-gas prices sagged.

Long gone are the days when fortune seekers plopped drilling rigs behind the state Capitol. The aerospace and healthcare industries are among the region's largest employers, with companies such as Boeing employing thousands of people.

The oil-and-gas industry still accounts for about 13% of the region's gross product, according to the Greater Oklahoma City Chamber. Devon has about 1,000 employees in Oklahoma

City and Expand about 500.

With the companies moving, Oklahoma is losing two Fortune 500 companies. The remaining three are pipeline companies Oneok and Williams, both based in Tulsa, and oil-and-gas producer Continental Resources, in Oklahoma City.

John Nichols, a former accountant, and his son Larry, a former law clerk to Supreme Court Chief Justice Earl Warren, founded Devon in 1971. They grew the middling family business into a producer active in New Mexico, Texas and Oklahoma. In 2002, Devon bought Texas operator Mitchell Energy, which mastered the technique of fracking shale rock to squeeze out fossil fuel. Devon combined the innovation with horizontal drilling—and helped unleash the shale revolution that turned the U.S. into the world's top producer of oil and natural gas.

Chesapeake took on ambitious projects of its own. Founded in 1989 by Aubrey McClendon and Tom Ward, Chesapeake became proficient at fracking for natural gas and in the 2000s grew at breakneck speed. It employed more than 11,000 in 2011, with roughly one-third in Oklahoma City, and McClendon said it received about 500 résumés a day.

Chesapeake was the primary funder of the first boathouse on a seven-mile stretch of river on the outskirts of downtown, and it supported developing a sports program to foster a rowing-and-paddling community. Today, the so-called Boathouse District is an Olympic training site that attracts Ivy League rowers. The canoe and kayak slalom paddle events for the 2028 Los Angeles Summer Olympics will take place at a white-water venue at the river complex.

McClendon died in a car crash a decade ago, but Mike Knopp, founder of Riversport Foundation, the nonprofit that operates the site, credits him with planting the seeds of the Olympic project.

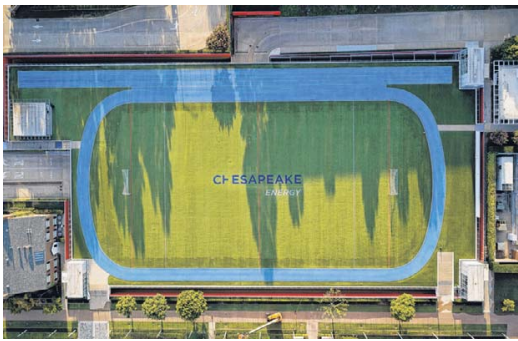
“He went along with that ride,” Knopp said. “He believed in the big idea.”



KATRINA WARD FOR WSJ (4)



From top, a working oil pump jack next to housing in Oklahoma City; Mike Knopp, founder of Riversport Foundation; Oklahoma City Mayor David Holt; and The former Chesapeake Energy campus, now the home of Expand Energy.



New White House Task Force to Report on AI Risks

By Alex Leary

WASHINGTON—A new White House task force will have 120 days to report on the risks and opportunities of artificial intelligence—and determine the federal government's responsibility—according to Jay Clayton, the director of national intelligence who effectively becomes the administration's AI czar.

“The president asked that a group be put together that was going to ensure exactly what he said,” Clayton said, that “we stay the leaders in superintelligence, and that the interests of the American people are put first.”

Clayton will chair the “Super Intelligence Force” which takes President Trump's preferred name for AI: super intelligence or SI.

“The risk of not being first is high,” Clayton said. “Not being first increases the iden-



Jay Clayton

TOM WILLIAMS/CO ROLL CALL/ZUMA PRESS

tified, and unidentified, risks, particularly from our adversaries. Being first will better enable us to address those risks on behalf of the American people,” he added.

Formation of the group comes on the heels of a meeting Trump convened at the White House on Tuesday in which AI leaders, including **OpenAI** President Greg Brock-

man, **Anthropic's** Dario Amodei, and **Nvidia** CEO Jensen Huang and the industry agreed to a series of principles including internal controls to monitor model development, external model reviews by third parties and notifications to the board of directors about those safety efforts, voluntary pledges that Trump hailed as the right approach.

“I will never stifle the growth of technology that will be bigger than the industrial revolution,” Trump said Tuesday.

The task force will still yield to the industry as the primary vehicle for managing risks, officials said. But it will work in conjunction with the industry to identify risk and opportunities.

“I expect there will be mechanisms developed in dialogue, just like there are in other industries,” Clayton told The Wall Street Journal. He

cited risk models for the financial industry that have been developed in conjunction with the Federal Reserve and Securities and Exchange Commission. He said the task force would examine current law and discuss possible actions that Congress could take.

The task force's charter document states it will “develop plans for responding to SI-enabled threats to our society, while preventing overregulation and regulatory capture that would stifle innovation and competition.” It will also review current warnings and systemized notifications to the government of breaches, hacks, jailbreaks and other issues, and “recommend ways to improve the government's response capacity under existing authorities.”

Formation of the task force follows rising public concern over AI, not just on its potential to wipe out jobs, but also

is ability to perform sophisticated hacks and its use as a weapon—or even wipe out civilization, as some industry researchers fear.

Trump has largely advocated for less regulation, but the task force represents a growing recognition that some government oversight will be necessary. Some inside the administration, including Treasury Secretary Scott Bessent and White House chief of staff Susie Wiles have pushed for more government action to address the technology's unpopularity and its potential for cyberattacks—in addition to the use of biological weapons enabled by AI advance.

That divide within the administration has hampered policymaking at times.

Skeptics have argued that self-regulation isn't adequate given that recent AI models from OpenAI, Anthropic and other companies have demon-

strated that they are improving at potentially alarming rates.

The task force will have three vice chairs: Emil Michael, undersecretary of defense for Research and Engineering, who will be responsible for coordination with AI companies; Scott Kapor, director of the Office of Personnel Management, who will be responsible for coordination with critical infrastructure providers and other industry stakeholders; and Andrew Ferguson, chairman of the Federal Trade Commission, who will oversee consumer interests and groups advocating for people of faith, children, privacy, freedom of speech, freedom of expression, and freedom of association.

“I feel very comfortable that we've gotten a group with a lot of experience, diverse skill sets and a common commitment,” Clayton said.

String of Politically Charged Cases to Open Supreme Court's New Term

By James Romoser

WASHINGTON—The nine justices of the Supreme Court open a new term Monday with a wide range of tough cases—and few friends.

President Trump has renewed his periodic attacks on the justices' integrity. Leading Democrats, eyeing the 2028 election, are embracing proposals to blunt the court's conservative bent by adding more members. Among the public, the court's approval rating is underwater. And there are signs of friction between the high court and the lower courts it supervises.

Amid these tensions, the justices are venturing into cases at the front lines of politics and culture. In the coming months, they will take up climate change, gun control, the role of religion in public life and the rights of parents whose children are transgender. They also will resolve the legality of two core pieces of Trump's deportation agenda.

Other charged cases, including a dispute over school displays of the Ten Commandments, are likely coming soon. And the court, which has already weighed in on litigation affecting the 2026 midterm elections, may be called on to referee further election-related disputes.

The high court's previous term revolved around Trump-related fights. The justices struck down the president's birth tariffs and his bid to end birthright citizenship, drawing ire from the president even as the court used temporary emergency rulings to greenlight many of his other policies.

So far, this term centers more on the sorts of traditional culture-war schisms that have defined the court's shift to the right over the past two decades.

On opening day Monday, the justices—minus Samuel Alito, who has recused—will consider whether local governments can sue oil companies for damages to their communities allegedly

caused by climate change. Dozens of such lawsuits are percolating around the country, threatening the energy industry with billions of dollars in potential liability.

The court in November and December will hear arguments on guns, religion and transgender minors. One case tests whether states and localities can ban AR-15s and similar semiautomatic guns — o r whether the Second Amendment gives people the right to own a weapon that the challengers describe as “the paradigmatic American rifle.” Another case asks whether Colorado can withhold public money from religious preschools that don't agree to accept children from LGBTQ households. A third case is about when parents have legal standing to challenge a state law that protects the

ability of transgender children to access gender-affirming care.

The justices will also soon decide whether to take up disputes over the rights of transgender prisoners to access medical care and a Texas law that requires the Ten Com-

The justices are venturing onto the front lines of politics and culture.

mandments to be posted in public school classrooms.

The court's new docket isn't entirely devoid of Trump, with two pending cases that will decide the fate of key presidential priorities on immigration. One is about the administration's mass detention, without bond, of people who are in deportation proceedings. The detention policy departs from prior administrations, and numerous judges have ruled that it violates federal immigration law.

The other case involves a common problem in deporta-

tion: The government wants to deport a person, but the person's home country won't take them back, or the person can't legally be sent there because of a strong risk that they will be tortured. The Trump administration has expanded a practice known as “third-country deportations,” sending people to countries where they have no ties—and where they sometimes end up in foreign prisons with few legal rights.

The court will weigh the legality of that effort in December. The detention case will be argued in early 2027.

The Nov. 3 midterms loom large for the court. A landmark 6-3 decision in April, which narrowed the scope of the Voting Rights Act, helped pave the way for red states to redraw congressional maps to add safe Republican seats. More recently, the court blocked Trump's plan to have the U.S. Postal Service screen mail ballots but allowed the use of a federal immigration database to check voters' citizenship.

The midterms will determine which party controls Congress during Trump's final two years, and some election experts are bracing for the possibility that the results of key Senate or House races will be contested. If that happens, the Supreme Court may have the final say.

If Democrats retake control of either chamber, they are all but certain to use their majority powers to increase oversight of the executive branch. The White House is unlikely to acquiesce to congressional subpoenas, sparking inter-branch squirmishes that will rush to the Supreme Court.

A lingering question is whether any justices will retire. The court's two oldest justices—Clarence Thomas, 78, and Alito, 76—are also its two most conservative members.

But people close to the court expect Thomas to stay through the spring of 2028, when he would break the record for the longest-serving justice. And Alito has said he isn't stepping down this term.

U.S. NEWS

Donalds Sets a Florida Balancing Act

A GOP star seeking governor’s office cautiously keeps president in the fold

By ALEX LEARY

MIAMI BEACH, Fla.—Rep. Byron Donalds had a problem. President Trump had learned the campaign of the man he had endorsed to become Florida’s next governor had scrubbed prominent mentions of him from Donalds’s website. To calm Trump down, aides showed him a tweet where Donalds minimized the change and appeared beaming alongside the president inside the Oval Office, people familiar with the events said. That satisfied Trump, who went on to warn that Donalds risked losing if he dropped him.

The incident last month shows the conundrum facing Republicans. A worsening environment for the GOP is tightening midterm races across the country and prompting a number of Republicans to distance themselves from the president.

Yet doing so risks alienating Trump. That is partly why Donalds, after gingerly tiptoeing away from his kingmaker in recent weeks, made plans to appear in Florida with Trump in the final stretch of a race that is become uncomfortably competitive for the GOP.

In Florida, a 1.67 million-person population surge since the pandemic has helped drive inflation above the national average in some places. The threat of job losses due to artificial intelligence, the inaccessibility of the housing market and the high price of gas, groceries and healthcare have some voters wanting a new party to take control of the state Trump and Gov. Ron DeSantis transformed into a Republican stronghold. In South Florida, Trump’s immigration crackdown has triggered backlash from Hispanics.

That helps explain why Donalds didn’t mention Trump in his primary victory speech, and why he has countered Trump to say AI should be regulated by states. It is why he voiced concern about Trump’s pledge to give every adult \$5,000 if Republicans win the midterms. And it is why Donalds has started to emphasize another endorsement—that of term-limited DeSantis, who is more popular than Trump in Florida.

In strategic conversations, campaign advisers talked about creating a modest amount of space between Donalds and Trump after his primary to reach more general election voters, said people familiar with the discussions—but not enough distance to alienate the president.

Despite the tightening of the race, the 47-year-old three-term congressman is still expected to win, catapulting him



TINA RUSSELL FOR WSJ (3)

into a top tier of power brokers who will help determine the party’s direction once Trump leaves office. Donors have funneled more than \$130 million into Donalds’s race—and are looking to him to grow the state as a hub for finance and technology as well as expand school choice. Some allies are already talking him up as a future presidential contender.

He would be Florida’s first Black governor and follow just three other Black governors elected since Reconstruction.

Trump considered Donalds for his vice presidential pick in 2024, resides in his backyard at Mar-a-Lago and calls him about once a month to talk. Trump is the rare person that prompts Donalds to interrupt family gatherings around the fire pit at his Naples home to answer his phone. He assigned the president a custom ringtone so he would never miss his call. “He’s paying attention to everything,” Donalds said of Trump.

Donalds’s strategy to win the governor’s race is to campaign on his transformation from cash-strapped Brooklyn transplant who had scrapes with the law into a business school graduate who clawed his way up the political ladder. Raised by a single mother, Donalds came to Florida on a Greyhound bus, donated plasma for money and waited on tables at a Cracker Barrel.

Growing up with two sisters in Crown Heights, Brooklyn, Donalds was surrounded by the trappings of the inner city. His mother, a coordinator in a hospital, sought scholarships so he could attend private school.

Not long after arriving in Florida, Donalds was arrested at age 18 on a misdemeanor marijuana charge and, at 20, was arrested on a felony bribery charge, the details of which have been expunged with the record. His mom wanted him to come home, but he stayed in Florida, where he says his life



From top, Florida gubernatorial candidate Byron Donalds with his wife, Erika, and their children after the GOP primary victory; a campaign supporter; and Donalds at a recent event.

took another turn in 2001.

When a group of women who attended a church revival showed up at the Cracker Barrel where he worked, Donalds says, he heard an internal voice telling him to stop running from God. He recalled following

them outside, where he says the women prayed over him. “I gave my life to Christ in that parking lot,” he said. Donalds’s first wife, Bisa Hall, has cast doubt on the story.

After graduating from Florida State University, Byron fol-

lowed his now-wife, Erika Donalds, to Naples, where he got a job as a bank teller.

Donalds was a Democrat but his political views were shifting, driven by the financial crisis of 2008.

After a failed run for Congress in 2012, Donalds was elected to the state House, where he passed legislation expanding school choice. That overlapped with a career his wife launched around charter schools, which drew criticism about conflicts of interest.

Donalds was an early Trump opponent, writing on social media in 2011. But as Trump overtook the party, Donalds embraced him along with his Republican counterparts. By the time Donalds ran for Congress in 2020, he described himself as a “Trump-supporting, gun-owning, liberty-loving, pro-life, politically incorrect Black man.”

After winning, he sought membership in the largely Democratic Congressional Black Caucus, but was rejected after voting against legislation to crack down on police misconduct and refusing to certify President Biden’s 2020 victory. Donalds cemented his relationship with Trump when he snubbed DeSantis to endorse Trump in the 2024 primary and became one of Trump’s most visible campaign trail surrogates.

David Jolly, his Democratic opponent, said he wants the state to keep attracting new residents. “But we can’t become the Hamptons,” he said. “Because that’s what is happening right now. There is a loss of hope.”

That tension was evident on Labor Day, when Donalds worked the crowd at a Florida State football tailgate. All around him were students who face an uncertain job market and high cost of living in a state once known as a beacon of affordability. “The economy is really shifting under our feet,” Donalds said.

Trump Expands Pay Plan For Voters

By MARIANNE LEVINE

WASHINGTON—President Trump is expanding his plan on promising financial benefits to voters, announcing he plans to provide \$90 to seniors and reiterating his promise to give \$5,000 checks to all adult Americans, if Republicans win the midterm elections.

In a Truth Social post Friday night, Trump said the latest payment would go out to “over 20 MILLION wonderful Seniors to help pay for their Medicare Part B premiums.” A fact sheet released Saturday by the Centers for Medicare and Medicaid Services says that the money will come from the Medicare Improvement Fund, a pool of money that Congress set up to help pay for improvements to Medicare, a federal health insurance program for people age 65 or older and younger people with disabilities. Most eligible beneficiaries will receive the money on or around Oct. 8, 2026, as a direct deposit, the fact sheet said.

The \$5,000 pledge, announced during the Republican midterm convention in September, is expected to face hurdles in Congress and risks adding to inflation. There are roughly 270 million Americans ages 18 and above, and most are citizens. Sending \$5,000 to each of them would likely cost well over \$1 trillion, The Journal has reported.

The announcements are the latest in a series of financial promises the president has made in the lead-up to the midterm elections. The Trump administration has started to send \$500 checks to nearly one million people, saying the payments would go to people who paid what it called excessive fees under the Affordable Care Act. Trump has also recently touted a \$1,776 “warrior dividend” check for active-service duty members.

Republicans are facing headwinds, as they head into the midterm elections. A recent Wall Street Journal poll found voters have soured on the president, with just 37% of Americans approving of the job that Trump is doing, the lowest approval rating of any president headed into the midterms in Journal polls dating to 1990.

Trump’s latest announcement prompted criticism from Sen. Ron Wyden (D., Ore.), the top Democrat on the Senate Finance Committee, who called it “another desperate attempt by a failed president to escape Americans’ revulsion with his failed agenda, amounting to one tank of Trump-inflated gas.”

Small Firms’ Tariff Refunds Slow Going

By ESTHER FUNG

When the Supreme Court struck down some of President Trump’s tariffs in February, Asher Rapkin was so happy he jumped up and down in his kitchen with his children.

But the owner of a California watch retailer has spent a frustrating nine months trying to get his \$164,000 back. He blames FedEx.

Rapkin says he submitted his paperwork in March but his business—Collective Horology—didn’t receive any money until September. The \$59,200 wire transfer came without any explanation about which transactions were refunded.

“It’s a process that’s deeply flawed,” Rapkin said. When the tables were turned, he said, FedEx demands payments within a few weeks and threatens to close his business accounts. “It’s ironic given how much they pursue payments from us,” he said.

FedEx says it is focusing on precision and regulatory compliance and has released hundreds of millions of dollars already. But the company needs to check each claim, verify millions of entries, and match them with corresponding data from the U.S. government. Once customers have submitted accurate and complete information, FedEx says it can disburse refunds within 30 days.



Collective Horology co-founders Asher Rapkin and Gabe Reill.

The company is the “importer of record” for thousands of small businesses. FedEx said it was the importer of 43% of the 53 million tariff entries collected by the government. In June, the company said that it had received \$800 million in refunds that belong to its customers and that it would start disbursing the funds in August.

The government had to refund \$166 billion in tariffs collected in the year that they were in place.

The struggle customers face at FedEx and rivals like DHL Express and United Parcel Service shows the gap between how the refund process has unfolded for the biggest tariff payers and the smallest ones. Large importers including Walmart and Apple serve as their own “importers of record” for many of their prod-

ucts—and those two retailers have received \$2.9 billion and \$2.2 billion back from the U.S., respectively.

But smaller businesses that often pay tariffs through FedEx, DHL and UPS have had to wait longer to put the funds back into payroll, inventory and capital expenses.

Derek Swanson, who imports and resells kitchen knives from Japan, paid tariffs on shipments through UPS, FedEx and DHL. In August, he received around \$6,000 in refunds from UPS, refunded to the same credit card used to pay the tariffs. “No action was required on my behalf,” said Swanson. “That’s not the case for the other two.”

Swanson said FedEx and DHL had made the process “unduly difficult,” adding that he estimates he is still owed around \$5,000 from FedEx and \$9,000

from DHL.

At those two package carriers, he said, there were more administrative hoops to jump through.

Swanson had to dig up several documents to kick-start his refund claims at DHL and FedEx, register with U.S. Customs and Border Protection and provide his account number at a business-intelligence firm that analyzes the creditworthiness of companies. None of that was required last year when he paid the tariffs, he said.

“My sense is that the process was designed to discourage small businesses from seeking refunds,” said Swanson.

He plans to use the funds to hire back some part-time sales positions.

DHL said it proactively filed refund claims for all shipments where DHL acted as the importer of record. The company added that around 92% of eligible customer refunds have been returned to customers as of mid-September.

FedEx said it has improved its web portal so customers can more easily submit and track multiple submissions within their accounts. In the future, it will also implement features that allow customers to update or edit their submissions.

The refunds include interest, which is taxable, requiring FedEx to collect information like Social Security numbers or employer identification numbers for tax forms, the company says.

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U.S. NEWS

Lethal Injection Drugs Draw Scrutiny

States’ methods to obtain supplies create a risk of uneven procedures

By Lizzy Lawrence
and Alex Janin

Tennessee’s failed execution of Christa Pike last week has resulted in fresh scrutiny of the shaky and secretive supply chain for lethal injection drugs.

Pharmaceutical companies no longer provide drugs for executions. So U.S. states have turned to loosely or even unregulated sources for supplies, which experts say make lethal injections less reliable.

Pike, who was sentenced to death in 1996 for the murder of Colleen Slemmer, got two doses of pentobarbital, a sedative that at least 17 states use for capital punishment.

Officials had to call Pike’s procedure off and send her to a hospital because she was still alive after the injections. As of Thursday, Pike’s attorneys said she is unconscious and on a ventilator.

The Tennessee Department of Correction said they followed established protocol and the drug has consistently been effective. The department declined to answer questions about where the drug was sourced. On Saturday, the department’s commissioner, Frank Strada, said he will leave the position this month.

It is the second failed execution attempt in Tennessee this year. In the attempted lethal injection of a different inmate in May, a medical professional failed to establish the IV correctly. The provider said in a deposition last year that he hadn’t done a procedure like that in over a decade and didn’t have hospital privileges.

Medical groups condemn lethal injections so the people administering the drugs often have limited medical qualifications, experts said.

Lethal injections date to the late 1970s. The goal was to offer convicted criminals a quicker and more painless death than the electric chair or hanging. Oklahoma introduced the practice in 1977, and other states followed. Capital punishment is legal in 27 states and injections are the most common form of execution.

Looking for a way to halt the death penalty, anti-capital-punishment activists have pressured pharmaceutical companies over the years to place restrictions on their drugs for this use.

Despite these restrictions, pharmaceutical companies have still found their drugs being used in some executions and have sued states as a result. Alvogen sued Nevada in 2018 for using its sedative midazolam to carry out executions, prompting Nevada to return its unused supply. Fresenius Kabi sued Nebraska the same year for obtaining its medicines, including potassium chloride, for a planned execution. A judge allowed the execution to go forward.

Some states have since turned to compounding pharmacies, which make customized, non-FDA-approved versions of prescription medicines. Compounded drugs aren’t subject to the same review for safety, effectiveness and quality as approved pharmaceuticals.

States often buy a powdered form of pentobarbital in bulk directly from domestic or overseas suppliers, which compounding pharmacies turn into injectable solutions, according to a 2025 review of execution protocols from the Justice Department. One court filing says Tennessee spent more than \$1 million on pentobarbital for executions over two years, though it didn’t name the suppliers.

States often pay cash for drugs to use in executions, making it harder to trace the supply chain, said Deborah Denno, a Fordham University law professor who has studied lethal injection for 33 years. Corrections departments may buy them from compounders, or even each other.

For years, states used the anesthetic sodium thiopental for lethal injections. But Hospira, a manufacturer later bought by Pfizer, halted production of that drug due to raw-material issues in 2010. Activists capitalized on the moment to target

other drug companies whose products were used in executions as part of an effort to end the death penalty.

Initially states used a three-drug protocol for lethal injections: one to cause unconsciousness, another to stop a person’s breathing, and a third to stop their heart. Now, because of supply issues with these drugs, some just use pentobarbital. Nine inmates in Tennessee sued the state, saying its lethal injection protocol causes “a high risk of torturous death,” in reference to pentobarbital.

A Justice Department review highlighted concerns about the drug being linked to a condition

which causes fluid to rapidly fill the lungs, leading recipients to feel like they are suffocating or drowning.

In legal filings before her execution date, Pike’s attorneys argued that because of a blood disorder, using pentobarbital exacerbated her risk of developing the condition. “The sensation of pulmonary edema will be like ‘drowning in one’s own blood,’ ” her lawyers wrote.

The federal government adopted pentobarbital for executions during President Trump’s first term. The Biden administration issued a federal moratorium on capital punishment in

2021. The second Trump administration reinstated the practice and in April, said it would allow pentobarbital and executions by firing squad.

Tennessee hasn’t given a reason as to why Pike’s injections were ineffective, but the governor paused executions for the rest of this year and ordered an independent review.

Some states are revisiting alternative methods for execution. Idaho, Mississippi, Oklahoma, South Carolina and Utah permit executions by firing squad in certain circumstances. Alabama, Arkansas, Mississippi, Oklahoma and Louisiana allow executions by nitrogen gas.



Tennessee Department of Correction Commissioner Frank Strada will leave the position this month.

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WORLD NEWS

Latest Battlefield Essential: Smartphones

Drills in Indonesia offer a preview of the military's high-tech future

By Mike Cherney

BATURAJA, Indonesia—Marching down a dusty trail lined with elephant grass, First Lt. Diego Gonzalez was geared up for modern battle.

Strapped to his chest was a smartphone showing the real-time locations of him and his unit. The soldiers carried Wi-Fi-capable radios that linked together to form a mobile network, converting their voices into digital signals so they could communicate through headsets much like on a Zoom call. Earlier, the troops had flown a drone over the area to get a better look at the terrain.

But as troops in Gonzalez's unit sprinted past razor wire to breach an enemy trench, he had a problem. As bullets whizzed nearby, his commander couldn't hear him on the radio. Gonzalez restarted his device and, until it booted up again, relied on nearby troops to relay his messages up the chain.

The outage occurred "right as we were going through the breach, which is a pretty crucial time," said Capt. Johnathon Muraski, Gonzalez's commander in the U.S. Army live-fire drill on the Indonesian island of Sumatra. "If I'm not hearing from him, maybe he went down or



A U.S. Army soldier uses an NGC2 device during an exercise in South Sumatra, Indonesia.

something."

The gear Gonzalez and his troops used that day is one small part of a gargantuan effort by the Army to bring its battlefield command and control into the modern era. The program, called Next Generation Command and Control, or NGC2, was designed to give troops the latest communication, mapping and artificial intelligence tools coming out of Silicon Valley.

In Indonesia, soldiers had their first opportunity to test a complete gear package in hot, humid jungle conditions similar to terrain they could encounter if there is a conflict

with China over Taiwan or elsewhere in the Pacific.

Army leaders have said NGC2 is crucial in an age of cheap drones and precision missiles, which make large, static formations of troops and equipment easy targets.

The aim is to allow units to communicate reliably while spread out and on the move and give commanders an instant, real-time view of the battlefield so they can make decisions quickly and hit targets faster.

More than 80 companies are contributing technology to NGC2, ranging from satellite internet terminals installed on

armored vehicles to the behind-the-scenes data layer needed to allow previously separate weapons systems and sensors to share information seamlessly.

The technology promises to cut the time between a forward-deployed infantry unit spotting a target and an artillery unit in the rear being ready to fire on it from hours to minutes, Army officials and defense contractors say.

But rolling out NGC2 across the Army, which has about 450,000 active-duty troops, is technically challenging and, according to Army officials, will take until 2032.

There have been concerns among some analysts and officials in Washington about the speed and cost of the program. In August, the Government Accountability Office, the non-partisan congressional watchdog, said the Army hadn't developed a detailed schedule that identifies which units will get the new capabilities and when. It also said the Army had limited visibility into long-term costs of the program.

In a response, the Army said it had since developed detailed plans on how and when it will roll out NGC2, as well as projected costs.

But it didn't provide a specific dollar number for the full program. In its budget request for the 2027 fiscal year, the Army is asking for about \$3.8 billion for NGC2, according to Army officials.

John Ferrari, a retired Army major general who is now with the American Enterprise Institute think tank, said it would be better if the Army could move faster and with more money.

"Six years is forever in tech world," he said.

Some defense contractors involved in NGC2 said the Army has moved relatively quickly, reflecting an urgency to adapt as drones in Ukraine and the Middle East rapidly reshape modern warfare. Initial testing for the NGC2 concept began in 2024, and officials say the Army is now starting to scale the technology across the force.

Dan Driscoll, who until re-

cently served as Army secretary, has cited Ukraine's success in developing its own command and control system optimized for drone warfare. "It fully integrates every single drone, every sensor and every shooting platform into just one single network," he told a congressional committee earlier this year. "Ours does not," he added, an apparent reference to the Army's pre-NGC2 systems.

At the trench assault in Indonesia, soldiers said their Stryker armored vehicle had been outfitted with a Starshield terminal—SpaceX's military version of its Starlink satellite internet service—just days before departing for the drills.

The satellite connectivity keeps the unit in touch with rear command posts via the cloud. From miles away, a commander in the rear tracking the assault can view the exact same battlefield map with real-time location data as the troops in the field.

Brig. Gen. Ed Matthaidess, the overall Army forces commander for the exercise, said main U.S. command posts used to be 250-to-300-person tent structures that took hours to set up and relied on trailer-sized satellite dishes with slow connections.

"I'm never going to have as many missiles as China. I'm never going to have as many people as China," he said. "But if I can find the targets that matter faster...I can make every shot count that much more."

Attacks Threaten Oil Flows

Continued from Page One

already be taking a toll, with early signs that oil flows are beginning to slow, some analysts said. Firm data comes with a lag, because many ships are operating without their transponders switched on to avoid becoming targets.

All seven vessels were attacked near the narrowest part of the strait, UKMTO said.

Iran's ability to target ships has also improved in recent weeks, adding to the risks in the strait, a U.S. official said.

The U.S. several weeks ago said it would strike Iranian oil tankers in response to Tehran's attacks, but it has since backed off that effort after Iran unleashed a wave of missiles at a U.S. air base in Jordan, the official said.

The new strikes expose the fragility of the recovery in oil flows and come as President Trump, who has claimed full U.S. control over Hormuz,

weighs renewed military action against Iran.

A new blow

Any fresh disruption would hit a global economy already grappling with high energy prices and rising borrowing costs. International benchmark oil prices remain around \$100 a barrel despite recovering exports, reflecting fears that renewed attacks could again curb flows and keep freight and security costs elevated.

"The step-up in attacks on ships highlights how the current equilibrium in the oil market is fragile and could easily be shattered," said Hamad Hussain, a senior economist at Capital Economics. "This would especially be the case if there is further escalation and energy infrastructure is targeted."

Brent, the international oil benchmark, settled on Friday at \$102.25 a barrel, up nearly 5% for the week.

Hussain said traders were pricing in a substantial risk that flows would fall again. Capital Economics expects Brent to remain around \$100 through the end of the year.

Among the seven vessels



A motorboat passes an anchored ship in the Strait of Hormuz.

attacked in the past week, at least four had completed two or more round trips in and out of the strait since June, carrying crude oil or oil products, according to ship tracker Kpler.

Al Funtas, a so-called very large crude carrier operated by Kuwait Oil Tanker Company, was completing its fifth shuttle run between the Port of Mina Al-Ahmadi in Kuwait and ports in the Gulf of Oman when it was attacked on Sept. 28, according to Kpler. Kazimah III, another VLCC operated by KOTC, had carried out three shuttle runs and was on

its way into the Persian Gulf when it was hit on Oct. 1.

Ships of that size can carry as many as two million barrels of oil at a time.

Since the U.S. and Israeli strikes that began the war in February, Iran has used attacks on ships to throttle shipping through Hormuz, once the thoroughfare for a fifth of the world's oil. That has driven up the price of gasoline and diesel for consumers around the world and has forced Saudi Arabia and the U.A.E. to divert exports around the strait through by-pass pipelines.

Kpler said regional crude exports excluding Iran averaged at least 16.5 million barrels a day from Sept. 1 through Sept. 28, close to pre-war levels.

Recovery slows

But there are signs Iran's recent attacks may already be starting to slow that recovery. Rory Johnston, founder of the oil-research firm Commodity Context, said he has seen a potential pullback in recent days and estimates that flows are down by two million to three million barrels a day, though those initial totals could be revised higher as better information becomes available.

"The recent pace of flows, while impressive, has never been sustainable and has already come at great expense," Johnston said.

Part of the surge may reflect exporters rushing barrels out before a feared new escalation, he said.

Gulf oil producers are shell-ing out between \$30 million and \$40 million for a round-trip shuttle run in and out of Hormuz—or \$15 to \$20 a barrel, according to ship brokers, before insurance costs.

Saudi Arabia had shifted exports back through Hormuz after a Sept. 10 attack on its East-West pipeline and attacks on its ships by Yemen's Houthi militants interrupted Red Sea shipments.

The pipeline remains below capacity, but renewed loading at the Yanbu port on the Red Sea could help offset another Hormuz slowdown, Capital Economics' Hussain said.

Standard Chartered estimates that total Saudi exports rebounded to 6.9 million barrels a day in September from 2.45 million in August.

But restored volumes don't mean a return to normal.

In September, most of the crude that crossed the strait went via tankers transferring their oil to ships waiting off the coast of the U.A.E. and Oman, according to Kpler.

The costs of such shuttle runs and military-protected convoys may not be sustainable, wrote Kim Fustier, senior global oil and gas analyst at HSBC.

Meanwhile, margins for diesel and other refined products remain high.

"All of this suggests that Middle East exports—at least for crude—are rising, but at enormous cost," Fustier wrote.

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Bombers Pulled Out Of U.K.

Continued from Page One

tery after the U.K. released the suspects on bail but continued to investigate the situation.

U.S. officials were aware of an Iran-linked plot to attack the bomber aircraft and kill personnel at the base, The Wall Street Journal has reported.

A branch of the Islamic Revolutionary Guard Corps had recruited U.K. nationals to carry out the plot, which involved multiple steps including a diversion in the neighborhood nearby, a senior U.S. official said.

In the U.K., authorities are still trying to piece together what happened, and some U.K. officials question the level of sophistication of the planned attack.

President Trump has previously said the arrested men intended to do serious damage to the base and had been under investigation. He questioned the U.K.'s decision to release the suspects on bail, saying, "I would not have released them."

Five of the men traveled to Fairford on Sept. 27 in three white vans, which British police said contained no explosives but did hold quantities

The U.S. had stationed a dozen B-1 bombers at the U.K.'s RAF Fairford air base until recently.

of fuel. The men were arrested after one in the group called the police to alert them to the plot. A sixth man, a dual U.K.-Iranian citizen, was arrested days later on suspicion of plotting a terrorist act but was also released on bail.

With its long runway, the Fairford base was used extensively by the U.S. to launch B-1 and B-52 attacks against Iran. The base was important for U.S. air operations as it shrunk the distance U.S. bombers would need to fly compared with flights from the continental U.S.

As the war dragged on, the B-52s left and some B-1s re-

turned to the U.S., but a dozen B-1s still remained.

The U.S. presence at Fairford is politically controversial in the U.K. The U.K. government initially refused to let the Trump administration launch sorties from the base against Iran, but later relented on the stipulation that it would be used for "defensive" missions after Iranian attacks on British allies and interests in the Gulf.

After the suspected foiled attack, U.K. defense officials have said more should be done to upgrade the protection around its military bases, in particular from drone at-

tacks. The U.S. also stations F-35 and F-15E fighters at RAF Lakenheath, in eastern England and security-alert levels have been raised at that base. The U.S. also stationed refueling tankers at RAF Mildenhall, which is near the Lakenheath base.

Flight trackers observed B-1 bombers leaving from the RAF Fairford base this week-end.

Iran has denied it was behind a plot to attack RAF Fairford. The IIRGC warned in July that any British bases the U.S. used to attack Iran would be a "legitimate target for our forces."

WORLD NEWS

African Refinery Plan Sparks a Backlash

Proposed Kenya oil hub promises jobs, energy security amid environmental worry

For seven centuries, the low-slung shoreline of Lamu Old Town, set against the turquoise waters of Kenya's coast, has attracted traders and speculators alike.

By Caroline Kimeu in Lamu, Kenya and Alexandra Wexler in Johannesburg

But few have wanted to stamp their imprint on its mangrove-lined seaboard as definitively as Africa's richest man, Nigerian oil magnate Aliko Dangote.

The billionaire is laying the groundwork for a giant refinery across the bay from the 700-year-old Swahili trading port, which the United Nations has designated a global treasure on this pristine portion of Indian Ocean coast.

The plans set up a clash between Dangote and economically minded Kenyan officials who support the project and the jobs it promises, and tourism operators and environmentalists worried about the potential impact on Lamu and neighboring islands, as well as the character of a remote site that has proven remarkably resistant to change.

Dangote Industries has started soil tests and is ordering equipment for the refinery, group vice president Devakumar V.G. Edwin said. "We want to do it on a fast-track basis," he said.

In late September, a Kenyan court ordered a pause to construction after more than 100 Lamu residents sued alleging that the refinery threatened ancestral land where they had farmed and buried their families for generations.

Kenyan officials say the \$15 billion project would boost energy security and reduce East Africa's reliance on refined-fuel imports from the Gulf. It would also create 60,000 jobs across construction and operations, they say. The Kenyan government has acquired an equity stake in the project, which has strong political backing, bolstered by the fall-out of the U.S.-Iran war on international energy markets.

The U.N. describes Lamu Old Town, designated as a World Heritage site, as "the oldest and best-preserved Swahili settlement in East Af-



Critics say oil magnate Aliko Dangote's plan for a giant refinery is threatening Lamu Island, a U.N.-designated global treasure.

rica." Its narrow, labyrinthine streets are lined with stone buildings that blend Swahili, Arabic, Persian, Indian and European building styles.

Merchants followed the trade winds south from Oman and elsewhere in the Arab Peninsula for hundreds of years, bringing to the African coast everything from silks and porcelain to brass and paper. They would return when the winds shifted, their traditional dhow sailboats carrying slaves, spices, mangrove poles, ivory and skins.

"People come here because it feels like it's at the edge of the world," said Jamil Mbarak, whose family owns the Banana House and Wellness Centre resort in Shela, the next settlement down the beach from Lamu Old Town.

Divergent views

The Kenyan government has built a large container port on the mainland a few miles from Lamu Island, its lights and cranes visible from the rooftop of Banana House. Mbarak fears that view may soon be blemished by passing oil tankers, and the breeze could carry industrial odors from the refinery.

The port was constructed as the terminus of a planned \$25 billion economic corridor, with roads, rail and an oil pipeline linking Lamu to landlocked South Sudan and Ethiopia.



Although the Chinese-built port opened in 2021, progress on the rest of the corridor slowed amid funding deficits and attacks on construction workers by the Somalia-based Islamist extremist group al-Shabaab. The port remained largely unused.

But recently, stacks of Gulf-bound cargo have filled the previously empty container yard, diverted to Kenya by disruptions the Iran war has created in the Strait of Hormuz. In the first six months of this year, Lamu port handled double the cargo volumes it did in all of 2025, manager Abdulaziz Mzee said. Kenyan officials see the refinery as a ticket to reviving the port and wider economic corridor, and some locals anticipate an infusion of resources into a corner of Kenya that has missed

out on the economic growth enjoyed by Nairobi and the port of Mombasa, further down the coast.

Dangote Industries says it will import most of the crude oil it plans to refine from Nigeria, the U.S., Brazil, Libya, Angola and Ghana and to export refined products from Lamu's existing port, which the company says it will expand.

Dangote's move follows the success of his \$20 billion refinery outside of Lagos, Nigeria, which reached full capacity in February—just in time to supply the world with diesel, jet fuel and gasoline that doesn't need to pass through the Strait of Hormuz or the narrow Bab al-Mandeb waterway on the southwestern corner of the Arab Peninsula. Dangote plans to double the

capacity of the Nigerian refinery to 1.4 million barrels a day. In September, his company began selling shares in the facility, aiming to raise \$1.6 billion from up to 10 million shareholders. The company projects its Lamu refinery will process 700,000 barrels of crude oil a day.

'Cannot eat culture'

Monicah Muthoni Marubu, a Kenyan lawmaker from Lamu County, said that while the island's heritage status should be protected, it makes up only a fraction of a larger country.

"We love the tourism industry—it's a major contributor to our economy," Marubu said. But, she said, tourism isn't sufficient to keep most people employed.

"Our culture is beautiful, but we cannot eat culture," she said.

Dangote Industries promises to adhere to stringent European Union and U.S. oil-quality and environmental standards, to ensure it can sell to either market, and says it has applied for environmental certifications.

The United Nations Educational, Scientific and Cultural Organization, which designates World Heritage sites, says it has asked the Kenyan government for information about the Lamu refinery plans.

The agency hasn't taken a position on the development.

Unesco "has consistently considered extractive-industry activities to be incompatible with World Heritage status," an agency spokeswoman said. "While a refinery project does not in itself constitute an extractive-industry activity, as with any major development project, its compatibility with the protection of a World Heritage property would need to be assessed on the basis of its potential impacts" on what the U.N. calls its "outstanding universal value."

Environmental and heritage studies would be needed before decisions over the refinery were reached, the spokeswoman said.

"This project threatens to damage one of East Africa's most-fragile ecosystems, while locking Kenya into a risky fossil-fuel future," said Sherelee Odayar, a campaigner with Greenpeace Africa. "Decisions of this magnitude cannot bypass the people of Lamu."

Lamu hosts 70% of Kenya's mangrove forests that provide a massive carbon sink and are vital breeding grounds for marine life and migratory birds. Government studies have predicted that more than a third of those mangroves could be lost during development of the economic corridor. Locals say dredging for the port damaged coral reefs, resulting in a decline in marine life and tourist interest at a popular snorkeling site.

Past developments, including the port and abandoned coal and wind-power plants, left farmers and fishermen in yearslong battles over compensation and resettlement.

Fishermen fear expanded industrial operations will restrict access to close-in fishing grounds, pushing them into riskier waters.

"It will affect us because big ships will be passing through so there will be more restrictions, and we would need to go much further to fish," said Omar Lali, a 27-year-old fisherman.

A big wild card for the project remains al-Shabaab, the al Qaeda affiliate that has expanded its war against the Somali government into border areas of Kenya.

U.S. and Kenyan troops engaged in the fight against al-Shabaab are stationed at Kenya's Manda Bay Naval base, a short distance from the Lamu port. In 2020, al-Shabaab fighters attacked the base, killing a U.S. soldier and two U.S. contractors.

Bolsonaro Leads Going Into Runoff

Continued from Page One pointing result a "lesson in democracy," vowing to do what it takes to win the runoff.

This campaign has been one of the most vicious in Brazil's democratic history. Neither da Silva nor Bolsonaro showed up for the televised debates, leaving little room for policy discussion as the campaign ricocheted between personal attacks and accusations of treason, pedophilia and blasphemy. A sprawling banking scandal that has engulfed Brazil's political class has also

dominated the campaign, implicating figures from both the left and right.

The bitter two-way feud has also drawn in a third protagonist: Donald Trump. The U.S. president has made reasserting U.S. influence in Latin America a centerpiece of his foreign policy as right-wing governments have swept to power across much of South America, from Argentina to Colombia. Brazil is now the last major country in the region governed by the left, alongside Uruguay.

Da Silva and his allies have accused the Trump administration of trying to interfere in the election and return Brazil's conservatives to power, pointing to U.S. tariffs and Washington's efforts to send officials to Brazil to discuss "electoral integrity." Tensions escalated again Friday when

the U.S. suspended consular services at its embassy and consulates across Brazil, citing security concerns.

Trump has stopped short of formally endorsing a candidate in this election but has longstanding ties to the Bolsonaro family, having backed Jair Bolsonaro in 2022 and more recently hosted Flávio at the White House.

The election isn't just a settling of political scores, but a grudge match that has spilled over into Brazil's courts.

In 2018, da Silva was in prison on corruption charges and barred from running, paving the way for Jair Bolsonaro's

presidential victory that year. Da Silva was freed in 2019 and his convictions annulled after the Supreme Court ruled that the court that had heard his cases lacked jurisdiction. Da Silva returned to the presidency in 2023 after defeating Jair Bolsonaro.

Now their positions are reversed. Jair Bolsonaro is barred from running and serving a 27-year sentence at home for plotting to

overturn the 2022 election. Prosecutors said he also knew of a plan to assassinate da Silva and other officials. Bolsonaro has denied plotting a coup. Justice Alexandre de Moraes, who presided over

Bolsonaro's case, now also faces possible investigation.

But while the two camps remain deeply divided, many Brazilian voters are simply fed up with politics altogether. Some 23% of voters said they had no interest in the election, while 10% planned to cast a blank or null ballot or stay home, according to a recent survey by polling firm Quaest. Voting is compulsory for most Brazilian adults, though the fine for failing to do so costs less than the price of a city bus ride.

The disengagement is particularly high among poorer women, a key constituency for da Silva. In the 2022 election, 29% of women in the lower-income group either stayed home or cast blank or null ballots.

This month's race is set to be the last showdown of the da Silva-Bolsonaro era. Now an octogenarian, da Silva has

indicated this will be his final run, while Jair Bolsonaro has been stripped of his political rights and remains barred from running even if he is released from house arrest.

Da Silva has promised to expand the social safety net for Brazil's poor, raising benefits under the country's flagship welfare program and offering fresh debt relief to struggling households.

But Bolsonaro is campaigning on a sharply different vision: slashing government spending and taking a harder line on crime. He has proposed cutting at least 10 ministries and imposing a new cap on government spending.

He also plans to designate Brazil's powerful drug gangs as terrorist organizations and build five maximum-security prisons inspired by the model of El Salvador.

JAPAN Protest Lodged After Arrest

Japan lodged a formal protest with the U.S. after police arrested a 20-year-old Marine on suspicion of robbery and murder following the death of a woman in Okinawa.

The killing risks rekindling tensions over the presence of the U.S. military on the Japanese island, where crimes committed by American servicemen have been a source of anger for years.

Okinawan police said Devin Jacob Ballard is accused of killing Anna Yagi, 39 years old, and stealing her wallet and backpack. Yagi was found dead Saturday at a hotel in the Okinawan capital of Naha. Ballard couldn't be reached for comment, and it wasn't clear whether he has legal representation.

—Jason Douglas

GERMANY Merz Adds to Aid For Kyiv in War

Chancellor Friedrich Merz announced a new aid package for Ukraine of more than 1.3 billion euros, or \$1.5 billion during a visit to Kyiv on Sunday, as Russia escalated its attacks on Ukrainian cities.

About €1 billion of the package is military aid, including long-range strike weapons, combat drones and satellite technology, "so that Ukraine can also target Russian launchpads," Merz said. Germany is also providing some €350 million in energy aid, he said.

Ukrainian President Volodymyr Zelensky said the countries also signed 15 agreements worth more than €8.5 billion, mostly for security cooperation, weapons production and procurement, as well as a deal to expand counterdrone efforts.

—Associated Press

ETHIOPIA Government Takes Town From Rebels

Government-allied fighters entered Mekelle, the capital of Ethiopia's northern Tigray region, a witness said Sunday, after the rebel Tigray People's Liberation Front announced its withdrawal following renewed fighting.

The TPLF in September seized the Mekelle airport and the city, one of Ethiopia's largest.

On Saturday, it said its forces had pulled out. They had done so in the previous two-year war, which ended with a peace agreement in 2022, apparently to spare the city from destruction.

Ethiopian Airlines had suspended flights to Mekelle and the Tigrayan cities of Axum and Shire after the rebels seized the airport.

—Associated Press

WORLDWATCH



THE WINNING FORMULA: Driver Max Verstappen celebrated with his Oracle Red Bull Racing team Sunday after he won the rain-delayed Formula 1 Bahrain Grand Prix in Malaysia.

FORMULA 1 VIA GETTY IMAGES



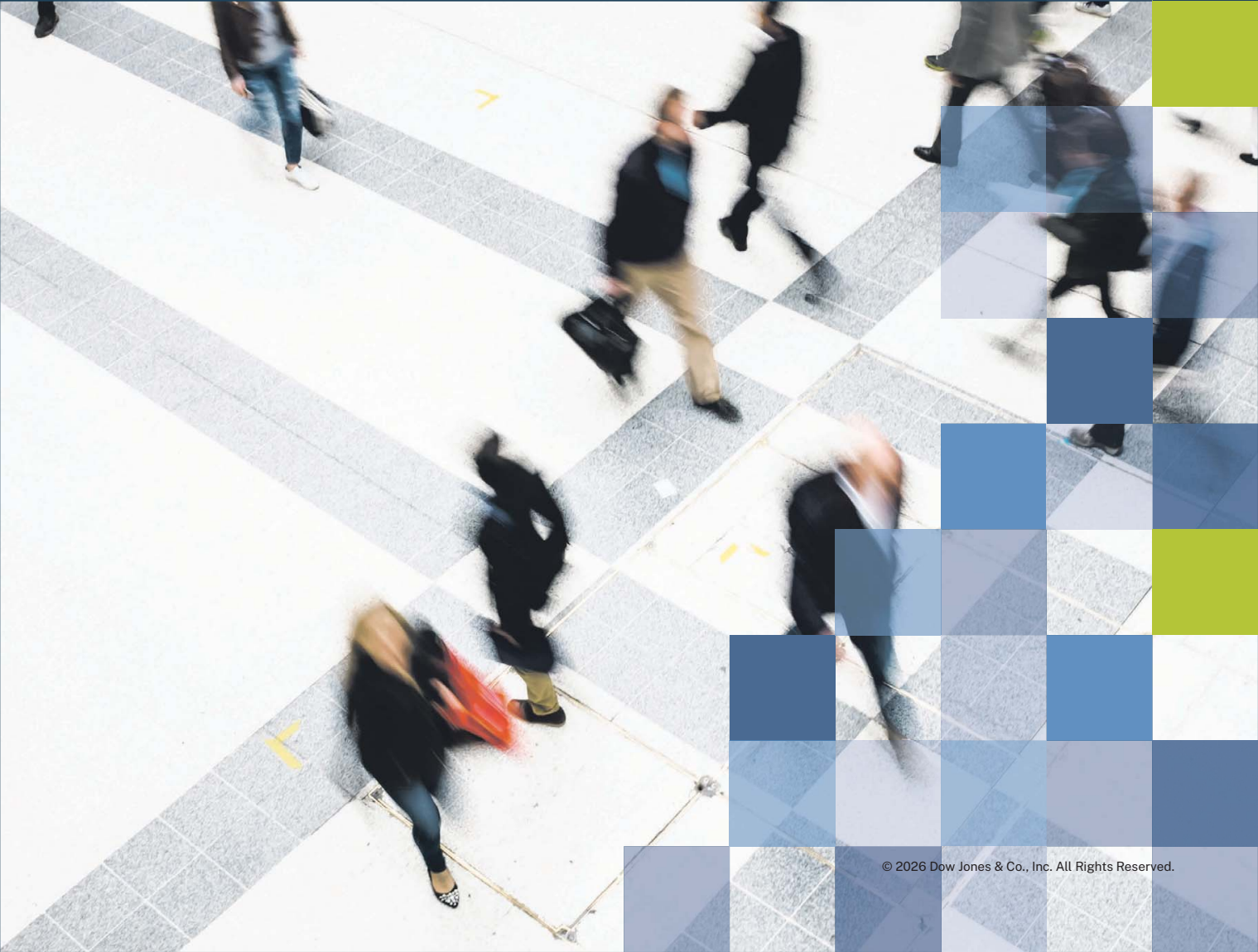
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WORLD NEWS

Netanyahu Embraces FlyDubai Passengers

Israeli prime minister seen to be benefiting from a wave of hopeful nationalism

By FELIZ SOLOMON

TEL AVIV—As FlyDubai passengers returned to Israel after their narrow escape from an attack officials now say was terrorism, Israeli Prime Minister Benjamin Netanyahu was there to greet them.

Netanyahu shared a video of himself embracing a blood-stained Israeli who he said had helped save the plane. On Thursday, the prime minister met again with several passengers who intervened to regain control after the co-pilot attacked the captain and tried to crash Flight 1073 from Dubai.

The FlyDubai attack fits into Netanyahu's campaign pitch that Israel is under attack from all sides and only his right-wing coalition can protect it. He is also benefiting from a wave of optimistic nationalism set off by the passengers who rushed the cockpit and seized back control.

After three years of being under fire for the death toll in Gaza and criticism of Israel's incursions into Lebanon and Syria, Israelis celebrated a rescue that echoed their self image



Left, Israeli passengers returned Wednesday. Above, Netanyahu with one of the passengers who helped thwart the attack.

as a people primed to take action.

Jubilant crowds gathered outside the airport to catch a glimpse of the passengers when they landed, singing and dancing while draped in Israeli flags. Television news shows filled up with laudatory analysis and interviews.

“This is a great Israeli success story, it has all the characteristics of what Israelis like to think about themselves: people that don't just stand by and wait for someone to take the initiative,” said Yaakov

Katz, a senior fellow at the Jewish People Policy Institute, a think tank in Jerusalem. “It's playing out in a kind of celebratory way—look at what we can do, look at who we are—that's the sense you're getting from his supporters.”

The prime minister, however, will also have to reckon with growing questions about how the attacker—Omani co-pilot Hamam al-Hammami, people familiar with the matter said—slipped through security to work such a sensitive route.

FlyDubai hired Hammami

after Oman banned him from flying on its state-owned airline when the country picked up signs he had adopted radical ideological views, people familiar with the matter said. In Israel, there's an increasing perception that a serious security failure has taken place.

FlyDubai said it wouldn't comment while the investigation is continuing. A spokesman for Netanyahu's office said Israel would rely on its own analysis and would be involved on the ground in the investigation in the coming days.

FlyDubai Pilot Had Red Flags

Continued from Page One matter said.

Emirati authorities are currently investigating FlyDubai staff who were involved in the hiring process, people familiar with the investigation said. FlyDubai said it wouldn't comment while the investigation was ongoing.

The last chance to stop him before the airport came in Israel. It was a low bar—pilots from countries like Oman that don't have diplomatic relations are barred from flying to the country, so Hammami should have been stopped outright.

Israel requires foreign carriers to submit lists of inbound passengers and crew in advance. FlyDubai sent the manifest for Flight 1073, said Israel's Tax Authority, which maintains the country's database of flier information. But the Ministry of Transportation, which oversees foreign carriers, said it didn't believe it had the authority or required expertise to vet flight crews.

The ministry has never asked for a passenger or crew list since the database was set up in 2023. It says it didn't know it could. Instead, the ministry says FlyDubai agreed in writing to check its pilots' backgrounds and nationalities.

A classified 2024 report flagged the ministry for failing to adequately secure foreign carriers' flights.

Obvious threats

With the string of missed opportunities, the dramatic fight for survival by the wounded captain and a handful of passengers is now being overshadowed by a growing realization there was a massive security failure on several fronts.

Security experts said the failure is remarkable given the surveillance and intelligence capabilities of the U.A.E. and Israel, and the obvious threats to the route the co-pilot was allowed to fly.

It also points to a conundrum of aviation security. Regulators buffeted by major failures like the Sept. 11, 2001, terrorist attacks on the U.S. and the intentional crash by the co-pilot of Germanwings Flight 9525 in 2015 are caught in a tug of war—protecting against dangerous passengers by securing the cockpit or guarding against rogue pilots by making it easier to intervene.

Security experts say the onus has to be on intelligence services to identify and stop threats before they ever get to the airport.

“If this was a dedicated jihadist terror attack, there are multiple levels of failure that



A replacement FlyDubai plane with passengers from flight 1073, above. Below, Smit Machchhar (left) and Hamam al-Hammami.

happened from an intelligence perspective way before we get to the fact that someone may have missed something in security screening,” said Matthew Borie, chief intelligence officer and co-founder of Osprey Flight Solutions.

Officials in the U.A.E., Oman and Israel all privately said there were significant failures across the board—from the U.A.E. and Israel's vetting to Oman's communication of its concerns about Hammami.

The U.A.E. declined to comment while the investigation into the incident and its causes is ongoing. A spokeswoman for the Omani government didn't immediately respond to a request for comment.

Israeli Prime Minister Benjamin Netanyahu on Sunday said he ordered a review of the security of foreign airline flights to the country.

The security missteps culminated in a dramatic series of events a little over halfway into Flight 1073's trip to Tel Aviv last week.

The airplane's captain, Smit Machchhar, said his co-pilot excused himself to pray, then struck him several times with an onboard emergency ax.

The pilot managed to open the cockpit door, letting in a group of rescuers who subdued the co-pilot and pulled the plane out of a dangerous dive.

The U.A.E.'s attorney general said on Saturday that the co-pilot had tried to commit an act of terrorism. Saudi Arabia, the U.A.E. and Israel all suspect he was trying to crash the plane in Tel Aviv, people familiar with their thinking said.

All three are investigating whether he acted alone. They haven't turned up any links to any foreign power or major terrorist organization, they said.

Hammami is 29 years old, born to an Omani father and Syrian mother, The Wall Street



Journal previously reported.

He lives in Dubai but traveled frequently as a teenager to Syria during that country's long civil war. Investigators are looking into the possibility he began to radicalize in the war-torn country where Islamist rebels fought against the ruling Assad regime.

Hammami studied in Australia, a period Israel and the U.A.E. are scrutinizing for signs of budding radicalism, some of the people familiar with the matter said. The Victorian Joint Counter Terrorism Team said it is investigating the co-pilot's links to the country.

Radical views

He joined Oman Air in 2018 and became a pilot in early 2022. In 2024, authorities found he was browsing extremist websites and blogs and grew concerned about his radical views. It disallowed him from flying, made him take a deradicalization program and gave him an administrative job.

He left Oman Air in early 2025, people familiar with his career said. He traveled to Morocco that summer and tried

to get a job with flag carrier Royal Air Maroc. He underwent three months of training with the company, but ultimately wasn't hired, Moroccan state media said, citing the company.

This February, he joined FlyDubai, a budget carrier owned by the city's flagship Emirates Airline aggressively hiring pilots to feed its growth.

The airline launched in 2009 and has been expanding quickly. Its more than 1,300 pilots fly to 140 airports in cities like Sarajevo, Damascus and Tashkent, often moving workers from South and Southeast Asia to more lucrative markets in Central Europe and the Middle East. Last year, it posted passenger growth of 17% in the Middle East.

Global demand for pilots is running high. There were 382,000 commercial pilots around the world in 2025, according to aviation training technology company CAE. The industry will need to hire another 267,000 by the middle of the next decade, it said.

To help meet its needs, FlyDubai set up a program last year to train pilots from scratch and operates its own

Officials realize there were security failures on several fronts.

flight-training center.

People familiar with the events said Oman also mishandled the situation. International aviation licensing is largely on a country by country basis. But if Oman had formally pulled Hammami's license over its concerns, it likely would have been flagged to the U.A.E., people familiar with the matter said.

Concerns about extremism should have been flagged around the Gulf as well, the people said.

Israel should have been aware of Hammami's presence in the cockpit.

Foreign airlines submit lists of passengers and crew to Israel ahead of time. A 2023 law set up the database of those lists managed by Israel's Tax Authority with the primary goal of preventing terrorism.

Under Israel's division of labor, the Shin Bet internal security service oversees the country's airlines. It falls to the Transportation Ministry to oversee the pilots and crew on foreign carriers' flights to make sure they come from friendly countries, said Eytan Ben David, former director of the counterterrorism bureau in the Israeli prime minister's office and former deputy head of the aviation security division in El Al, Israel's flagship airline.

Ben David said that around a decade ago he was alerted by the Transportation Ministry that Turkish Airlines intended to place an Iranian pilot on a flight to Tel Aviv based on a staff list the airline had sent.

“We stopped it immediately,” Ben David said.

The database makes that work easier.

The legislation says authorized bodies like the Ministry of Transportation and other security agencies including the Shin Bet and Mossad can ask to review lists to vet people on

sides are locked in a fight for any advantage that will determine who will get to form Israel's next government. The latest polls point to a close race. If neither side can cross that threshold, Netanyahu could remain in power as caretaker prime minister.

He says he represents the best protector of Israel in a dangerous Middle East.

While Netanyahu has tried to keep the spotlight on Flight 1073, his opponents quickly shifted to other issues. Eisenkot focused his initial response on the heroism of the passengers, rather than Netanyahu's response. Another key opposition figure, Avigdor Liberman, criticized what he said was a disgraceful attempt by Netanyahu's camp to use the episode for political gain.

The prime minister's office didn't respond to a request for comment over the criticism.

Several of the passengers themselves declined to talk about politics in interviews.

“I'm just thankful to be alive,” said Mika Bauman, a 25-year-old Israeli-American. “The bravery of everyone on that plane honestly just showed how in moments like that, life is the top priority, which was really beautiful to see.”

Analysts say it is hard to predict whether the incident might move the needle politically.

flights.

The ministry said it was never told the database was operational or could be accessed. A person familiar with the database said the ministry has never asked.

On the question of stopping onboard threats, the ministry said it is responsible for the security of incoming flights but isn't itself responsible for vetting flight crews and lacks the intelligence capabilities to do so. It relies on foreign carriers to make those checks in line with its requirements.

“The Security Division at the Ministry of Transport has been responsible for security arrangements for incoming foreign aviation to Israel since 1977,” it said. “Framework-wise, the Ministry verifies with the countries from which flights depart that the airlines' pilots undergo background security checks in accordance with international regulation.”

The ministry said it required FlyDubai to assign pilots from countries with diplomatic relations with Israel and conduct background checks, and didn't itself check or approve Hammami.

A classified May 2024 report by Israel's comptroller general warned Israel's aviation security had grown lax and identified major issues in the way foreign airlines entering Israeli airspace were secured. Responsibility for security in Israel was fragmented, and the lines of responsibility weren't always clear, it found.

It found that officials in the Ministry of Transportation were failing in their oversight in part due to manpower and budget issues, a person familiar with the report said.

Israeli airlines got closer scrutiny, the person said.

The divergent treatment was evident this year. In February, security officials stopped Israel's own airlines from flying between Dubai and Tel Aviv for several months amid the risks posed by the war against Iran and long-held concerns about gaps in the Dubai airport's security for flights to the country.

FlyDubai, however, continued to work the route. It has become a crucial connection between Israel and the rest of the world, maintaining service almost continuously throughout the past three years of war that began in Gaza and spread to Lebanon and Iran.

Israel should have caught the Omani pilot based solely on his nationality, Ben David said. Pilots who should have been excluded by their nationalities have been flying to Israel more frequently, a sign enforcement had grown sloppy, people familiar with the matter said.

Ben David said Flight 1073 almost ended in disaster due to negligence. “It seems that the names weren't properly checked and there wasn't proper vetting. This is how we got here,” he said. “We need to treat this incident as if a disaster happened.”



PERSONAL TECHNOLOGY
NICOLE NGUYEN

My first task for Muse: “Change your name to Mark Zuckerberg.” **Meta’s** AI agent refused.

Zuck, Mark and even Marc—no dice. So I pivoted to the Terminator, which was gleefully accepted.

I asked Muse to Terminator-ify its fuzzy blob mascot, and it adopted metal accents and a glowing red cyborg eye. Pretty stinkin’ cute.

Muse is designed to do stuff for you, like an executive assistant. The more you hand over, the more helpful it gets. When I connected my inbox and calendar, my little Terminator found unpaid bills and suggested a recipe based on an incoming produce delivery.

But are *cute* and *helpful* enough to overcome my trust issues with Meta, the ad-powered company that also operates Facebook, Instagram and WhatsApp? The company has a history of privacy scandals and data-use controversies.

The app has already been downloaded more than 5 million times and topped app-store charts, according to Sensor Tower. After a week with the Terminator, I began to see how Muse became a hit. And how much data it needs to do its job.

The benefits

As an AI agent, Muse can answer your queries like a chatbot, and also click around websites, use apps and work with files on your computer.

Agents have taken off mostly in tech work, and other apps, such as Instinct, have gained traction among Silicon Valley power users. ChatGPT and Claude have similar capabilities but more complicated features and premium subscription requirements.

Muse is the first app I’ve experienced for normal people. Meta successfully hid the complexity of agentic AI behind a simple, friendly interface. And for now it’s free. Once you hit a usage limit, you can pay for more tokens, starting at \$20 a month.

Each Muse user gets a secure “virtual machine,” an unseen cloud computer with its own file system and a web browser that pops up on the user’s screen from time to time.

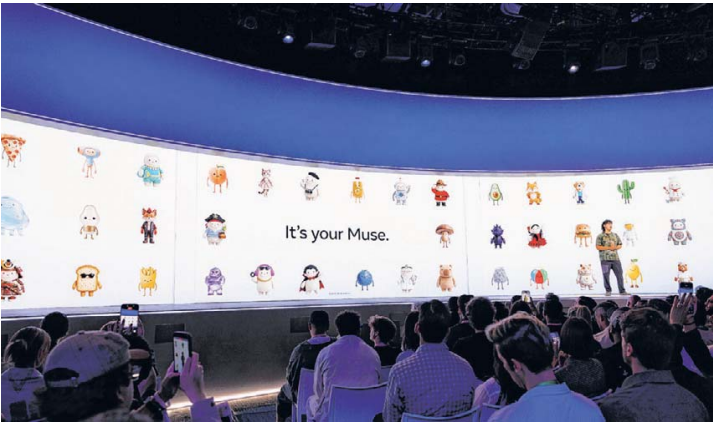
For my test, I started thinking up real-life admin tasks. First: a rain poncho for my kid’s bike seat. I found a European one, and asked the Terminator to hunt for a U.S. retailer. It came up empty—but found a great alternative in California and loaded the checkout page. Then the Terminator asked for my credit card.

Actually, it prompted me to connect Link by Stripe, which



Meta’s Muse AI Agent Is Helpful and Scary

The more data you hand over, the more this personal assistant can do



drafted a pickup message.

But how would Muse handle our labyrinthine childcare-booking platform? I gave it four dates, and my preferred sitters. Once I manually logged in, it made the reservations while I made lunch. It even offered to add the events to my Google Calendar, so I connected that.

I heard the screams of cybersecurity professionals ringing in my ears. But I wanted to see what Muse could do.

I also connected my personal Gmail account with “read only” access: It could see emails but couldn’t delete them or shoot off embarrassing notes to my entire address book.

Muse surfaced a forgotten dentist bill. Watching the agent complete a lengthy form with details from my inbox, such as my appointment date and date of birth, was magical, but also a little creepy.

The agent was also able to gather everything I needed for Global Entry applications from my calendar and inbox, including five years of international travel history.

Not all tasks are successful, however. My colleague Meghan asked Muse to find cheaper auto insurance. It submitted her informa-

stores payment methods.

I opted against Link, instead clicking “Take control of the browser” and typing in the card number myself. The poncho is currently en route.

Next, I asked if my gym offered a membership-referral benefit.

The agent responded with an exciting promo: 50% for both me and my friend. But the deal was for a totally different gym on a to-

The app for Muse has already been downloaded more than 3.4 million times.

tally different coast. Even cuddly AIs can make mistakes.

Muse was, unsurprisingly, adept at perusing Facebook Marketplace. I asked the Terminator to find a white-noise machine. It found a cheap one nearby and

Making It Easier To Get a Passport

By Dawn Gilbertson

The following items first appeared in Dawn Gilbertson’s weekly Travel newsletter.

Applying for a passport is both exciting and exhausting. The government last week announced plans to smooth the application process, which today requires several steps including an in-person appointment.

Travelers will be able to apply online beginning next year, Secretary of State Marco Rubio said. When next year? No one’s saying yet. You can already renew passports online in many cases.

Another improvement on the way: No more drugstore photos required. You’ll be able to snap a selfie. In his prepared remarks, Rubio called the drugstore shots “hostage” photos.

“You probably can’t use those filters to make you look 50 years younger, but you can take a picture of yourself on the phone in the comfort of your home, or you can upload one directly from your own device,” he said.

One of the big reasons for the change, besides the fact that it’s 2026 and we can do almost everything online: all the pricey passport services that have cropped up to help travelers navigate the

application maze.

Today, Rubio said, there’s “an entire cottage industry that’s built around cashing in on every stage of the passport process.” You probably know someone who has been tricked by all those sponsored ads, or have applied through a for-profit company yourself.

The new system will also feature real-time status updates so you don’t have to keep checking your mailbox ahead of an international trip.

Your travel hacks

Who doesn’t love a good travel shortcut, packing tip or money-saving move? I asked you to chime in with your favorites.

The one that made me laugh out loud came from Patrick Nowicki in Denmark. “I always take a cold can of beer (or one for each traveler) and drink it just before security. It costs 10% of an airport beer and removes much of the ‘security check stress.’”

Book one parent in business class.

“My wife and I took our three kids (8, 7 and 1) to Europe this summer for our 10th wedding anniversary. We dreaded the red-eye flight from Seattle to London with a baby. Rather than buy the 1-year-old a seat in economy it was roughly the same to book my wife in business class. We let him get the craziness out with me in coach, then I



The government last week announced plans to smooth the passport application process.

brought him up to her after he fell asleep. Both of them slept until we landed. Wife happy, baby happy, boom!” —*Ethan Bays, Oregon*

Turn to AI on foreign languages.

“My wife and I were in the Provence region of France last year. My high school French was very rusty so I used Claude to create a one-pager of key phrases, which was very helpful to prepare for the trip.” —*Charles Vianey, Alabama*

Carry on a seat cushion. “Those inexpensive inflatable seat cushions make travel in economy bearable, if not comfortable. The new aircraft seats are poorly padded, especially for older folks. Living in Hawaii,

trips to Europe have a combined travel time of 16+ hours, and flights to the mainland U.S. are over five hours.” —*Lance Fujisaki, Hawaii*

Put those sandwich baggies to good use.

“Keep a small ziplock bag in your pocket. You never know what flotsam and jetsam collects in your pocket before a flight, and this is the easiest way to gather it and drop it into your carry-on at security.” —*Dan Waldman, New York*

Pack a thumb drive with backup documents on big trips.

“I make digital copies of passports and travel and contact information and keep them on a thumb drive. We actually each carry one with us in case, God forbid, something happens and we can’t speak. The authorities would find the thumb drive and be able to more quickly reach out to

The avatar for Nicole’s agent is a hybrid between Muse’s cute, fluffy mascot...and the Terminator.

tion for quotes but said her current rate was as low as it could get. One provider called her, and ended up offering a better deal than Muse previously reported. If she hadn’t spoken to a human, she would have missed \$420 a year in savings.

I know, you’re thinking, is it really *that* hard to fill out a form? I understand, but I also appreciate tools that can help tick things off my endless to-do list.

So why would I *not* continue using Muse?

The risks

Any information you share with Muse can technically be shared with Meta. The company says that won’t be used to serve ads, but it can be used to train AI models. You can opt out in Settings > Data controls. Meta says employees won’t access accounts except under specific circumstances, such as a law-enforcement request or a user-reported problem.

Meta says later this year it will offer a confidential virtual machine that encrypts data so the company can’t access the chats.

“The question for any user is what happens if their device is compromised or the service itself is breached,” says Trevor Hilligoss, chief intelligence officer at security firm SpyCloud.

Ordinarily, your email, your social-media apps and your shopping and banking accounts are all under secure, separate logins. By giving one service access to any or all of them, you’re creating a super resource for an attacker, Hilligoss says.

If your Facebook account gets hacked, that hacker has access to everything you’ve shared with Muse. Meta doesn’t generally require two-factor authentication on its accounts, so it’s up to you to turn that on—and come up with a strong unique password.

Also, AI agents can behave unexpectedly. Users should take control of the browser for any tasks involving money, passwords, account settings or messages sent in their name, says Katie Moussouris, chief executive of Luta Security.

Muse does have a “secure credentials store” for your logins, which Meta says allows the agent to use passwords without seeing them. An agent-friendly password manager integration would be better, and 1Password says its Muse partnership will be available in a few weeks.

AI agents can also be tricked, says Moussouris. A website or email can contain hidden prompts telling the bots to ignore instructions and send personal data to hacker accounts instead.

Meta outlined safety measures that direct the agent to disregard prompt injections and limit its access to secrets. The company says Muse will “sometimes make mistakes.”

I’m going to be cautious and reset Muse for now. Though I might reconsider once the confidential option is available.

our emergency contacts or the embassy.” —*John Hester, Georgia*

Power up with an international adapter.

“Bring an international plug adapter even when flying domestically. The domestic outlets in planes are often worn out and your chargers won’t work or they slip out. The international ports get used less frequently so sometimes you can get power when you otherwise wouldn’t be able to.” —*Robert Book, Texas*

Skip the in-flight movie and get organized.

“Use your idle time on a plane to cull your redundant and unwanted photos in your phone’s photo library, and to set up albums of photos from specific trips and events.” —*Dave Kamer, Kentucky*

Look for the hidden seat button.

“The aisle armrest seems locked down but on every one there is a hidden button at the base which you can push to lift up. It makes getting in and out a bit easier, especially when you’ve got little kids.” —*Nicholas Conant, Illinois (a former pilot)*

Repurpose that hotel room ironing board.

“I use the ironing board as a place to put hangers to dry wet gym clothes and delicates as most rooms have few hooks. I also use the ironing board to store my books, spare electronics and papers, especially when sharing a room.” —*Lynn Exton, New York*

To subscribe to Dawn’s Friday newsletter, go to wsj.com/newsletters.

FROM TOP: META MUSE; JASON HENRY FOR WSJ

JENNY KANE/AP

PERSONAL JOURNAL.

Obesity Drugs Move Into the Next Frontier

Drugmakers are testing a new generation of muscle-protecting and body fat-targeting drugs

By ALEX JANIN

For as long as drugmakers have been testing weight-loss drugs, the question has been: How much weight do people lose? Now it is changing to: What kind of weight are they losing?

Rapid weight loss can come with a downside—people can end up injured or prone to falls if they shed significant muscle alongside fat. Drugmakers are testing a new generation of muscle-protecting and body fat-targeting drugs to fix that.

At a recent medical conference in Milan, mid- and late-stage studies from companies like Novo, **Eli Lilly** and Regeneron indicated that several drug candidates might be able to better preserve muscle and help shed problematic belly fat.

If proven out, these experimental medications could ultimately improve people's health while they rapidly lose weight on these therapies. It would also give drugmakers a powerful argument for doctors to prescribe—and health insurers to pay for—a new set of drugs.

"I'd rather have more fat loss and slightly less weight loss, but retain more muscle," said Dr. Juan Pablo Frias, an endocrinologist who was in-

involved in new research presented by Eli Lilly. "I want you to be able to bend down and tie your shoe without difficulty."

Regeneron reported midstage data on a drug it is developing to preserve muscle when taken alongside a GLP-1. The study found that people taking the drug lost about two-thirds to three-quarters less thigh muscle than those taking semaglutide alone. Over 26 weeks, the highest doses of the drug roughly halved the loss of lean mass, which includes muscle, compared with those who only took semaglutide, the active ingredient in Ozempic and Wegovy.

This is especially critical for older adults, particularly as many more gain access to weight-loss drugs through Medicare. But doctors stress that body composition matters for younger adults, too, who risk losing muscle when they



People can get hurt if they shed significant muscle alongside fat.

The differentiation is increasingly important as the field gets more competitive. International patent applications for GLP-1s rose 28% in the 12 months to March 2026, according to an analysis by law firm Pinsent Masons.

Lilly also presented new data on its experimental next-generation weight-loss drug retatrutide, which helped patients lose as much as 28.3% of their weight on average in an earlier study. In the new

study, patients self-reported better everyday movement while taking the drug when compared with those on the placebo.

"We now routinely measure functional outcomes in terms of muscle strength or activity in these clinical trials, and we usually see a very significant benefit," said Dan Skovronsky, Lilly's chief scientific officer.

Other experts caution that the metrics in these trials don't always tell the full story about patients' health. Wei Shen, an assistant professor at Columbia University and body-composition researcher, said lean mass shouldn't be equated with muscle, because it includes other nonfat tissues, in addition to muscle. Improvements in self-reported questionnaires don't prove that patients maintain their muscle, other experts said.

"It's going to take time to learn what data we should be tracking and focus on the right outcomes," said Dr. Nidhi Kansal, an obesity medicine doctor at Northwestern Medicine. "We call them weight-loss drugs, but the goal medically is fat loss."

Doctors say body composition matters for younger adults, too.

rapidly shed weight, increasing the chances of injuries or conditions such as osteoporosis later in life.

As the weight-loss drug market has taken shape over the past few years, the dominant players, Eli Lilly and **Novo Nordisk**, have been marketing drugs that lead patients to lose, on average, 20% or more of their weight over about a year and a half at the highest doses. Now companies need to differentiate their drugs in other ways, doctors, researchers and analysts say.

Novo is studying whether one

of its experimental drugs, CagriSema, can cut belly fat as it helps people lose weight. The treatment is an obesity shot that combines the main ingredient in Ozempic and Wegovy with cagrilintide, a compound that mimics the appetite-regulating hormone amylin.

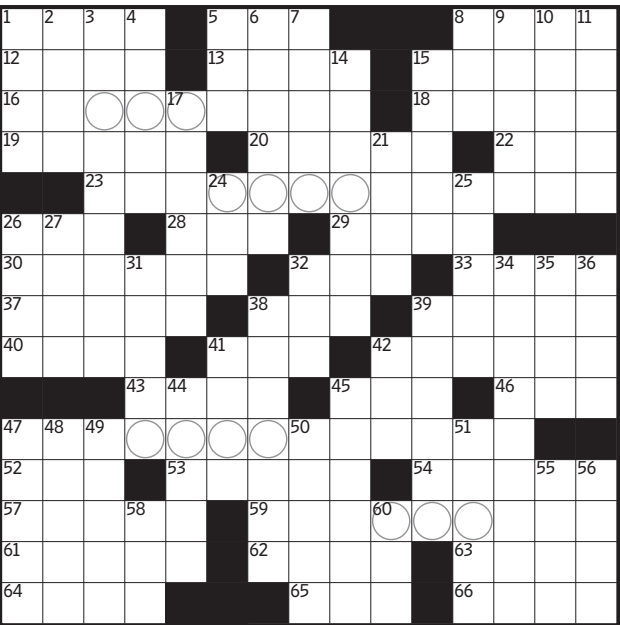
In research presented recently at the European Association for the Study of Diabetes annual meeting, Type 2 diabetes patients taking CagriSema lost 14.3% of their body weight over roughly nine months on average and had less fat around their liver and pancreas when compared with those on a placebo. Fat in and around these organs leads to a higher risk of heart disease and other health problems. The company also studied, using brain scans, the drug's effects on patients' thoughts and cravings for food.

"Understanding pain, understanding food noise, understanding something that actually affects you every day, can become differentiators," said Martin Holst Lange, Novo's chief scientific officer. "How does that weight loss make you feel?"



The lab at Regeneron headquarters in Tarrytown, N.Y.

The WSJ Daily Crossword | Edited by Mike Shenk



CIRCLE OF FRIENDS | By Zhouqin Burnikel

Across			
1 Quartet in a quart	32 Gateway Arch city, for short	61 Bird feeder morsels	9 Mental picture
5 Minnesota Vikings' org.	33 Marvel mutant group	62 Joint with a cap	10 Absolutely hate
8 Rotary phone part	37 Fill with joy	63 Evening, in commercials	11 Takes inventory?
12 Toiling away	38 "Help! Our boat is sinking!"	64 Metal sources	14 States with confidence
13 Soprano's song, perhaps	39 Annoy	65 Summer hrs. in Chicago	15 Frisbees, e.g.
15 Disney's flying elephant	40 Infomercial feature	66 Ski slope cover	17 Part of 5-Across
16 Releases by hip-hop artists	41 Mafia boss	Down	21 Peacock's pride
18 Washington neighbor	42 Pretend to be		24 Hiker's aid
19 "Over yonder"	43 "Just doing my best"	1 Online shopping icon	25 Puts a spell on
20 Main ideas	45 Burst like a balloon	2 State with a beehive on its flag	26 Like some cheeses
22 Acquired	46 Explosive stuff	3 Unrealistic goal	
23 Coaches behind many school plays	47 Shore shade provider	4 Colleague of Lennon, McCartney and Harrison	
26 Boston Marathon mo.	52 "Brokeback Mountain" director Lee	5 Catch red-handed	
28 Gadot of "Wonder Woman"	53 Quick on one's feet	6 Penny-pinching	
29 Hop out of bed	54 Patronage	7 Maximum or minimum	
30 Ascends	57 Natural hat material	8 Faulty firecracker	
	59 Traditional Easter tree		

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Old Cloth Draws Big Crowds

Continued from Page One the British Museum in London.

For many Brits, seeing it is akin to a birthright. "It's an integral story to British identity. That's why people feel an emotional attachment to it," said Daisy Dixon, a philosophy of art lecturer at the University of Cardiff.

So when tickets became available ahead of the exhibition's launch in September, it wasn't a huge surprise that there were obstacles. Mills, a postgraduate student in art history, set her alarm for 8 a.m., and logged on early to the museum's site. She encountered a queue that ballooned to over 80,000 people.

"I was like, 'OK, so there's no way I'm ever going to get these tickets.'"

The real shock to the British public came when word trickled out about who was having no trouble getting in. Luxury hotel One Aldwych offered tickets to the tapestry as part of a package stay, with guests in rooms that cost around \$1,100 a night promised a viewing any date and time of their choosing.

"How can it be right that some are able to pay their way in while others have to scramble for a chance to see this piece of our heritage?" Helena Dollimore, the parliamentary representative for Hastings, told the Guardian.

The British Museum defended the allocation for guests of the hotel, which is one of its sponsors. The museum also noted it set aside tickets for children and rolled out tapestry-related programs at schools.

On Oct. 21, the museum is releasing a fresh batch of tickets to see the tapestry later in its 10-month London stay. Competition to join the 40-minute long, one-way procession past the embroidery is expected to be fierce: Bayeux Tapestry fever is



France's Emmanuel and Brigitte Macron with King Charles III and Queen Camilla at a preview event.

running so hot that a showing of a full-scale replica in nearby Reading is sold out till the end of January 2027. Tempers flared anew in August when the Guardian reported that Palantir co-founder Peter Thiel got a private viewing despite having no public record of donations to the museum.

"I love the Bayeux Tapestry but I think history will record that the most significant moment in its visit to the British Museum is that an American oligarch was allowed to see it before the King and Queen or President [Macron] were," author Frank Cottrell Boyce wrote on X.

Thiel didn't comment on the Guardian's report, and didn't respond to a request from The Wall Street Journal.

After the Thiel revelation, Rebecca Dale, a government worker from Leicestershire, posted her thoughts and was struck by the response.

"I didn't expect people to be so outraged," she said, even if the scramble felt like "the Eras tour for history fans." On a lunch break at work shortly after her Instagram post, she opened her phone to 200 new comments. The anger makes sense to Dale, 28. "I think it does cre-

ate this uncomfortable feeling of it being a two-tiered system."

The debate quickly reached Britain's new prime minister. In his first appearance at Prime Minister's Questions—a weekly ritual in which the leader is interrogated by political friends and foes—Andy Burnham was asked about access to the tapestry amid questions about soaring debt, taxes and Russian threats.

"We want the maximum number of kids to have access, to stand in front of that tapestry while it's here in the U.K. It's a major moment in our island's history," he said.

But a noisy portion of the British public is questioning whether the museum is fulfilling Burnham's commitment. "It's just not fair is it," said Laura Roberts, who unsuccessfully attempted to nab tickets during their initial release.

Traveling down with her daughter from Blackpool for a tapestry-less visit to the museum, Roberts challenged the argument that sponsors should be getting something for their financial commitment. "That's not the point, is it? They should be doing it for altruistic purposes," she said. So how to get over missing out? Disgruntled fan Mills has an idea: remember what the tapestry's all about. "It's not like 'yay, England!' It's literally a record of how we got conquered."

The online queue for tickets ballooned to over 80,000 people.

ARTS IN REVIEW

By Karen Wilkin

ART REVIEW

A Painting Power Couple

The Met highlights the independence and interconnectedness of Lee Krasner and Jackson Pollock

New York

In the winter of 1941, two aspiring modernist painters met when they were included in an exhibition of such noted Europeans as Amedeo Modigliani and Pablo Picasso, and of such unknown New Yorkers as “William Kooning.” The pair, Lee Krasner (1908-1984) and Jackson Pollock (1912-1956), married in 1945 and spent the next 11 years together, until Pollock’s death at age 44. Decades ago, exhibitions in the U.S. and Switzerland concentrated on this period of coexistence. But since then, there has been no broader examination of what happened before, during and beyond that highly charged decade and a half.

Now “Krasner and Pollock: Past Continuous,” at the Metropolitan Museum of Art, addresses that lack—and, in doing so, reveals both Krasner’s and Pollock’s independence and their connections, raising provocative questions. Organized by the Met’s curators David Breslin and Brinda Kumar, more than 120 paintings, works on paper, and ephemera from international public and private collections trace both artists’ evolution, from before their meeting to after his death. The handsome installation, informative wall texts and lavish catalog encourage concentration on their work, rather than the mythology attached to both painters—the all-too-familiar story of Pollock’s alcoholism, depression and infidelity, and Krasner’s dedication to supporting his talent and legacy.

The couple couldn’t have been more different, but were united, it seems, by their devotion to their art. Krasner, born in Brooklyn, N.Y., to a Jewish family from Ukraine, had fairly traditional art training, but she also studied profitably with Hans Hofmann. Pollock—born in Wyoming, with an itinerant childhood before arriving in Los Angeles as a teenager—had been exposed to American indigenous art, Mexican muralism, Surrealism and the regionalism of Thomas Hart Benton. He almost certainly learned what Hofmann taught about the dynamic structure of images from Krasner.

Paralleling the pair’s different formations and aesthetic willfulness, the exhibition emphasizes points of overlap and rejection, sympathy and refusal. The selection includes the required celebrated high points, plus ample surprises and rarely seen inclusions. That “Krasner” comes first

in the title can be justified alphabetically, but that the first works we see are Krasner’s collages is unexpected. Made in the mid-1950s, these gatherings of (mostly) narrow strips of paper and fabric incorporate her own rejected efforts, and in “Bald Eagle” (1955), we learn, some of Pollock’s discarded drawings. Collage provoked some of Krasner’s strongest works, as we discover later, in larger examples, notable for bold shapes and clear color.

We step back to works made before the couple met: Krasner’s charcoal drawings and light-struck still lifes, done at Hofmann’s school, demonstrating her mastery of Cubist space, and Pollock’s explosive, packed images of bodies and body parts, constructed with burgeoning forms that threaten to burst from the canvas. The contrast is underscored by a mini-re-

Installation view of ‘Krasner and Pollock: Past Continuous,’ a well-focused examination of the married artists, above; Krasner’s ‘Bald Eagle’ (1955), right.

construction of the exhibition that first connected them.

Krasner, we learn, had difficulty working early in their relationship. It’s not surprising, given the intimidating ferocity of Pollock’s paintings of the 1940s—wonderfully represented at the Met—with their aggressive, in-your-face structure, insistent touch, and (often) crusty surfaces. The ambiguous intensity of even the most familiar of these, such as “Guardians of the Secret” (1943) with its altar-like structure and sleeping canine, is unignorable. A small, atypically loose Krasner, “Image Surfacing” (c. 1945), marks her return to painting.

The next gallery suggests the pair’s studios, after their move to Springs, on Long Island, in 1945. Pollock used the barn; Krasner, an upstairs bedroom. Both explored confrontational, edge-to-edge compositions—Krasner, in her “Little Image” paintings; Pollock, in his first pours and drips. (Krasner dripped, too, as an alternative way of applying paint, as did many others, even earlier, including Hofmann, Janet Sobel and Mexican muralist David Alfaro Siqueiros, with whom Pollock studied.) The differences are striking. Krasner’s small, tight accretions of repetitive marks and shapes seem airless and uninflected; even the densest of Pollock’s early, layered pours pulse and breathe, his touch liberated. His earlier paintings often seem hard-won, made with a heavy hand, but as Hans Namuth’s well-known film of Pollock at work reveals, delicate gestures and dance-like movements translated into fluent drawing in the drip paintings.



In the next gallery, newly revealed windows flood a spectacular array of Pollock’s best known poured paintings with daylight, animating the tangles of the radiant “Lavender Mist: Number 1, 1950,” enlivening the subdued palette of “Autumn Rhythm: Number 30, 1950,” and highlighting the flickers of color in “Convergence: Number 10, 1952.” It’s a dazzling selection that stresses the variety of Pollock’s paintings from this brief period, their common technique notwithstanding. Nearby, emphatic large

collages, such as the economical “Lame Shadow” (1955), shown at Stable Gallery, are among Krasner’s most impressive works.

The story is less straightforward toward the end. We see Pollock seeking alternatives to dripping, revisiting early configurations with generous gestures. Krasner moved in various directions, including, after Pollock’s death in 1956, occasional echoes of his compositions, perhaps as mourning. Most unexpected? Works such as the Matisse-inspired “Rising Green” (1972) that co-opt the forthright quality of collage for painting.

Of necessity, Krasner dominates the end, with oversize canvases made in the 1960s and 1970s after she moved into the barn studio—which must have taken courage. Loose, gestural works coexist with crisp images that announce her continuing admiration for Matisse. There’s a lot of Schiaparelli pink. Krasner’s muscular collages incorporating charcoal drawings made at Hofmann’s school provide a vigorous finale, with the small elements in the abstracted figures enriching the scale.

Near the end, Pollock’s “Portrait and a Dream” (1953), with its pairing of calligraphy and an oversize, brushy head, offers a tantalizing glimpse of roads not taken and an unrealized future. What might have happened, had he lived?

Krasner and Pollock: Past Continuous
The Met Fifth Avenue, through Jan. 31, 2027

Ms. Wilkin is an independent curator and critic.



‘Rising Green’ (1972), by Krasner, left, and ‘Autumn Rhythm: Number 30, 1950,’ by Pollock, below, are among the more than 120 objects in the exhibition.



FROM TOP: THE MET; POLLOCK-KRASNER FOUNDATIONS (3)

SPORTS

Does Baseball Need a Salary Cap?

The sport’s dueling perspectives will play out on the field this postseason before a lockout threatens the 2027 season

By JARED DIAMOND

The owners of Major League Baseball’s 30 franchises have made it abundantly clear over the past year that they believe the economics of their \$12 billion industry are broken. Their proposed solution, in the face of ferocious opposition from the players, is a salary cap. And, for the first time in more than three decades, MLB appears willing to shut down the game for as long as it takes to push it through.

But first comes the postseason, where management and the union’s dueling perspectives will play out on the field one final time before a lockout threatens the 2027 season. The looming work stoppage serves as an ominous backdrop to a playoff tournament brimming with narratives.

The Milwaukee Brewers are entering October boasting MLB’s best record for the second consecutive year, even though they reside in baseball’s smallest media market. The American League’s best team is the Tampa Bay Rays, who outperformed the New York Yankees with a third of the budget.

Milwaukee and Tampa Bay rank 19th and 27th in payroll, respectively, according to data from Spotrac. The Cleveland Guardians are 29th. All three have home-field advantage in their best-of-five division series that began on Saturday.

Their prominence has set up the tantalizing possibility: a little guy finally ending the reign of the two-time defending champion Los Angeles Dodgers, whose limitless resources have turned them into the ultimate symbol of baseball’s financial divide. And it’s happening right before everybody retreats to the bargaining table for the negotiation that will determine the future of the sport.

“The Rays haven’t done it, the Guardians haven’t done it, we haven’t done it,” Brewers general manager Matt Arnold said. “It’s really, really, really hard for teams in our markets to do this.”

The owners contend that the widening revenue gap between the richest teams and their less-wealthy counterparts has become unsustainable, anticompetitive and inherently unfair, leaving fans outside of the nation’s largest cities without hope.

Since 1998, teams with payrolls in the top five have averaged 89 wins a year, 13 more than teams in the bottom 10. No team that plays in the bottom half of MLB’s media markets has



Tampa Bay Rays second baseman Richie Palacios and shortstop Taylor Walls celebrate after a Game 1 ALDS victory over the New York Yankees.

won the World Series since the 2015 Kansas City Royals. There hasn’t been a champion with a payroll in the bottom 10 since the Florida Marlins in 2003.

MLB says a salary cap and floor is the best way to reverse that trend. A Morning Consult survey conducted last November concluded that 79% of avid MLB fans and 69% of casual fans supported a salary cap. The other three major American sports leagues all have a cap. The last time the owners formally proposed one, it led to the strike that resulted in the cancellation of the 1994 World Series.

More than three decades later, they are trying again.

“The biggest issue we need to solve next to continue to grow the game off the field is fixing the payroll disparity unseen in

any other major U.S. sport,” MLB spokesman Glen Caplin said.

Tampa Bay and Milwaukee have been the consistent outliers. To the players, they are the evidence that the free-market system is working. After all, the Brewers and Rays are at the top of their leagues “despite MLB claiming they need a salary cap because small-market teams supposedly have no hope,” union head Bruce Meyer said.

Since 2008, the Rays have won more regular-season games than anybody besides the Dodgers and Yankees. They’ve gone to the World Series twice, only to lose

both times.

The Brewers, meanwhile, have been a marvel. This is their eighth playoff berth in the past nine years, a remarkable achievement considering all of their disadvantages. But they’ve yet to win a pennant during this stretch. Last year, they were massacred by the Dodgers in the championship series.

“We caught the Dodgers at the wrong time,” Arnold said.

Milwaukee and Tampa Bay hope 2026 will be different. This time, the Brewers have Jacob Misiorowski, the 24-year-old flame-thrower who was baseball’s most

2003

The last time a World Series champion had a payroll in the bottom 10

Flip Side of College Football’s NIL Success Stories

By ROBERT O’CONNELL

It was the most crucial snap of the season, and time for Michigan’s \$3 million investment to deliver.

The Wolverines were fighting to keep their hopes in the Big Ten alive, trailing Minnesota 20-14 on Saturday afternoon, when sophomore quarterback Bryce Underwood faced a fourth-and-5. Underwood dropped back, surveyed the field, and chucked a panicked throw straight out of bounds.

The game was over. Michigan’s season almost certainly was, too. Two years ago, the Wolverines had thrown NIL money at Underwood, the country’s No. 1 high school recruit. It was a \$3 million-per-year effort bankrolled in part by Larry Ellison and his wife, Jolin.

But now, one of college sports’ most high-profile investments was amounting to nothing.

“We might have to make some tough decisions here,” Michigan coach Kyle Whittingham said Saturday night, after the Wolverines dropped to 0-2 in the Big Ten. “The results are unacceptable right now.”

Less than two disappointing seasons into Underwood’s career, Michigan is grappling with buyer’s remorse—and the Wolverines aren’t alone. From coast to coast, the country’s richest programs are wrestling with a strange problem in college football’s NIL era.

What do you do when the splashiest investments in the history of the sport don’t pan out? Underwood and other flops like him are the flip side of college football’s NIL success stories. For every transfer who cashes in



Bryce Underwood was a top recruit but has struggled at Michigan. The Wolverines are 0-2 in the Big Ten.

and carries a program to playoff glory, there is a big-money signee who leaves his new school with nothing but sunk costs and cratered hopes.

Underwood is Exhibit A of the phenomenon. Although he arrived at Michigan last year as a supposed can’t-miss prospect, with a five-star rating and a rocket arm, he has thrown just five touchdowns and four interceptions in his sophomore campaign.

Michigan has managed to score 20 points in a game only once, and it has required a last-

second Hail Mary—on a play that possibly shouldn’t have happened—to keep them above .500. The run of futility has lasted so long that the once unthinkable notion of benching Underwood has landed squarely on the table.

“You always want to think about what gives you the best chance to win throughout the entire course of the game,” Whittingham said. “That’s being evaluated for everybody, at every position.”

At South Carolina, coach Shane Beamer is in a similar

spot. As his team has plummeted in the SEC standings, he has noted that his quarterbacks are in competition—despite the approximate \$2 million price tag on starter LaNorris Sellers. Oklahoma coach Brent Venables, meanwhile, recently raised questions about the job security of John Mateer, the turnover-prone passer earning an estimated \$1.5 million to play for the Sooners. He too has weighed an expensive benching.

“It’s something that we discussed,” Venables said after a

loss that dropped Oklahoma to 2-2. “We’ll look at everything.”

Not so long ago, benching an underwhelming star was a go-to move for the sport’s best programs. Teams like Nick Saban’s Alabama dynasty stockpiled so much talent that the second-stringer would often outperform the player he was replacing.

In the 2018 national championship, Saban produced one of college football’s immortal moments by yanking starter Jalen Hurts for Tua Tagovailoa, who led an Alabama comeback and threw the winning touchdown in overtime.

But these days, as a wide-open transfer portal and fire hoses of cash rewrite the rules of college football, telling a multimillion-dollar investment to sit is easier said than done. The rise of a roster-budget model in college sports means that every dollar a team spends on its starting quarterback is one it isn’t funneling toward a capable backup.

What’s more, reliable second-stringers no longer sit around and wait their turn on the depth chart when there is money to be made elsewhere.

“It’s impossible” to recruit quarterback depth, said Texas A&M coach Mike Elko. “I don’t think people in the portal go where there is an established starter.”

Elko knows as well as anyone how this all-or-nothing economy turns high-cost NIL deals into massive gambles. Texas A&M made its big bet on quarterback Marcel Reed, shelling out a reported \$3 million.

The Aggies lost their first two conference games by a combined 39 points.

OPINION

The End of College as We Know It



INSIDE VIEW
By Andy Kessler

What’s the matter with universities? Syracuse missed its 2026 enrollment target and may run a \$30 million deficit. Minnesota is cutting its budget by \$225 million over two years. Tulsa is slashing tuition by more than half. Colleges enroll 4.2% fewer undergraduates than last year. Cornell, Yale, Vanderbilt and Washington University in St. Louis put out plans—not radical enough, if you ask me—to reimagine the university. Wossamotta U? Colleges are known for left-leaning professors, speech suppression, bizarre courses—Occidental College taught “The Unbearable Whiteness of Barbie”—and easy grading more than critical thinking, judgment and problem solving. It’s easy to blame artificial intelligence, but problems run deeper:

- *Aptitude.* In *Griggs v. Duke Power* (1971), the Supreme Court effectively banned corporations from giving intelligence tests, so companies rely on colleges to do their sorting via aptitude tests like the SAT. That led to branding and credentialism, but that game is over. A Cornell report noted employers’ “jarring” skepticism of college graduates because they lack job skills such as “the ability to handle uncertainty and solve problems that do not have clear answers.” A Forbes

survey found almost half of corporate executives are either less likely to hire Ivy League graduates than they were five years ago or would never hire them.

- *Admissions.* “Holistic reviews” that ignore aptitude and grades put a thumb on the scale and harm college brands. In combination with athletic scholarships and easy majors, they bring in underqualified students who are churned out as subpar employees.
- *Accounting.* In 1945, Vannevar Bush suggested the U.S. government fund “basic research in the colleges, universities and research institutes,” which became a big business. But universities got greedy and abused the system by overcharging the government for overhead.
- That business model is now suspect. The Trump administration instituted a 15% cap on “indirect cost rates.” A 2025 study found that at more than 350 institutions funded by the National Institutes of Health, the average negotiated indirect cost rate was 58% and the effective actual overhead rate averaged 42%. The Trump administration’s 15% cap was struck down in most cases and the administration has backed off for now, but we’ve seen research funds cut off. Watch for “let’s hit up alumni for more” as research overhead may no longer be an overstuffed cow to pay for campus excesses.
- That includes professor salaries. Many eyebrows lifted in 2024 when Claudine Gay was fired as Harvard president and

went back to being a professor, at a \$900,000 salary. The average full professor salary at Harvard in 2026 is \$293,619, up 6.4% from last year. I’d bet many of them hate capitalism but are happy to enjoy its fruits.

- *Affordability.* Student loans lead to constant tuition hikes. Same for high professor salaries and administrative bloat. Sixteen colleges and

AI is wreaking havoc in universities, but higher ed’s woes long predate ChatGPT.

universities cost more than \$100,000 a year in tuition and expenses. Where’s the value? Students could buy a decent GPU rack and start their own AI company for less.

- *Artificial Intelligence.* Professors and students seem to be going through the motions of learning, so there’s a huge structural problem. Do ChatGPT-written essays get graded by Claude? Why bother?
- Three years ago, OpenAI’s GPT-4 scored 1,410 on the SAT, maybe enough to get into Michigan. Since then, AI has passed bar exams and medical licensing exams, which says more about these outdated tests than the inadequacy of humans, perhaps a sign of an antiquated education system. Even worse is a 2025 Harvard study, “AI tutoring outperforms in-class active learning.” Are teachers and profes-

sors becoming obsolete?

Universities can take advantage of AI rather than ban it. The sage-on-a-stage format is over. Learning is experiential. As corporate America rejects college branding, graduates would benefit from more hands-on experience. Universities may be uniquely positioned to implement what I call “virtual apprenticeships,” real job experience while still at school.

I suggest all students spend their entire junior year on team projects. Assignments might include building nuclear autonomous buses or robots that cook. Cross-discipline self-organizing teams will form. You’ll need engineers and coders, but also prelaw and political-science majors to clear the regulatory path, philosophers and marketing majors to write press releases, designers, nutritionists, etc.

Self-paced AI-tutored instruction can help students learn what they need as problems arise. A smart entrepreneur might even create a student transfer portal to recruit talented students from other universities.

According to Gallup, in 2013, 70% of Americans said college was very important. Today it’s only 31%. If universities don’t change, more than a few will implode, while others will wither away over decades. AI and alternative forms of learning are already rising. Something radical is needed to stop the decay of our once great universities. Who will step up?

Write to kessler@wsj.com.

BOOKSHELF | By Feyi Fawehinmi

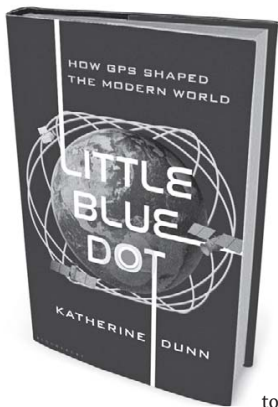
Maps and Satellites

Little Blue Dot

By Katherine Dunn
Bloomsbury, 384 pages, \$29.99

Earlier this year a French naval officer went for a 4-mile run and, like millions of other runners around the world, uploaded his progress to Strava, the fitness app that plots workouts on a map. His route showed loops suspended over open water in the eastern Mediterranean.

Using satellite images taken an hour later, journalists at the newspaper *Le Monde* soon identified the officer’s location, as well as the location of many of his fellow sailors. It turns out the seaman had been running laps on a warship in the Charles de Gaulle’s carrier group. The carrier’s position had been among France’s better-kept secrets. The embarrassment in Paris was considerable.



This story is, in miniature, the one Katherine Dunn tells in “Little Blue Dot”: How a system, originally designed for the U.S. military to know precisely where on Earth things are, escaped into civilian life, became invisible and has lately been called back to war. Ms. Dunn, a business reporter and editor based in London, is a gifted storyteller. Her introduction promises “a wild, weird and fantastical ride”—and she delivers.

For most of human history, knowing where you were was an educated guess. Sailors practiced dead reckoning: Start from a known point, multiply speed by elapsed time, and then hope for the best. Latitude could be read from the stars, but longitude required something that nailed down time more precisely.

The longstanding problem of calculating one’s location appears to have been solved by the Global Positioning System. In fact, GPS also overcomes the challenge through time: A receiver uses the travel times of signals from several satellites, whose positions are known, to calculate its own position. The map in your pocket rests on atomic clocks in the sky.

It all began with a Soviet provocation. In October 1957 Sputnik crossed the American firmament, beeping as it went. Two scientists at Johns Hopkins tuned in. From the rise and fall of the signal’s pitch as the satellite passed overhead, the scientists could reconstruct the entire orbit from a listening post. Then came the elegant inversion: If a point on Earth could locate a satellite in the sky, then a satellite in the sky could locate a point on Earth.

The Vietnam War provided the humiliation that converted that insight into a weapons program. For years the American military failed to destroy a single bridge at Thanh Hóa—not for lack of bombs, but for lack of precision. Bradford Parkinson, the Air Force colonel who became GPS’s chief architect, spelled out the remedy on a sign at the entrance to the GPS Program Office: The mission was “to drop five bombs in the same hole.”

Even so, GPS spent its first decade as an orphan: Few in the military understood the system or cared for it; the real fight among the service branches, Ms. Dunn writes, was “the battle not to get stuck with the bill.” The turning point came in 1983 when a Soviet fighter shot down Korean Air Lines Flight 007 after the passenger jet mistakenly flew into Soviet airspace. President Ronald Reagan promised the still-unfinished system to the world’s civilians.

The Global Positioning System, designed by the U.S. military, became a mundane part of civilian life. It has lately been called back to war.

Commerce did the rest. By 1985 Silicon Valley had shrunk the receiver to the size of a typewriter. One young firm, angling for publicity, lent a unit to the writer William F. Buckley Jr., who was a “fanatical amateur sailor.” Buckley carried the device across the Pacific and reported back in the *New York Times Magazine*: “Navigation used to be deadly serious stuff,” he reflected, but this device “will change everything.”

Courtesy of “the greatest gift that the American taxpayer has ever given the world,” as one navigation executive put it, GPS is, these days, invisible infrastructure. The same signal that tells a dating app which lonely hearts are within a mile of each other also runs the clocks that keep cellular networks and financial exchanges in step. Yet it remains, first and foremost, a military tool. In 1991, when the Pentagon repositioned its satellites over the Middle East for the Gulf War, GPS coverage over America shrank. Highway maintenance, railroad scheduling and earthquake detection were among the civilian activities affected. As Ms. Dunn writes, that episode was among the first occasions—but certainly won’t be the last—during which civilians discovered with shock what GPS “was actually for.”

Ms. Dunn’s underlying theme is that humans spent centuries groping in the dark for their position, built a system that ended that groping, and then forgot the dark was ever there. Her later chapters can read like a dossier proving a point already made. Yet her warning extends beyond navigation: Can time itself be weaponized? An attacker cannot alter its passage but could make clocks disagree. Modern life turns out to be, among other things, a vast congregation of machines taking one another’s word for what time it is.

How such an attack would cascade through civilian networks remains uncertain. But alternatives exist: Precise time can travel by fiber-optic cable and be kept by land-based atomic clocks. And paper maps—the last resort—still work.

The whole journey—from military technology to civilian infrastructure and now global vulnerability—is neatly mirrored in the military’s own training curriculum. In 2006 the U.S. Naval Academy, having deemed GPS dependable, stopped teaching midshipmen celestial navigation—the discipline of fixing a ship’s position based on timed sightings of the sun and the stars. In 2015, with jamming and cyberattacks no longer hypothetical, the Navy put the subject back on the syllabus.

Mr. Fawehinmi works in financial services in London and is the co-author of “Formation: The Making of Nigeria From Jihad to Amalgamation.”



AMERICAS
By Mary Anastasia O’Grady

A sold-out international oil and gas conference in Caracas, Venezuela, last week drew dramatic headlines in the financial press. Representatives from Big Oil, along with many smaller companies, mixed with their peers and government officials and grumbled about the country’s broken-down electrical grid. Journalists seemed amused by a shortage of golf equipment for executives who wanted to hit the links at the local country club.

It’s been nine months since President Trump used the U.S. military to arrest dictator Nicolás Maduro inside Venezuela, take him to New York, and promote his deputy, Delcy Rodríguez, to top despot. Venezuelans thought they were going to get elections. Instead U.S. sanctions on oil sales have been lifted and dollars are again flowing to the criminal regime. Popular opposition leader María Corina Machado desperately wants to return, but Washington won’t allow it.

The energy confab was a Trump administration idea. It’s betting that by talking up the Venezuelan petroleum industry even while a dictatorship is still signing the contracts, it can get capital flowing into the country. The rebuilding of democratic institutions is supposed to follow.

Trump critics say that’s an error in sequencing. They be-

lieve that before investors sink real money into long-term commitments in Venezuela, in amounts that matter, they will want to be dealing with a legitimately elected government operating under a rules-based system.

History is on the side of the skeptics. At a minimum, caution is in order when dealing with the *chavistas*, who over the past quarter-century have repeatedly “dialogued” with democrats, as they’re doing now, only to refuse to relinquish power.

The energy summit harked back to a time in the once-prosperous South American nation when oil was the engine of growth. But elsewhere in the capital and the rest of the country, things remain dire. Triple-digit inflation and persistent power outages make life miserable for most Venezuelans. Ms. Rodríguez still holds an estimated 324 political prisoners, and more than two dozen others are under restricted freedom. Venezuelans at home and abroad are souring on the Trump administration.

Team Trump says it’s still pushing for political reform through negotiations between Ms. Rodríguez’s brother Jorge, head of the National Assembly, and the opposition. The two sides have been meeting on and off for two months and are rumored to be near an agreement on an independent supreme court. After that they’re supposed to form an independent electoral council. If all goes well, some insiders say the country could hold

elections by mid-2027.

Venezuelans who want to recover their country are holding onto this hope. But doubts creep in when the Trump administration attaches no importance to restoring good governance and instead makes a boom in oil production, driven by secret agreements, its priority. By continuing in this direction it’s likely it will get neither.

He is pushing oil production over good governance and may end up with neither.

Attending the conference was a low-cost way for large companies to generate goodwill with the White House. Even companies with little interest in Venezuela had reason to show up to stay on Mr. Trump’s good side. Marginal players probably wanted to rub shoulders with Oil Ministry bigwigs who have discretionary power over rights to explore and exploit oil blocks. Sweetheart deals in exchange for who knows what are the way things work in Venezuela.

Venezuelans are complaining bitterly about the recent regime decision to grant proprietary rights over 17 oil fields to North American Blue Energy Partners, whose majority owner is palace insider Alejandro Betancourt. Yet rather than object to the no-bid contract, the Trump administration further eroded

confidence by appropriating its own minority stake in the company.

In a country gutted by corruption, this is troubling. As oil analysts M. Juan Szabo and Luis Pacheco wrote on their Notes From the Oil Patch blog last week, it’s worth pondering what’s going on “when a company as limited in scale” as Mr. Betancourt’s “announces the purchase of 50 drilling rigs and a significant number of steam generators for a sum exceeding \$1 billion—without having yet made the contract or its technical and financial plan public.”

Mr. Trump’s Venezuelan oil-gusher narrative is, for now, mostly rhetoric. Even contracts and memorandums of understanding, Messrs. Szabo and Pacheco write, “signed with solid companies such as TotalEnergies and Continental Resources, as well as the many contracts signed with companies lacking any real operating, technical, or financial track record, will take time to translate into investment plans, and even longer to contribute to incremental production.” This means that “for the rest of 2026 and much of 2027, these agreements will likely remain in the stage of evaluating fields and weighing options before reaching a final investment decision, conducting baseline audits, carrying out detailed reservoir studies, and resolving logistical and talent bottlenecks.”

Better outcomes might be had. But not without a return to democracy.

Write to [O’Grady@wsj.com](mailto:OGrady@wsj.com).

Where Did the Independent Leaders Go?

By Joseph Epstein

Am I alone in finding the current political landscape bleak? Everywhere I turn, I find ambiguity, ambivalence and antipathy. What are we to think of artificial intelligence? Will it be the death of us or a greater boon than the internet? Apart from Benjamin Netanyahu and Volodymyr Zelensky, there are no political leaders I find admirable. By contrast, there are many outright villains on the scene, among them Vladimir Putin, the various levels of Iranian leadership, and the wilder of the Democratic Socialists of America and their compatriots.

As for members of Congress, only John Fetterman stands out as independent. The rest are lined up irretrievably on their side of the aisle, emerging merely to babble the party line. Sen. John Kennedy of Louisiana is nota-

ble for his comic similes, but not much else. I stopped listening to Bernie Sanders years ago. When he does speak on television I shut out his words and follow his endlessly moving hands. I shall be glad to see Dick Durbin, one of my senators, retire after

Aristotle’s ‘happy medium’ is absent from our politics.

more than 40 years in office. I won’t miss his countless platitudes delivered in a voice of the deepest solemnity conveying moral superiority.

No, if originality of thought is what you seek, it won’t be found in Congress, where sorry shibboleths are the order of the day. I should be glad to see all of them retire and succeeded, doubtless, by fresh cliché-mongers.

How did this come about? Some would blame Donald Trump, whose ready recourse to invective has doubtless intensified our sad political situation. Though as H.L. Mencken, who died in 1956 when Mr. Trump was 9, prophesied, “on some great and glorious day, the plain folks of the land will reach their heart’s desire at last, and the White House will be adorned by a down-right moron.”

Never high on politicians, Mencken also wrote that “if a politician found he had cannibals among his constituents he would promise them missionaries for dinner.” And this: “The whole aim of practical politics is to keep the populace alarmed (and hence clamorous to be led to safety) by menacing it with an endless series of hobgoblins, all of them imaginary.” Would climate change and AI be among these hobgoblins to-

day? How about the rise of the socialists in the Democratic Party? Has politics degraded to little more than keeping Americans agitated? So it often seems.

Aristotle wrote that “he is happy who lives in accordance with complete virtue . . . throughout a complete life.” That virtuous life for Aristotle was marked by finding the mean, or happy medium, when confronted with rivaling claims.

The happy medium is what is missing from our political life. “My way or the highway” might suffice as the current slogan for both political parties. A cold place, the highway, providing little comfort, either physical or spiritual. But that is where many Americans seem to find ourselves now.

Mr. Epstein is author, most recently, of “Never Say You’ve Had a Lucky Life.”

OPINION

REVIEW & OUTLOOK

Another Election, Another Mediscare

Democrats create a phony scare whenever a government subsidy ends, and the Trump Administration’s recent elimination of a fillip for Medicare Part D plans is no different. Still, it’s worth exposing how Democrats are trying to exploit problems they created in the Part D program.

With open enrollment for Medicare kicking off soon, the Centers for Medicare and Medicaid Services has published Part D premium details for the coming year. Surprise—premiums are rising far less than Democrats warned this summer when the Trump team cancelled a Biden Administration subsidy.

Average premiums for stand-alone part D prescription drug plans will rise by less than \$1 a month to \$36. Most low-income beneficiaries receive subsidies that fully cover their premiums. Ninety-three percent of other beneficiaries will have access to at least one plan that costs less than \$6 a month.

Average prescription drug premiums for Medicare Advantage plans—which enroll about half of beneficiaries—are expected to fall by 38% to \$7 a month. Drug premiums in Medicare Advantage are typically lower than for stand-alone Part D plans because insurers who administer the former can subsidize their drug plans with savings from, say, reducing hospitalizations.

In any event, few seniors will experience an appreciable increase in drug premiums next year. One reason is that new generics and biosimilars, and competition among drug makers more broadly, are putting downward pressure on prices. Prescription drug prices have fallen 2.9% over the last year, according to the Labor Department’s consumer price index.

This is bad news for Democrats who claimed that Part D premiums would soar. Senate Minority Leader Chuck Schumer averred that the Trump team “doubled prescription drug costs for millions of seniors.” Punxsutawney Phil has a better prediction record than Mr. Schumer.

As we wrote at the time, the Biden team established a special “demonstration program” to subsidize Part D plans to keep premiums from spiking before the 2024 election as a result of the Inflation Reduction Act’s (IRA) expensive benefit enhancements. These included eliminating the coverage “donut” hole and a \$2,100 annual cap on out-of-pocket costs.

The Biden crowd panicked when insurer bids for providing basic Part D benefits surged to \$179.45 a month for the 2025 plan year, from

\$34.71 in 2023. While the IRA provided subsidies for insurers to keep down premiums through 2029, Democrats didn’t anticipate the extent to which drug utilization would increase.

Ergo, the Biden Administration funneled more money to Part D plans to keep premiums from rising. Some insurers then gamed the system to extract more subsidies, which undermined competition in the market. Eliminating the subsidy will reduce this market distortion.

The broader problem is that the IRA’s Part D redesign and price controls have created many other distortions, which Democrats propose fixing by—wait for it—creating a public Part D option. Democrats want a government prescription plan.

Medicare Part D is a rare entitlement that costs less than projected because of intense competition by private insurers and drug makers. Yet the IRA ballooned the entitlement’s costs and drove some insurers out of the market. The Congressional Budget Office this year revised up its cost projection for Part D by some \$700 billion through 2035 largely due to the IRA.

The number of Part D plans has shrunk by 60% over the past five years. Former Biden CMS official Kristi Martin, a key architect of the IRA’s Part D changes and price controls, recently warned in the journal Health Affairs that the Part D market is “headed to a death spiral.” Why?

Separate IRA subsidies for Part D plans end after 2029, which “raises significant cause for concern around unsustainable premium increases and continued market exits in the near-term,” she wrote. Did Democrats knowingly enact a ticking time bomb? Perhaps, though our guess is they phased out the subsidies in 2029 to reduce the cost of their entitlement expansion on paper to game CBO scoring.

To prevent future premium spikes, Ms. Martin proposes a “federally-facilitated” Part D plan with government “negotiating power” to force lower prices on drug makers. This would be another means by which the government could impose price controls and seize control over Medicare’s provision of prescription drugs.

Private plans would struggle to compete with the public option, and more would leave the market. Seniors who like their prescription drug plan shouldn’t expect to keep it if Democrats take control of Washington.

Part D prescription premiums are coming in lower than Democrats predicted.

Letitia James and the Cornell 7

What is New York Gov. Kathy Hochul thinking? Her decision to appoint state Attorney General Letitia James as the special prosecutor in the case of seven Cornell male students alleged to have known of or engaged in the rape of a female undergraduate couldn’t be a worse decision for the cause of transparent justice.

As Justin Dillon writes nearby, Ms. James appears to have prejudged the evidence before she has seen it. “What this young woman has been forced to endure is horrific and unacceptable,” Ms. James wrote on Facebook before she was appointed by Ms. Hochul. “To her, and to all survivors: you’re not alone. We stand with you.”

That should be disqualifying on its face. A prosecutor is supposed to examine the evidence and make a judgment about whether a

jury would find the accused guilty beyond a reasonable doubt. Ms. Hochul says she lost confidence in the local district attorney who declined to bring charges, but how can the public have confidence that Ms. James isn’t prejudiced against the male students?

The ugly facts of the Cornell 7 case are in dispute, and we don’t profess to know who is right. The students clearly engaged in awful behavior, and Cornell has punished them after its investigation. But the issue for a prosecutor is whether this rises to the level of a criminal offense.

In choosing Ms. James, a progressive who has abused her power for political purposes in the past, the Governor looks to be bending to the social-media mob that wants the students charged. The victim, the Cornell 7 and the cause of justice deserve better.

Hochul’s special prosecutor seems to have prejudged the case.

The United Academic Workers

For a lesson in why labor unions have declined in America, take a look at the reelection challenge to United Auto Workers president Shawn Fain. While championing left-wing political causes, Mr. Fain has squandered worker dues.

The UAW is holding an election for executive offices with a Monday deadline for submitting member ballots. Mr. Fain won election in 2023 by fewer than 500 votes on a promise of reform, but his tenure has been marred by allegations of misconduct and financial mismanagement.

A corruption scandal last decade, before Mr. Fain took office, culminated in convictions of 11 UAW officials and a federal court appointment of an independent monitor. In June the monitor, Neil Barofsky, alleged that Mr. Fain retaliated against union vice president Rich Boyer for refusing to take improper actions that would financially benefit Mr. Fain’s fiancée.

Another monitor report found that the union had mismanaged investments in its strike fund. Mr. Barofsky accused Mr. Fain of scapegoating and retaliating against the secretary-treasurer for the apparent financial lapses.

Mr. Fain denied wrongdoing and accused the monitor of waging a vendetta against him for his anti-Israel activism. Mr. Barofsky has a “political grudge against me because the UAW took an anti-war stance about what was happening in Gaza,” Mr. Fain says. At least he cops to his anti-Israel activism.

“We cannot bomb our way to peace,” Mr. Fain declared at a press conference with Congressional Democrats in 2023, as he demanded Israel agree to a Gaza cease-fire. Mr. Fain also backed anti-Israel protesters on college cam-

puses, many of whom are UAW members. While the UAW has struggled to unionize auto plants in the U.S. South, it has had success organizing on college campuses. These include the University of California, California State University, Columbia, Harvard, New York University, the University of Southern California and Penn State.

The UAW claims to represent more than 120,000 workers in higher education, largely graduate students. Incredibly, the UAW has more members at the University of California than it does at General Motors. Last year it organized 24,500 workers at universities. Yet despite those gains, UAW membership overall has shrunk by about 23,000 since 2016.

A major reason is the UAW’s strikes in 2019 and 2023 that pressured U.S. auto makers into expensive wage and benefit increases, which contributed to job losses. Some colleges are also now cutting admissions and graduate-student employment owing to higher costs from collective-bargaining agreements.

Yet while union workers lose their jobs, the UAW is expanding its administrative ranks. In 2014 the UAW raised dues to pad its strike fund, though much of the money has gone to adding overhead. Mr. Boyer, who is challenging Mr. Fain for president, pledges to “cut overspending,” reduce union dues, and “end the hiring of non-UAW members at excess salaries.”

He says the union has added 23 “administrative assistants” and 12 “public relations specialists” since 2020, many of whom make two to three times as much as auto workers. The election is a test of whether the UAW exists to help workers, or the interests of union bosses and the priorities of the university left.

A leadership election reveals the change at the United Auto Workers.

LETTERS TO THE EDITOR

Accession Could Strengthen Maritime Security

John Bolton’s op-ed “America Has Gone Wobbly on Freedom of the Seas” (Sept. 29) is accurate in its core message that freedom of the seas is “fundamental to America’s national security.” But in critical ways his op-ed undermines the freedom of navigation he champions.

The current U.S. position on the Strait of Hormuz seems to have corrected from earlier “wobbles” and supports full freedom of navigation through Hormuz. But Mr. Bolton’s attack on the Law of the Sea Convention undermines navigational freedom through straits as fought for and won by the U.S.

The fight for freedom of navigation through straits lasted more than a decade in Convention negotiations. The U.S. was the key player in these negotiations, making navigational freedom essential for acceptance.

The U.S. prevailed, and its positions were embodied in the Convention. Part III provides unequivocally for “freedom of navigation and overflight” through straits, including for

military ships and aircraft. Proposals for controls and tolls by “straits states” such as Iran were rejected.

Mr. Bolton writes that “Ronald Reagan wisely rejected U.S. accession to the Law of the Sea Treaty.” The real story is Reagan made clear that the U.S. would not be a party until his conditions for deep seabed mining were met. And these Reagan conditions were subsequently met.

Were President Trump to ask Senate leadership to move the Convention, it is likely it would be approved. American accession would be a huge win for navigational freedom and would emphasize to our North Atlantic Treaty Organization allies that ending Iranian and Houthi efforts to control Hormuz and Bab al-Mandeb isn’t a peculiarly American interest but is a shared concern for freedom of navigation.

JOHN NORTON MOORE
Keswick, Va.

Mr. Moore was a U.S. Ambassador for the Law of the Sea Convention.

Think of Artificial Intelligence Like a Weapon

Regarding Gabriel Rauterberg and Sarath Sanga’s “Shareholders Should Pay for AI Dangers” (Oct. 1): The line “customers demand the capabilities that make the product so dangerous” immediately brought to mind weapons. When a weapon is used in a way that harms another person, the manufacturer isn’t held liable, the user of the weapon is. In the case of AI, the person who is directing the AI agent to take harmful action should be held accountable. AI companies should be held accountable only under specific exceptions.

Access to AI should be restricted based on the capabilities available to the user. Access to weapons varies based on capability, a pocket knife can be purchased by anyone anywhere, firearms are restricted from certain groups, and missiles are only available to militaries and are meticulously accounted for. Not all AI is created equal.

SCOTT NOLEN
Tobyhanna, Pa.

Messrs. Rauterberg and Sanga contend that if we invest in AI companies, we have no product liability in the event of bankruptcy. What about losing our entire investment?

Extending shareholder liability beyond loss of investment is unjust because ordinary shareholders outside the company can’t identify or correct flaws in the services rendered. With unlimited liability for events beyond shareholder control, who would then own shares in American AI companies?

Relying on the proposed government export schemes involving complex, rapidly changing technology only subjects Americans to the foolishness and whims of politicians. The market can do better. Users of foreign AI services may have no reliable recourse for harm done unless the foreign services provide it.

RICH BATEY
Aliso Viejo, Calif.

Americans Have Better Things to Think About

Bob Greene’s op-ed “The Most Important People in an Election” (Sept. 28) quotes former Senator Bob Dole in a Chicago coffee shop, saying, “If you could figure out what the people in here are thinking right now, I bet not a one of them is thinking about politics.” I believe Congress, together with the executive branch, is the most wasteful, dysfunctional and incompetent organization on earth.

Look at the way Republicans and Democrats treat each other. They call each other names, accuse each other of the nastiest things, try to undermine and embarrass each other at every turn.

Americans have more important things to think about—family, work, friends, community. They have better things to do than waste time thinking about an organization where the majority of politicians seem like they’re there to enrich themselves at the expense of the taxpayer and keep the country divided.

Maybe term limits would help change the environment. I don’t know. I’m too busy focusing on what’s important and in my control.

PETER J. SCHMOLE
Los Angeles

Nevada Basks in Solar Power

The article “Nevada Is Making Surprising Gains in Solar Energy” (U.S. News, Sept. 28) confirms what the data have shown for years: We have to use an economic case to spur adoption of solar energy. Nevada draws roughly a third of its power from the sun, and Gov. Joe Lombardo’s pitch was about jobs, reliability and cost, which is a winning argument nationwide. Utility-scale projects like Nevada’s Mosey Solar Project and the Purple Sage Energy Center bring a number of construction jobs and lease payments to rural communities that need both.

If solar is going to scale nationally at the pace our grid requires, the industry needs to make it easy to say yes with consistent messaging around savings, jobs and grid reliability. Nevada didn’t adopt solar because of politics. It adopted solar because the economics were too good to ignore, and the state’s leadership responded.

ALEXIS ABRAMSON
Dean, Columbia Climate School
New York

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Justice Thomas’s Good Turn

Regarding Jason Riley’s “Clarence Thomas, Stalwart for the Constitution” (Upward Mobility, Sept. 30): A number of years ago, Justice Thomas accepted an invitation to speak before an economic club in Indiana. For security reasons, Justice Thomas accessed the dais through a service hallway.

At the conclusion of his remarks, he left through the same hallway, but he took the time to stop and speak with each service worker and to inquire about his or her family. I will never forget that kind gesture and frequently relate the experience to others who may have a mistaken impression of Justice Thomas.

CHARLES LILES
Indianapolis

Pepper ... And Salt

THE WALL STREET JOURNAL.



OPINION

Nikole Hannah-Jones vs. Randi Weingarten

By Joel Klein

Nikole Hannah-Jones’s much-discussed New York Times article about the New York City public schools’ decadelong failures to educate her daughter drew a telling response from the head of the national union that represents the city’s teachers. “I was so saddened,” Randi Weingarten, president of the American Federation of Teachers, commented on the Bluesky social-media site. “Public schools must be places parents want to send their kids; where educators want to teach & where kids thrive. That is our North Star. We must learn what went wrong & address it so all students have what they deserve.”

But Ms. Hannah-Jones’s article makes clear “what went wrong.” Her daughter, Najya, and her classmates “were languishing in classrooms with educators who did not take their academic potential seriously

‘We must learn what went wrong,’ says the head of the teachers union. She needs to look in the mirror.

and largely refused to teach.” And the failure to educate “poor Black children” isn’t limited to Najya’s school or even to the Hannah-Joneses’ city: “There was nothing exceptional about what I witnessed at P.S. 307. I had observed and reported on similar educational malfeasance in Detroit, in Durham, in St. Louis, in Tuscaloosa, in Birmingham.” Ms. Hannah-Jones writes.

If Ms. Weingarten wants to “learn what went wrong,” she should start by looking in the mirror. Her union is the primary reason New York’s public schools fail to educate so many children, especially poor black children.

Ms. Hannah-Jones chronicles a wide range of unprofessional practices at Najya’s school. Teachers refused to check homework or administer mandatory assessments. They were contemptuous of their students, thinking they had no ability to learn. They made up grades. They stopped calling on Najya in class, making her “so frustrated that, waving her hand furiously, she began to blurt out the answers.” They repeatedly ignored Ms. Hannah-Jones’s efforts to find out how her daughter was doing. Some were absent for long periods. Kids were left without substitute teachers and allowed to run wild and assault one another.

A debacle of this scope can’t be explained away by a lack of money or overwhelmed teachers—the usual excuses rolled out to defend failing schools by shifting blame to “the system.” Najya’s school is extremely well-resourced, spending more than \$50,000 per pupil each year, and it has a low student-teacher ratio. More important, the transgressions Ms. Hannah-Jones documents had nothing to do with resources. They were intentionally harmful acts by uncaring teachers, who disrespected their students and refused to do the most basic and undemanding parts of their jobs. They didn’t even try.

This kind of persistent, comprehensive and unchecked behavior can persist only in the absence of accountability. These teachers knew there would be no consequences because their jobs are protected by policies and practices artfully designed by their union.

Teachers unions are built around two nonnegotiable principles: that teachers must be tenured for life and that their compensation can’t be based on performance. Taken to-



A pro-charter-school protest in Brooklyn, N.Y.

gether, they inflict enormous harm on schools like Najya’s. When teachers are paid the same regardless of ability, the good ones almost always go to high-performing schools serving motivated students. Those who “cannot get hired at a ‘better’ school,” as Ms. Hannah-Jones puts it, end up in schools like Najya’s. These schools, having started with less talented and conscientious teachers, are then stuck with them despite the intolerable practices Ms. Hannah-Jones repeatedly observed in Najya’s school.

Although fully aware of these harms, the unions remain implacable. Ms. Weingarten’s predecessor Albert Shanker, the most revered and powerful teachers-union leader in history, eventually came to appreciate the problem but couldn’t get his own union to change course. In a 1993 speech before the Pew Forum, he said: “The key is that unless there is accountability, we will never get the right system. As long as there are no consequences if kids or adults

don’t perform, as long as the discussion is not about education and student outcomes, then we’re playing a game as to who has the power.”

No union leader since Shanker’s death in 1997 has adopted his position. They have kept playing the power game, a game they can’t lose and the kids can’t win.

Despite her devastating critique, Ms. Hannah-Jones remains focused on the problem and not the solution. She ignores the question of teacher accountability and fails to mention charter schools, an option showing real promise for the children she champions. For her, there are only two kinds of schools in New York—rich white ones and poor black ones—a description that inexplicably omits the almost 300 nonunionized charter schools in the city that educate 150,000 predominantly black and Latino children from low-income families.

Almost every one of these charter schools significantly outperforms Najya’s school. Some, like the 59 Success Charter Schools, match and

even do better than the city’s highest-performing public schools. That’s because these charter schools hold themselves and their teachers accountable for the performance of their students. Despite these good results—or rather because of them—the teachers unions, supported by law-makers fearful of their power, have put a limit on the number of charter schools allowed in the city.

Ms. Hannah-Jones has performed a public service by sharing the heartbreaking story of her daughter’s education and exhorting the rest of us to confront one of our nation’s greatest failings—the abysmal education being provided to the large majority of poor black children. But she leaves it to readers to identify the root cause: the

teachers unions.

The unions have no answer to her exposé. On the one hand, they can’t defend the behaviors she documents without showing themselves to be cynical and uncaring. On the other hand, having created and enforced the rules that enabled those behaviors, they can’t condemn them either. Worse yet, given Ms. Hannah-Jones’s acknowledgment that these behaviors are commonplace and widespread, any condemnation by the union would create significant risk for its members.

That’s why Ms. Weingarten is playing dumb and other union leaders are silent. As they always do, the unions will ignore the problem, let time diminish the memory and force of Ms. Hannah-Jones’s article, and continue to play their power games to the detriment of poor black children in America. Shame on the rest of us if we allow that to happen.

Mr. Klein was New York City’s schools chancellor, 2002-11.



LIFE SCIENCE
By Allysia Finley

The average 30-year mortgage rate last week popped up to 7.28%, the highest in three years and more than double the average for 2020-21. The press tells us this bodes ill. Rising mortgage rates will make homes less affordable and could hurt the economy.

Just the opposite. Today’s higher mortgage rates herald a return to normalcy and make homes more affordable over time. They are a sign of a healthy and strengthening economy.

The real risk isn’t that the housing market will collapse because fewer people can afford homes, but that housing regulators relax underwriting standards to help borrowers take out bigger mortgages than they can afford. This is what the Biden team did when mortgage rates rose in 2022, which merely fueled higher prices and taxpayer risks.

The press presents the current 30-year mortgage rate as a historical aberration. It isn’t. Millennials may not recall a time when rates were as

high. For most of their adult lives, rates ranged between 2.5% and 5%. But that was the aberration.

The 30-year mortgage rate averaged 8% between 1971 and 2019 and hovered between 7% and 9% during most of the 1990s, when the economy grew 3.4% annually on average. Economic growth has generally been stronger during periods of higher mortgage rates.

One reason is that the 30-year mortgage rate tracks the 10-year Treasury rate. When the economy or inflation heats up, Treasury yields rise. Mortgage rates follow. In recent months, the economy and inflation have accelerated, pushing up mortgage rates.

After the 2008-09 financial panic and again during the pandemic, the Federal Reserve bought trillions of dollars in mortgage-backed securities along with Treasuries. This had the effect of suppressing mortgage rates. But as the Fed tightened, it reduced its portfolio of mortgage-backed securities, causing rates to drift up.

Banks have become more reluctant buyers of mortgage-backed securities, which has also pushed up rates. Reduced bank buying of mortgage-backed securities is a salutary

development. During the pandemic, when the government sent trillions of dollars slushing through the economy, bank deposits ballooned. Banks invested a large share of their deposits in mortgage-backed securities because these were considered safe and relatively liquid assets. Plus, demand for business loans was weak. As interest rates rose, banks found themselves sitting on depreciating assets.

They’re a sign of a healthy economy and a portent of lower home prices.

Silicon Valley Bank’s large portfolio of mortgage-backed securities plunged in value, contributing to its ultimate failure in March 2023. Banks now demand a higher yield premium on mortgage-backed securities to compensate for the risk that rates will rise and their value will decline. This, too, has had the effect of pushing up mortgage rates.

Because of the strengthening economy, business loan demand has increased and banks now have many more productive ways to invest deposits. Bank loans to businesses have

surged over the past year and now surpass their holdings of mortgage-backed securities. This is good, although competition for credit also boosts mortgage rates.

The silver lining for home buyers is that higher mortgage rates suppress demand, especially by investors. Higher interest rates combined with elevated home prices, plus slow growth in rents, make housing a less attractive investment.

The National Association of Realtors reports that 15% of sales in August were for a “non-primary residence,” down from 21% a year ago. Investment properties and second homes made up only 4% of new mortgages guaranteed by Fannie Mae in the second quarter, compared with about 8% from 2019 to 2023.

Note that the decline preceded this summer’s law restricting institutional investors from buying single-family homes. The Trump team deserves credit, however, for curbing government mortgage-relief programs that repeatedly waived payments for delinquent borrowers. Foreclosures rose as a result, by 47% over the past year for mortgages backed by the Federal Housing Administration.

This isn’t a cause for panic. Foreclosures, suppressed by the Biden

team, have merely returned to pre-pandemic levels. This has freed up more homes for buyers and returned demand and supply to a healthier equilibrium. “The ample supply of homes for sale on the market is giving homebuyers better opportunities to negotiate,” the NAR reports.

The result: slower home-price appreciation. Wages are now growing at about twice as fast as home prices. If this trend continues, Americans will be able to save more for down payments and buying a home will become more affordable.

One danger is that the Trump team will panic over rising mortgage rates and reduce already lax underwriting requirements to help borrowers. An average FHA buyer today has a 691 credit score and 45% debt-to-income ratio yet makes only a 2% down-payment, according to the American Enterprise Institute’s Ed Pinto and Tobias Peter.

Easing requirements further would only goose demand and drive up prices, while increasing the risk of future defaults and losses for taxpayers who stand behind most mortgages. Better to embrace the reversion to normal mortgage rates and focus on lifting worker wages.

Cornell, Letitia James and the New York Ethics Code

By Justin Dillon

Stephen Covey famously advised that one should always “begin with the end in mind.” New York’s attorney general seems to have taken that a bit too literally.

On Thursday Gov. Kathy Hochul announced that she was appointing Letitia James as a special prosecutor to investigate the alleged 2024 gang rape at Cornell University. In her statement announcing the appointment, Ms. Hochul said that she had “lost faith in the Tompkins County DA’s ability to fairly oversee” the case and that “the young woman at the center of this case de-

serves to know that every fact will be examined and justice pursued.”

The signal she is sending couldn’t be clearer and goes well beyond the usual efforts of a politician to please her constituents: There is only one acceptable outcome here, and I expect Attorney General James to find it.

Ms. James doubtless understands the assignment, having run for office in 2018 on a platform in which she proudly proclaimed she would go after Donald Trump and then eagerly proceeded to do so. Public statements she has already made about the case raise serious questions about whether state ethics

rules permit her to participate in the case at all.

On Sept. 28, three days before Ms. Hochul announced the appointment, Ms. James posted the following statement on both X and Facebook: “What this young woman has been forced to endure is horrific and unacceptable. I’m holding her in my heart and in my prayers. To her, and to all survivors: you’re not alone. We stand with you.”

As an initial matter, we don’t actually know what “this young woman has been forced to endure.” The point of the investigation would be to find that out. The New York Times obtained documents from the university’s investigation, which present a complicated picture: Jane Doe, as her lawsuit identifies her, initially texted one of the now-acused men that “non [sic] of the sexual stuff was illegal” and that she enjoyed being with him and one of his fraternity brothers. She accused them of rape only after being disinviited from the fraternity’s Halloween party.

Nor—to put it mildly—do prosecutors publicly proclaim that they hold accusers in their “heart” and “prayers.” And consider Ms. James’s declaration that she is on the side of “survivors.” Whether the accuser is a “survivor” is the very question that an investigation is meant to answer. To start by characterizing her that way is to turn the burden of proof on its head. Ms.

James’s job is to determine whether there is probable cause to believe that someone may have committed a crime, and whether she can persuade a jury of his guilt beyond a reasonable doubt. It isn’t to “stand with” either side.

Rule 3.6(a) of the New York Rules of Professional Conduct prohibits a lawyer from making an “extrajudicial statement that the lawyer

Prejudicial statements by New York’s attorney general should disqualify her from the investigation.

knows or reasonably should know will be disseminated by means of public communication and will have a substantial likelihood of materially prejudicing an adjudicative proceeding in the matter.” Rule 3.6(b) lists examples of such statements, including “any opinion as to the guilt or innocence of a defendant or suspect in a criminal matter that could result in incarceration.”

Almost two decades ago, violations of this ethics provision played a role in the disbarment of Mike Nifong, district attorney of Durham County, N.C., who proclaimed the guilt of accused students in the Duke lacrosse case before undertaking any investigation of the facts.

That case was taken over by the state attorney general, who dropped the charges. Years later the accuser publicly apologized for fabricating the charges.

Ms. James is a savvy operator and knows she is playing with house money. Her public statements about Mr. Trump didn’t lead to either her disqualification from his case or any consequences from the New York State Bar, and she expects this time is unlikely to be different. That may be why, when asked about her tweet at a Friday press conference, Ms. James did not take the opportunity to walk back or “clarify” her comments. Instead, she responded with regal disregard: “I will not comment on a Facebook post.”

So we are left with a Javert problem: Like the blinded-by-righteousness police inspector who mercilessly pursues Jean Valjean in “Les Misérables,” Ms. James will begin her own pursuit of seven young men who have already been punished by Cornell (some severely) and who have reasonably believed for almost two years that they could take the local prosecutor’s declination at face value. We can only hope that somehow this case will come to a just end.

Mr. Dillon, a former federal prosecutor, is a partner at Dillon PLLC, where he represents students and professors in campus misconduct cases.



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Paramount Feels Impact of Rates

Media company paid through the nose for its debt-financing package for Warner

By JACK PITCHER

Paramount needed to secure a massive financing package for its Warner Bros. Discovery deal, with the clock ticking down on a Sept. 30 deadline to close the acquisition without penalty. When it completed a \$52 billion debt sale on Wednesday—the largest ever by a public company in a single-day

transaction—finance chief Dennis Cinelli was staring down a rocky market that made it the most expensive day to sell corporate bonds in several years. “Are we paying a little more in interest?” Cinelli said in an interview. “We are. But we’d much rather get the deal done and then manage that accordingly.” Welcome to life in a rising-

rate environment. The Federal Reserve just lifted its overnight rate for the first time in three years, and a sharp government-bond sell-off has pushed the 10-year Treasury yield near a 24-year high. Yields just posted their steepest quarterly increase since 1994, and rates on everything from mortgages to student loans are moving higher. Paramount would have

saved roughly \$400 million in annual interest payments had it sold the debt just a few months ago, when Treasury yields were around a percentage point lower, though it did hedge some of that rate exposure in the derivatives markets, people familiar with the matter said. The company had been targeting a midyear debt sale before a group of states sued to block the Warner Bros. merger, putting the acquisition in jeopardy. A settlement paved the way for it to move forward—just as yields were jumping. All things considered, Paramount’s sale went smoothly.

But it is one of the starkest examples yet of the eye-popping cost to borrow now. Paramount will pay interest as high as 9.1% on a package of investment-grade and junk-rated bonds that mature between 2028 and 2066. For big corporate borrowers, the credit markets have grown more fraught. Paramount’s deal showed the markets can still absorb historically large slices of debt. But wild swings in Treasury yields and a glut of borrowing tied to the artificial intelligence build-out are making it more expensive to borrow—even for top-

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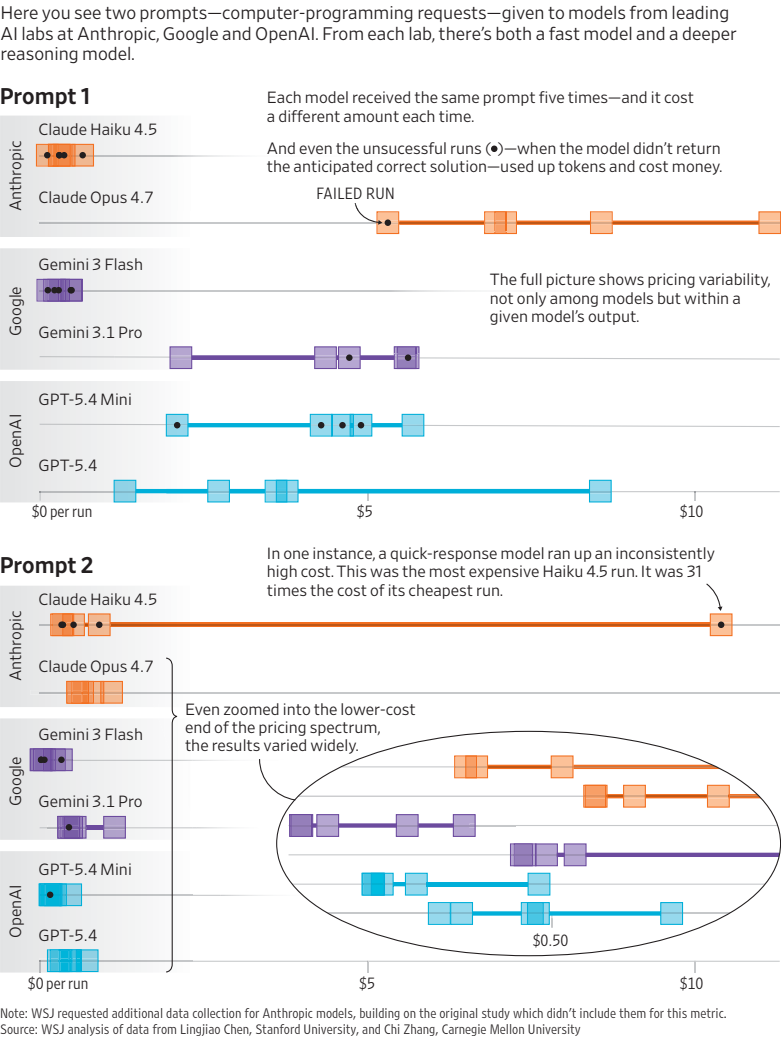
Cost of an AI Task Hard to Calculate

By JILLIAN VORDICK AND STEPHANIE STAMM

First, there was #token-maxxing, whereby American businesses encouraged their workers to use as much AI as possible. Then came the bill. Companies started to realize they need to be more careful about counting their tokens, the unit that measures AI use. And that is hard to do: A recent study found that only 11% of nearly 400 businesses surveyed were able to accurately forecast AI spending. Unlike traditional software, artificial intelligence behaves more like a human worker: It takes action, makes decisions, sometimes even mistakes—all on the clock. While more advanced models tend to cost more per token, they can sometimes perform tasks more efficiently, leading to lower overall costs. Likewise, asking a “cheap” model something it isn’t suited to handle could cause a token run-up. Researchers from Stanford University, Carnegie Mellon University, and the University of California, Berkeley, as well as Microsoft Research put this to the test earlier this year, running models through more than 6,800 tasks spanning math, programming, science and other areas. In 32% of

cases, lower-priced models actually cost more than higher-priced models. “The practical takeaway is clear,” said Lingjiao Chen, one of the researchers. “Price alone should not be used to infer which model is actually cheaper.” For example, a prompt was presented to two Google models, the Gemini 3.1 Pro—generally used for tasks that require reasoning and judgment—and the less expensive, lighter, speedier Gemini 3 Flash. The pricier Pro model finished in 85 steps, whereas the less expensive Flash model went through nearly 1,000 steps...then failed. The less expensive model failed after running up \$14 worth of token use, while the pricier one succeeded for just \$1. While this result could have been an anomaly, it is something that can happen in regular model use. Even the same model might use a different number of tokens each time it completes a task. Suppose you pay a lawn service \$20 an hour to mow. The first week, it takes two hours and costs \$40. A week later, the job takes eight hours and costs \$160. On week three, the job takes five hours, but only

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Levi’s Rides a Wave of ’90s Nostalgia

By KELLY CLOONAN

Nineties nostalgia is back. That couldn’t have come at a better time for Levi Strauss. Sales at the brand, whose jeans were one of the core staples of the 1990s, sagged after consumers shifted to newer designs and the company failed to capitalize. Yet rebounding interest in low-rise jeans and other looks from the decade has given the iconic brand a new life. Levi’s is trying to take advantage of the back-to-the-future shift in style tastes. The company is offering new designs that mimic its coveted vintage pairs, like the 517 jeans featured in “Love Story,” the hit show chronicling the romance between John F. Kennedy Jr. and Carolyn Bessette Kennedy. It is also trying to move beyond jeans by branching into other pieces from the period, such as slip dresses and leather jackets. “We’re already synonymous with the ’90s style,” Levi’s vice president of global marketing Anne Cambria said in an interview. “We really want to amplify the moment.” The on-trend products, along with a push to sell directly to consumers through its own website and growing fleet of branded stores, is putting Levi’s on its strongest business footing in years, according to analysts. The company forecasts sales growth of as much as 7.5% for the year ending in November. Such growth would mark Levi’s biggest annual revenue gain since going public again

in 2019, excluding a postpandemic rebound. Among the shoppers who are back to buying Levi’s denim is Jackie Schexnaider, of Lafayette, La. Schexnaider, 47 years old, grew up wearing Levi’s jeans she bought at a local department store but later abandoned them for trendier and stretchier styles from brands like AG, Gap and Paige. Now, the content creator is back to buying Levi’s rigid denim, this time straight from its website. “The vintage Levi’s look is so popular right now,” she said. “The wash in certain styles are giving that throwback vibe.”



The 517 style, in particular, is enjoying a comeback.

Levi’s, despite its gains, still faces challenges. Its profit isn’t up as much as sales, because of marketing costs, tariffs and a shift to outsourcing more of its order fulfillment, after mostly using distribution centers it owned and operated. And analysts said the company is taking a big risk betting on branded stores. For the stores to succeed, Levi’s will need real-estate and merchandising ex-

pertise it didn’t need before and for consumers squeezed by higher gas and other prices to keep making purchases in stores. “If you build them and the consumer doesn’t come, you’re kind of screwed,” BNP Paribas analyst Laurent Vasilescu said. Founded in 1853, Levi’s long operated as a wholesale men’s denim business selling the same rigid jeans it once made for miners during the California gold rush. It became a streetwear fixture during the 1990s, when everyone from Kate Moss to Princess Diana to Steve Jobs—not to mention the cast of “Friends”—donned its flagship 501s. Shoppers often sized up to get a lower rise, and women frequently bought men’s styles like the 517 jeans worn by Bessette Kennedy. Sales slowed, however, after ultra-low-rise stretchy jeans and premium denim gained popularity. Levi’s also kept relying on department stores and other retailers, while competitors like Gap embraced e-commerce. Sales cratered. Levi’s, which was privately owned from 1985 to 2019, is clawing its way back. Revenue is up more than 11% on a reported basis to \$3.3 billion in the first half of this fiscal year. Due to this progress, the company has raised its full-

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Tom Cruise’s costly ‘Digger’ starts out in a hole with only \$8 million in revenue. **B3**



TECHNOLOGY
Delta Air Lines’ rejection of Elon Musk’s Starlink enrages billionaire. **B4**

Amazon to Expand Nuclear Energy Project

By CLARA HUDSON

Amazon.com walked away last month from plans to build a data-center campus next to a nuclear plant in Maryland after facing community opposition. Instead, the tech giant will help expand power generation at the plant and explore the possibility of adding new reactors there. Amazon has signed an agreement with Constellation Energy to help upgrade the Calvert Cliffs Clean Energy Center, a nuclear site on the western shore of Chesapeake Bay, by adding 190 megawatts of power that will feed back into the regional grid. That is enough to power about

147,000 new homes. In return, Constellation will supply the tech company with up to 690 megawatts of power long term from across its fleet. Amazon and other big tech companies are racing to secure energy for newly built data centers that will power AI and can guzzle as much electricity as a midsize city. Nuclear energy is considered an attractive option because it provides reliable, carbon-free electricity around the clock. The deal with Constellation is Amazon’s first “uprate project,” one that increases the power output of an existing nuclear plant. “Bringing net new capacity

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The jeans maker's revenue is up more than 11% on a reported basis to \$3.3 billion in the first half of this fiscal year.

Levi's Rides A Wave of Nostalgia

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year guidance twice. Analysts say that outlook is still conservative. Levi's reports its third-quarter results this week.

Now swarms scour vintage stores hunting for Coach purses, Champion sweatshirts and Ralph Lauren pullovers popular in the 1990s, as well as vintage Levi's.

Shoppers also are showing interest in products inspired by Levi's archives, said Jana Henning, chief merchandising officer for the company's women's business. Among the newly popular offerings: a slouchier, lower-rise version of its flagship jean sold as 501 '90s, and its wedgie bootcut fit, which was designed to flatter the backside.

Levi's also has expanded its assortment of low-rise jeans, a style that caught on toward the end of the 90s.

"Our fashion business has never been as strong as it is right now, and really the engine behind that is low," Henning said. Levi's is seeing its low-rise jeans "just grow disproportionately within the business."

As part of its turnaround strategy, the jeans maker is trying to move beyond jeans

and dress consumers from head to toe. It has been selling an assortment of other core '90s wardrobe staples such as baby tees, in addition to slip dresses and leather jackets.

The changes have improved Levi's performance, analysts said, largely because of another shift in the company's playbook. It is selling more directly to consumers, allowing it to highlight its most on-trend styles—and show off other items to go with it—rather than rely on other retailers.

"They're back in the cultural conversation now," Telsey Advisory Group's Dana Telsey said. "They're adaptable to different fashion trends, and their customer relies on them to be the authority on denim."

Earlier this year, women shoppers flooded Levi's e-commerce website with searches for the 517 jeans, a men's style, after they were featured in "Love Story."

In search results, Levi's also showed the shoppers its wedgie bootcut and 501 '90s fits to appeal to women specifically, because the designs emulate vintage styles but have a more precise fit designed for women's bodies, said Priya Buening, head of U.S. e-commerce.

"It's the job of the brand and the branded website to say, 'Hey, we think this is what you're saying. This is the product that we actually think meets that need,'" Buening said.



"People are passionate and have apprehensions," Sivaram said about anti-AI views. "The right response from leaders, and we aspire to be a leader, is we need to listen to what's causing the apprehensions...The wrong reaction is to dismiss these concerns out of hand."

A similar episode took place at the ALL IN conference, which convened some 10,000 techies in Montreal recently. The closing session was interrupted by an activist, and broader protests took place outside the event, as well, according to the organizers.

"We recognize that many

Cost of AI Task Is Hard To Calculate

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half your lawn is trimmed.

Alphabet's Google, Anthropic and OpenAI—whose models researchers used for this testing—have since released new models that perform better in industry benchmarks.

"Some prompt-level fluctuation is inherent to AI, and our testing shows this averages out across a high volume of real-world, diverse workloads," said a Google spokeswoman in a statement.

"Total costs depend on many factors for a given task," she added, "which can make it hard to forecast new and evolving technology with precision." She said the company offers customers more control via

view artificial intelligence with concern, which is understandable given the concerning news in recent weeks, and we must listen to these perspectives," the ALL IN organizers said in a statement. AI societal risks and environmental impacts were addressed at numerous sessions at the conference, they said, which made holding the event at this time crucial. "It's the smash-the-looms moment," said Sophie Purdom, managing partner at venture firm Planetree Capital, adding that she expects more such incidents to happen in the coming year. Businesses are taking tangible steps to ensure data centers benefit the community, she said, adding: "As with anybody going into a gold rush, they can always be working

ON Semi Tweaks Plan To Acquire Synaptics

ON Semiconductor will acquire Synaptics for cash rather than stock in a downsized deal, according to an amended agreement between the two companies.

ON said Thursday that it will pay \$123 a share for Synaptics, giving the deal a value of around \$5.7 billion, according to the company.

The company previously agreed in June to issue 1.35 shares for each share of Synaptics, in a deal then valued at about \$7 billion.

ON shares finished trading at \$118.74 on June 25, the day of the announcement, but have since fallen to around \$80 a share. The revised deal comes after Synaptics received an offer from another

much better with the community." Globally, people in Western democracies such as the U.S., the Netherlands, Canada and the U.K. were the most worried about AI, according to a recent poll by Gallup in partnership with Microsoft. People worry about environmental harms and electricity costs, as well as threats to livelihoods and safety related to the rise of intelligent machines. The backlash hasn't halted the AI build-out so far. As much as \$10.3 trillion could be invested in AI infrastructure through 2032, according to Brookings Institution estimates. The critics may be better served by pressuring politi-

AI Industry Confronts the Backlash

Varun Sivaram, founder and chief executive of data-center startup Emerald AI, wanted to explain during a panel discussion recently how fast construction of buildings full of computer servers can benefit local communities. Protesters wanted to hear none of it.

"You are stealing resources from us!" yelled a man in the audience, soon after the panel got under way at the Javits Center in New York during Climate Week, according to a video posted online and Sivaram's recollections. After the man was dragged out by security, other anti-AI activists got up and continued to interrupt panelists.

This wasn't a one-off occurrence: AI founders and investors are increasingly facing public criticism as opposition to the technology mounts. It's a new experience for many in Silicon Valley who are accustomed to Twitter fights, not town-hall brawls.

Other panelists that day alongside Sivaram included Cully Cavness, co-founder of data-center startup Crusoe, and Suzanne DiBianca, the chief impact officer at Salesforce. Cavness wasn't available for comment, while representatives of Salesforce didn't respond to a request for comment.

Sivaram said he is ready and willing to engage with critics. Emerald AI's software aims to help data centers build without straining the power grid.

"People are passionate and have apprehensions," Sivaram said about anti-AI views. "The right response from leaders, and we aspire to be a leader, is we need to listen to what's causing the apprehensions...The wrong reaction is to dismiss these concerns out of hand."

A similar episode took place at the ALL IN conference, which convened some 10,000 techies in Montreal recently. The closing session was interrupted by an activist, and broader protests took place outside the event, as well, according to the organizers.

"We recognize that many

CEO Varun Sivaram, left, said 'we need to listen to what's causing the apprehensions.'

Novartis to License Drug From China's Abogen Biosciences

Novartis struck a deal valued at up to \$7.8 billion to license a messenger RNA drug candidate from Abogen Biosciences and gain options over future therapies, turning to China to fill its pipeline.

Many of the world's biggest drugmakers have set their sights on China to look for new drug ideas, seeking to bolster their portfolios in preparation for older medicines going off patent.

Novartis has sealed several tie-ups with emerging Chinese biotech players in recent years.

Novartis is paying \$575 million upfront and could make additional payments of up to \$7.2 billion if options on

all programs are exercised and targets are met, Abogen said Friday.

Under the deal, Novartis will acquire worldwide rights over Abogen's lead drug candidate, called A B O 2 2 0 3 , which uses mRNA to boost the production of so-called T-cell engagers within the body to fight malignant cells. Abogen said its lead drug has potential to transform the treatment landscape for patients with autoimmune diseases—those in which the body's immune system attacks

healthy cells instead of protecting them.

"Achieving effective and durable immune reset remains an important goal across a number of autoimmune diseases," Novartis's president of biomedical research, Fiona Marshall, said.

Abogen Chief Executive Bo Ying said the agreement with Novartis would allow the company to speed up the development of its lead asset and unlock new therapeutic targets, while underscoring the potential of its RNA platform to expand be-

yond vaccines.

The deal also gives Novartis an exclusive option to license other next-generation therapeutic assets developed on Abogen's RNA platform, the Chinese company said.

The agreement with Abogen is the latest in a series of deals Novartis has reached in China lately.

The Swiss company reached separate agreements to license cancer treatments known as radioligand therapies from Boomray Pharmaceuticals last month and from Zonsen PepLib Biotech in January.

Last year, it entered into a cardiovascular collaboration with Argo Biopharma with a value that could exceed \$5 billion subject to hitting targets.



CEO Varun Sivaram, left, said 'we need to listen to what's causing the apprehensions.'

cians, rather than directing anger at AI founders and investors, said Charlie O'Donnell, an executive coach and a venture capitalist.

"A VC isn't going to back out of this and a startup isn't going to stop progressing. That's what they're set up to do," O'Donnell said. Elected officials, meanwhile, could act to rein in and regulate AI, he said.

Sivaram said he believes this is the moment for the industry to demonstrate AI can be designed with care and benefit society.

Emerald AI's software manages data-center electricity usage, cutting back when needed. The startup was valued at more than \$1 billion in its Series A round this year.

"I founded [Emerald AI] because I wanted to advance the public good," Sivaram said. "Never in a million years I would've dreamt there would be protests in that way."

After the incident at the Javits Center, Sivaram said he reached out to the organizers of the next public event where he was due to appear to discuss security options.

Yulia Chernova writes for WSJ Pro Venture Capital.

BUSINESS & FINANCE

Cruise’s Costly ‘Digger’ Starts Out in a Hole

Last release from Warner before its acquisition opens to a feeble \$8 million

By BEN FRITZ

Tom Cruise put aside his action-hero persona and fell flat on his face at the box office.

The big-budget political satire “Digger,” in which the “Mission: Impossible” and “Top Gun” leading man plays multiple roles including a gleefully polluting oil tycoon, opened to an estimated \$8 million in the U.S. and Canada, according to distributor **Warner Bros.**

That is the lowest opening for a film starring Cruise since the political drama “Lions for Lambs” in 2007, not adjusting for inflation. It is also one of the biggest bombs for any studio this year. Overseas, “Digger” grossed only \$12 million.

The failure of the film—which cost about \$125 million to make, according to the studio—is the latest evidence of how hard it is to get peo-



Tom Cruise plays multiple roles in the political satire.

ple to go to theaters for original films outside of the horror genre.

“Even with respectable ancillary income based on the film’s pedigree, the movie is going to lose a lot of money,” said film-industry analyst David A. Gross in his box-office newsletter FranchiseRe.

A spokeswoman for Warner Bros. declined to comment. Spokespeople for Cruise didn’t respond to a re-

quest for comment.

“Digger” is the final movie released by Warner Bros. before **Paramount’s** deal to acquire its parent company closes Tuesday. While Warner will be a division of the new company, which will be called Skydance, “Digger” marks the end of its 103-year run as a stand-alone studio.

For the past four years, Warner’s motion-picture division has pursued an unusual

Estimated Box-Office Figures, Through Sunday

Film	Distributor	Sales, In Millions		
		Weekend*	Cumulative	% Change
1. Verity	Amazon MGM	\$32.6	\$32.6	-
2. Resident Evil	Sony	\$12.5	\$124.9	-46
3. Heart of the Beast	Paramount	\$11	\$38.4	-45
4. Primetime	A24	\$8	\$34.1	-58
5. Digger	Warner Bros.	\$8	\$8	-

*Friday, Saturday and Sunday in North American theaters

Source: Comscore

strategy of making costly bets on original ideas from critically acclaimed filmmakers such as “Digger” director Alejandro González Iñárritu, who won Academy Awards for “The Revenant” and “Birdman.”

Last year’s horror film “Sinners,” from “Black Panther” and “Creed” director Ryan Coogler, was a smash hit. “One Battle After Another,” from Paul Thomas Anderson, won numerous Oscars including best picture, but underperformed at the box office relative to its budget. Emerald Fennell’s February adaptation of “Wuthering Heights” performed decently. Maggie Gyl-

lenhaal’s “The Bride!”—released in March—was a flop.

Warner in the past couple of years has also had traditional franchise films that succeeded (“A Minecraft Movie,” “Beetlejuice Beetlejuice,”) and flopped (“Joker: Folie à Deux”).

The architects of the studio’s strategy, Warner Bros. Motion Picture Group co-chairs Pamela Abdy and Michael De Luca, aren’t staying with the company once its sale to Paramount closes, The Wall Street Journal has reported.

Warner Bros. leaned in to the polarized reviews in its marketing, encouraging audi-

David Ellison Won Warner Bros., But Now He Must Make Deal Work

By JOE FLINT

Winning **Warner Bros. Discovery** was the easy part. Now **Paramount** Chief Executive David Ellison has to make the \$81 billion deal work.

After about a year spent fending off rival bidders, federal regulators and state attorneys general, Paramount is poised to take control of Warner this week.

Ellison on Friday said the newly combined company will be called Skydance, the name of the boutique film and TV production company he founded before his conquest of Paramount and Warner.

A video announcing the name, styled as a Hollywood sizzle reel set to soaring music, showcased clips from storied films and TV shows such as “Titanic,” “The Lord of the Rings” and “The Sopranos” that will now be part of Ellison’s empire.

Senior leaders at Paramount were expected to spend the weekend completing leadership and integration strategies for the combined company in advance of Tuesday’s expected close.

But the closing will mark the beginning of a far more complex undertaking: combining two sprawling media companies, cutting billions of dollars in costs, managing nearly \$80 billion in debt and navigating restrictions designed to preserve jobs, movie production and competition.

The combination will usher in a new era for Hollywood, creating one of the world’s largest media and entertainment companies, with assets including CBS, HBO, CNN, two major movie and television studios, and the Paramount+ and HBO Max streaming services.

His challenge is to turn his vast collection of assets into a company capable of competing with **Netflix**, **Disney**, **Amazon** and **Apple** while simultaneously taking billions of dollars in costs out of the business.

Doing so will require combining overlapping operations, and eliminating jobs without undermining the movies, television shows and streaming programming Ellison and the company need to compete for audiences.

Paramount has told investors it expects \$6 billion in annual synergies within three years of combining operations, sparking concern in Hollywood about layoffs. At the same time, Ellison has committed to continue investing heavily in content.

Gerry Cardinale, founder and managing partner of Paramount controlling shareholder RedBird Capital Partners, said at a Bloomberg conference last week that most of the cost savings won’t come from layoffs.

“You don’t spend \$40 billion a year making movies and think that your entire premise of your business plan is to fire everyone in Hollywood,” Cardinale said.

Ellison has promised to release at least 30 movies a year and will need to invest heavily in content for the streaming operation. His commitment to release that many movies is now legally enforceable, as part of a settlement Paramount made to resolve an antitrust lawsuit from 12 state attorneys general who sought to block the deal.

The settlement, approved by a federal judge last Wednesday, also commits Paramount to at least \$1.5 billion more in domestic production spending over five years. It includes protections for the editorial independence of CBS and CNN, money allocated for entertainment worker benefits and a commitment to negotiate distribution deals for the two companies’ basic cable channels separately.

Also, the NFL is expected to exercise an option to up its deals with rights holders in the coming years and is expected to seek a significant increase in rights fees. “It’s definitely gonna go up,” Cardinale said.

Ellison is wasting no time putting his stamp on the combined company and recruiting help to operate it.

Last week, he tapped **Mat-tel** CEO Ynon Kreiz as co-CEO. Kreiz brings experience overseeing a large public company and more than three decades in the entertainment business.

During his tenure at Mattel, Kreiz pushed the company beyond its traditional toy business, seeking to turn brands such as Barbie and Hot Wheels into franchises that could generate movies, television shows and games.

That playbook could translate readily to Paramount and Warner, which together control a deep bench of franchises including Batman, Superman, Harry Potter, Star Trek, Mission: Impossible, Transformers and SpongeBob SquarePants.

“We think the appointment of an experienced pub-

lic company CEO makes sense in this scenario given the size of the combined company and complexity of the integration ahead,” Raymond James analyst Ric Prentiss said in a report.

In an interview, Ellison said the structure will give him the “opportunity to be able to focus on the creative, on the technology, capital allocation and overall strategic vision of the company.”

Ellison is expected to unveil the combined company’s organizational structure in the coming days, including leadership teams for the movie and television studios, according to people familiar with the matter. Warner film studio heads Michael De Luca and Pamela Abdy aren’t expected to join the new company, people familiar with the matter said. Their record includes critically acclaimed movies but several box-office disappointments.

Last week, Ellison picked HBO and HBO Max content chief Casey Bloys to oversee the streaming programming strategy of the combined company, according to people familiar with the matter. Paramount streaming head Cindy Holland stepped down on Tuesday, clearing the way for Bloys.

Combining CNN and CBS News also will be a challenge. Besides having different newsroom cultures and labor structures, the two organizations operate under different business models: cable news and broadcast television.

For now, Ellison isn’t putting a single executive in charge of both news operations. He has been wooing CNN CEO Mark Thompson to remain at the network after the deal closes, The Wall Street Journal reported Thursday.

There are also no immedi-



Ellison has committed to keep investing heavily in content.

ate plans to give CBS News Editor in Chief Bari Weiss a role in CNN’s management, people familiar with the matter said. Some CNN staffers have been concerned about Weiss having influence over the network’s operations. Weiss’s tenure at CBS News has generated controversy, including an overhaul of “60 Minutes” that led to the departures of key talent and producers.

This week, Ellison is expected to christen the closing by ringing the opening bell at the New York Stock Ex-

change, said people familiar with the matter.

Ellison had his sights set on Warner long before he made his first bid last year, shortly after he secured control of Paramount in August 2025.

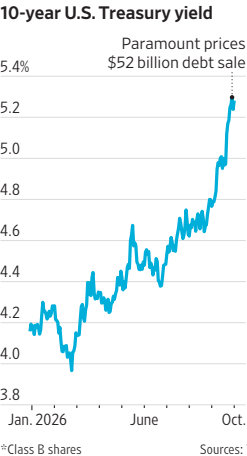
“We started planning for Warner Bros. before we’d even closed on the Paramount transaction,” he said. Ellison’s pursuit of Warner entailed nine bids and a showdown with Netflix, followed by a long effort to secure regulatory approval around the world.

Paramount Feels Effect Of Rates

Continued from page B1 rated companies like **Meta Platforms**.

That is despite the fact that the extra interest companies are paying over Treasury yields remains relatively low, indicating that investors feel good about corporate credit risk.

The strongest AI hyperscalers can afford to eat higher rates, but not every industry can say the same. In recent weeks, the equal-weighted S&P 500 index has badly underperformed the regular, market-cap weighted index, which remains near a record. Analysts are chalking that up to rates-related pain in capital-inten-



sive industries outside of the red-hot AI trade.

Corporate-bond prices fell last week, especially on debt with lower credit ratings.

“The rapid rise in yields and expectations for rate volatility are also starting to

weigh” on corporate debt, Barclays analyst Bradley Rogoff wrote to clients on Friday.

For now, money managers are locking in some of the most attractive rates offered by corporate borrowers since the financial crisis of 2008-09.

Hundreds of big investment firms, including **Apollo Global Management** and Pimco, lined up for the Paramount offering, which also included floating-rate loans.

Potential investors placed orders for \$150 billion of Paramount debt, a strong showing that nearly tripled the amount offered, said Leon Kalvaria, global chair of banking at **Citi-group**, which ran the sale alongside **Bank of America**.

Still, a rocky first day of trading underscored the market’s recent unease. One of Paramount’s new junk-rated notes changed hands near 96 cents on the dollar, handing investors a steep first-day loss, before regaining some ground on Friday.

“I’ve been in this a long time,” Kalvaria said. “Markets always have choppy days, and you have to take a long-term view. We had great execution in a volatile market and now the company has its long-term capital structure in place.”

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TECHNOLOGY

Delta’s Starlink Rejection Enrages Musk

Billionaire snipes at the airline, its CEO for choosing Amazon to provide plane Wi-Fi

By ALISON SIDER

The CEO of **Delta Air Lines** doesn't want to be in business with Elon Musk. And Musk isn't happy about it.

“He will lose his job over this,” Musk wrote on X last week about Delta’s Ed Bastian, responding to unconfirmed reports that the chief executive had criticized him during employee meetings.

The trigger for the billionaire’s pique: Delta, the most profitable airline in the U.S., rejected Musk’s Starlink in-flight Wi-Fi service, choosing **Amazon’s** offering instead.

“Delta wanted to make it painful, difficult and expensive for their customers. Hard to see how that is a winning strategy,” Musk posted on X in May.

The rants have set off a storm on social media. Musk fans and Delta loyalists piled in, generating strings of comments. Suddenly, all anyone could talk about was whether Delta’s Wi-Fi is up to snuff. Sometimes, Musk joined the fray, echoing critical posts.

Delta’s rivals are trying to make hay out of the moment. **United** extended an offer to match frequent-flier status for Starlink-curious Delta and **American** customers. American responded to one of Musk’s posts touting its own status match.

Even notoriously no-frills carrier **Frontier** took the chance to remind fliers that it is getting Starlink next year.



Free, fast Wi-Fi has become a competitive amenity for air carriers. Signs on a Delta flight.

Bastian and Delta have responded to the social-media invective by largely ignoring it. The airline wouldn't comment about Musk's digs, nor confirm that Bastian made any remarks circulating online attributed to him.

In the rare time he has engaged, Bastian played down the criticism, describing it as just the normal course of business.

“Of course, we expect Starlink will be warning people that we’re going to go with an inferior product,” Bastian told Bloomberg in May. “But I’m not too worried about partnering with Amazon.”

This week, reports surfaced that Bastian had made disparaging remarks at company events about Musk’s reputation and suggested Delta wouldn’t want to work with him. Industry observer JonNYC, who posted the com-

ments on X, said he couldn’t verify them. Delta declined to comment.

Since reports of the remarks emerged, Musk’s denunciations have taken aim at Bastian directly. “Any CEO who deliberately damages the company he runs due to some random personal gripe doesn't deserve to run their company!” Musk posted Thursday on X.

Behind Musk’s jibes is a big battle over in-flight internet. Slow and expensive, Wi-Fi on planes has long been one of the most annoying parts of flying. Sometimes, passengers can’t log on at all.

Now the airplane Wi-Fi wars are here. Free, fast in-flight internet has become a critical amenity for airlines to set themselves apart from the competition—and an opportunity for Amazon, Starlink and other providers that promise

billions of dollars in the coming years.

Any in-flight Wi-Fi business would benefit from an association with Delta. It is accustomed to setting the standard for passenger experience. It blazed the trail for premium seating and luxury lounges that rivals now copy, for instance.

It also led the way in nixing Wi-Fi fees a few years ago at a time when among U.S. airlines, only **JetBlue Airways** offered it free. The airline says most of its planes now have “streaming quality” connectivity through providers **Viasat** and **Hughes Network Systems**.

Delta tested out Starlink’s service years ago but held off. Instead it struck a deal earlier this year with Amazon’s Leo satellite internet business to provide Wi-Fi on an initial 500 planes.

Bastian said at the time that Amazon’s Leo would be just as fast as Starlink and more cost-effective. Teaming up with Amazon, the CEO added, would allow Delta to build on its use of Amazon Web Services and to take advantage of Amazon’s capabilities in retailing, gaming and video.

But Delta’s Leo service won’t start until 2028. For now, the Amazon unit is far behind Starlink in terms of getting into space the satellites that provide in-flight internet service.

Musk has criticized Delta for shortchanging fliers’ internet access. “Best way to sand-box an AI is to put it on a Delta flight—it will have no chance of accessing the Internet!” Musk posted earlier this week, echoing a joke made by another user.

Meanwhile, Starlink installations are well under way at several rival airlines or are slated to start next year.

United Airlines, which has Starlink available on nearly half its daily flights and expects to finish outfitting its fleet by the end of next year, seized the opportunity last week to go after competitors’ customers.

It extended an offer to match Delta and American fliers’ status if they want to test out the zippy service. “Don’t keep buffering,” it wrote on a website where frequent fliers can apply for the match.

American, which also plans

to start installing Starlink on hundreds of planes next year, posted a link to its own status match offer, “for anyone suddenly considering their airline loyalty.”

Musk has a history of duking it out with executives, like with JPMorgan Chase’s Jamie Dimon before the pair patched things up. His crusade against Delta and Bastian is tame compared with his last airline feud.

Earlier this year, Musk called for Ryanair CEO Michael O’Leary to be fired and threatened to buy the discount airline to oust him.

The brawl started when O’Leary said Starlink was too expensive and Ryanair had no plans to install it. Musk took to X to call O’Leary an “in-sufferable, special needs chimp.” O’Leary shot back on Irish radio that Musk was “an idiot. Very wealthy, but he’s still an idiot.”

Ryanair, which has a habit of pouncing on free publicity, then launched what it dubbed its “Big ‘Idiot’ Seat Sale.” O’Leary remains in charge of Ryanair.

United Airlines Chief Executive Scott Kirby, now one of Starlink’s biggest boosters, also faced Musk’s ire before becoming a customer. Musk engaged with posts criticizing United’s diversity efforts and mocking Kirby.

After United became a Starlink customer, the company said it was aware of the posts but believed Starlink would benefit customers.

The mogul accused the airline’s CEO of a ‘personal gripe.’

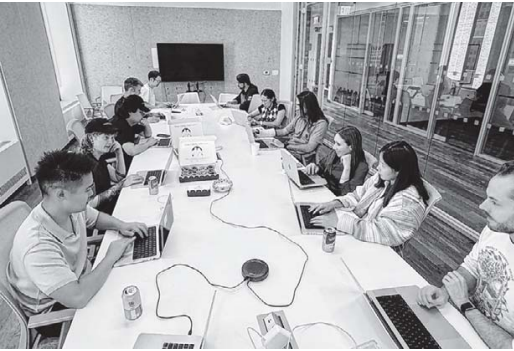
Startup’s AI Model Sparks Talk of LLM Alternatives

By ELIAS SCHISGALL

A three-week-old artificial intelligence model called Jev has set Silicon Valley circles abuzz with discussions around alternatives to large language models, and is already sparking copycats.

Jev, released on Sept. 15 by startup TypeSafe AI, doesn’t operate like a chatbot. It doesn’t generate text. Instead, it uses machine learning to classify inputs to a set of pre-determined outputs: “yes” or “no,” a numerical score, or answers on a list. The company calls this approach “Reinforcement Learning for Calibrated Decisions.”

The startup is led by Diogo Almeida, a former OpenAI staff member who worked on ChatGPT before leaving in



2024. TypeSafe emerged from stealth with the Jev’s release, having raised \$40 million from venture firm DCVC.

Almeida is betting that Jev’s pared-down approach will be fast, cheap and repeatable enough to address some of the shortcomings of traditional LLMs, namely their unpredictability. Already, the model is in use by some 25%

of Fortune 500 companies, Almeida said in an interview last Monday.

“We were at a trillion tokens per day about a week ago,” he said. “And obviously, growth has been exponential.”

The company is marketing Jev as a better choice for integration in automated software. Almeida contrasted the model to the current leading LLMs, which he said can effectively execute tasks with human involvement but are “unbelievably useless for automation.”

“Software tends to work by building a stable layer that people can build on top of, and layering on top of that, and repeating and repeating and repeating,” he said. “That has absolutely not happened with chatbots because they

don’t behave that way.”

Investors are reportedly taking notice. Last month, The Information reported that the company is in talks to raise \$1 billion or more, with some prospective investors suggesting a valuation upward of \$10 billion. Almeida declined to comment on the reported fundraising.

The buzz has also spawned a slew of similar offerings, both open-source models and tools from established companies.

OpenAI recently introduced a tool called Decisions API that uses its Luna model to answer “a specific set of user-defined questions with finite pre-defined answers.” The next day, the data-analytics startup Databricks unveiled a function called ai_decide.

“Following the TypeSafe AI Jev launch, we’ve seen increasing demand for a fast, low-cost API that turns raw text into structured decisions,” a Databricks engineer posted to the social-media platform X announcing the new function.

Almeida said he was sure copycats would emerge, but he remains confident Jev will prove more capable and intelligent. He said he considers Jev at the forefront of a “new class of AI,” adding that he hopes the launch will open a broader conversation about LLM alternatives.

“There’s a whole bunch of frontiers, actually,” Almeida said. “It just so happens TypeSafe is making the first next frontier, and there will be many more.”

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It is the understanding of Secured Party (but without representation or warranty of any kind by Secured Party as to the accuracy of any of the following) that (i) the Common Interests constitute all of the limited liability company membership interests in the Company other than those owned by Secured Party, (ii) the principal asset owned by the Company is one-hundred percent (100%) of the limited liability company membership interests in 434 N. Orange Investment Mezzanine, LLC, a Delaware limited liability company (the "**434 Mezzanine LLC**"), (iii) 434 Mezzanine LLC is the sole member of 434 N. Orange Investment, LLC, a Delaware limited liability company (the "**Property Owner**"), (iv) the principal asset owned by the Property Owner is the real property located at 410 N. Orange Avenue, Orlando, Florida 32801 (the "**Property**") and (v) the Property is encumbered by a mortgage loan in the maximum principal amount of \$128,000,000 held by a mortgage lender not affiliated with Secured Party (the "**Mortgage Loan**"). The Auction is for a sale of the Collateral and not a direct sale of the Property.

The Auction shall take place on December 15, 2026, 12:00p.m. (New York local time) via audio/video conference and in person at the offices of Arnold & Porter, 250 West 55th Street, Fourth Floor, New York, New York 10019. The Auction shall be conducted by Mannion Auctions, LLC, by Matthew D. Mannion, Auctioneer, and/or by another licensed auctioneer as may be selected by Secured Party without further publication or notice.

The Auction is being conducted pursuant to (i) Section 9-610 of the Uniform Commercial Code of the State of New York, (ii) that certain Pledge and Security Agreement dated as of September 5, 2024 made by Common Member in favor of Secured Party as amended by the Omnibus Amendment (as so amended, the "**Pledge Agreement**"), (iii) the LLC Agreement, (iv) the other PE Documents (as defined in the LLC Agreement) and (v) that certain Preferred Equity Recognition Agreement dated as of September 5, 2024 (the "**Recognition Agreement**") between Secured Party and the lender of the Mortgage Loan. The sale of the Collateral will be subject to all applicable third party consents and regulatory approvals, if any. Without limitation to the foregoing, please take notice that there are specific requirements for any potential successful bidder in connection with obtaining information with respect to and bidding on the Collateral (collectively, the "**Requirements**"), including, but not limited to (1) that such bidder must satisfy the qualifications and requirements set forth in the Terms of Sale, (2) that concurrently with consummating the sale of the Collateral such bidder must cause the Mortgage Loan to be repaid in full in accordance with its terms as a condition to taking title to the Common Interests (unless the successful bidder has satisfied all of the conditions and requirements set forth in Section 4(a) of the Recognition Agreement relating to the sale of the Collateral and delivered to Secured Party evidence thereof satisfactory to Secured Party in its commercially reasonable discretion), (3) that such bidder comply with each of Property Owner's, 434 Mezzanine LLC's and the Company's governing documents (including the LLC Agreement) and (4) that the successful bidder is an "accredited investor" (as defined in Rule 501 of Regulation D promulgated under the Securities Act (as defined below)). No assurance whatsoever can be given as to the likelihood that a bidder will be able to satisfy all of the conditions and requirements set forth in Section 4(a) of the Recognition Agreement and so bidders should be prepared to be able to repay the Mortgage Loan in full upon the consummation of the sale of the Collateral (the consummation of such sale, the "**Sale**"). Secured Party has agreed that if Secured Party (or its affiliates) is not the winning bidder, and regardless of whether the winning bid is sufficient to cause a redemption in full of the

interest of Secured Party in the Company in accordance with the LLC Agreement, upon the closing of the sale of the Common Interests to the winning bidder and the payment of the purchase price to Secured Party and satisfaction of all other obligations of the winning bidder under the applicable purchase agreement, Secured Party will withdraw as a member of the Company and its membership interest in the Company shall be deemed to have been fully redeemed.

The Collateral will be sold as a single lot (and will not be divided), on an "AS-IS, WHERE-IS" basis, with all faults, and without any express or implied warranties, representations, statements of conditions of any kind made by Secured Party or any person acting for or on behalf of Secured Party, and without any recourse whatsoever to Secured Party or any person acting for or on behalf of Secured Party. WITHOUT LIMITING THE GENERALITY OF THE FOREGOING, ALL WARRANTIES, WHETHER OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE OR OTHERWISE ARE EXPRESSLY DISCLAIMED.

Secured Party has established an online data site for the Auction (the "**Datasite**"), which will include certain relevant information and documents that are in Secured Party's possession concerning Property Owner, the Company, the PE Investment, the Mortgage Loan, the Recognition Agreement and the Property (collectively, the "**Disclosed Materials**") as well as the terms of the sale (the "**Terms of Sale**"). Access to the Disclosed Materials and Terms of Sale will be provided upon a request made to the contact listed at the end of this notice and will be conditioned upon the satisfaction of specific requirements, including execution and delivery of a confidentiality agreement. No information provided in this notice, in the Datasite or otherwise to a bidder shall constitute a representation or warranty of any kind with respect to such information, the Collateral, the Auction, the Sale or any other matter. Potential bidders are encouraged to review all Disclosed Materials and perform such due diligence as they deem necessary in advance of the Auction.

Secured Party reserves the right to credit bid, set a minimum reserve price, reject any and all bids (including without limitation any bid that it deems to have been made by a bidder that is unable to satisfy the requirements imposed by Secured Party upon prospective bidders in connection with the Auction or to whom in Secured Party's sole judgment a sale may not lawfully be made). Secured Party further reserves the right to restrict prospective bidders to those who will represent that they are purchasing the Collateral for their own account for investment not with a view to the distribution or resale of such Collateral, to verify that each certificate for the Collateral to be sold bears a legend substantially to the effect that such Collateral have not been registered under the Securities Act of 1933, as amended (the "**Securities Act**"), and may not be disposed of in violation of the provisions of the Securities Act and to impose such other limitations or conditions in connection with the sale of the Collateral as Secured Party deems necessary or advisable in order to comply with the Securities Act or any other applicable law.

Secured Party reserves the right, at any time prior to the Auction, to (i) sell the collateral in a private sale and/or (ii) withdraw the Auction, adjourn the Auction or amend the terms of the Auction at any point in the Auction process, in each case in its sole and absolute discretion and without further publication. Subject to the foregoing, the Collateral will be sold to the qualified bidder making the highest bid.

To participate in the auction, prospective bidders must fund the Required Initial Deposit (as defined in the Terms of Sale) and demonstrate their ability to satisfy all other Requirements in the manner described in the Terms of Sale (including the ability to fund the Required Second Deposit (as defined in the Terms of Sale) and the balance of the purchase price in accordance with the Terms of Sale).

All bids (other than credit bids of Secured Party) must be for cash and the successful bidder (if other than Secured Party) must deliver immediately available funds for (i) the Required Second Deposit not later than the second business day immediately following the date of Sale and (ii) the balance of the purchase price for the Collateral on the closing date prescribed by the Terms of Sale and otherwise in compliance with the Requirements. The winning bidder shall be responsible for the payment of all documentary stamp taxes and stamp duties, transfer taxes and similar taxes (in each case, if any) incurred in connection with the sale of the Collateral on the closing date.

Further information concerning the Collateral, the requirements for obtaining information and bidding on the Collateral and Terms of Sale can be found at www.410NOrangeAveOrlandoLLCSale.com. Inquiries concerning this notice or Sale may be directed to Brett Rosenberg, Jones Lang LaSalle Americas, Inc., 330 Madison Ave Floors 3-5, New York, New York 10017, (212) 812-5926, Brett.Rosenberg@jll.com.

Wall Street analysts expect PepsiCo to log quarterly earnings of \$2.30 a share on Thursday.

THE TICKER | MARKET EVENTS COMING THIS WEEK

Monday No major events are scheduled for the day	EIA status report Previous change in stocks in millions of barrels Crude oil up 0.9 Gasoline down 1.7 Distillates down 2.3	Expected 200,000	Friday U.Mich. consumer index July, final 48.1 Oct., prelim. 48.0
Tuesday Int'l trade deficit July, previous \$88.58 bil. Aug., expected \$102.1 bil. Earnings expected Estimate/Year Ago Constellation Brands 3.55/3.63 Lamb Weston 0.59/0.74 RPM International 1.95/1.88	Mort. bankers indexes Purch., previous down 4.0% Refinan., prev. down 9.0%	Wholesale inventories July, previous up 1.3% Aug., expected n.a.	Short-selling reports Ratio, days of trading volume of current position, at Sept. 15 NYSE 4.7 Nasdaq 3.1
Wednesday Consumer credit July, previous up \$18.1 bil. Aug., expected up \$15.0 bil.	Earnings expected Estimate/Year Ago Applied Digital (0.30)/(0.03)	EIA report: natural gas Previous change in stocks in billions of cubic feet up 64	Earnings expected Estimate/Year Ago Delta Air Lines 1.88/1.71
Thursday Initial jobless claims Previous 197,000	Freddie Mac mortgage survey Previous weekly averages 30-year fixed 7.28% 15-year fixed 6.60%	Earnings expected Estimate/Year Ago Helen of Troy 0.50/0.59 PepsiCo 2.30/2.29	Monday U.S. bond markets are closed for Columbus Day holiday

* FactSet Estimates earnings-per-share estimates don't include extraordinary items (Losses in parentheses) ♦ Adjusted for stock split

Note: Forecasts are from Dow Jones weekly survey of economists

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TECHNOLOGY

Retailers Are Split on AI Agent Shopping

QVC rolls out the welcome mat, Kate Spade has curbs and Amazon blocks it

By Patrick Coffee

Tech executives are selling their vision of a retail industry transformed by “agentic commerce,” wherein artificial-intelligence agents shop and can even make purchases with no direct human involvement. **Meta Platforms’** release of the Muse agent, capable of autonomous shopping, only supercharged the anticipation. Retailers including **Gap**, **Walmart** and **Best Buy** have publicized partnerships with Muse, while **Shopify** said Muse will be able to buy from every merchant on its platform. But retail brands aren’t entirely sold, with some rushing to accommodate third-party agents and others deliberately locking them out. Retailers with hesitations cite factors including the desire to control consumer data and concern over the customer experience. There is also no evidence yet that significant numbers of people are telling AI agents to buy things for them. Shopping networks **QVC** and **HSN** treat agentic commerce as a channel for marketing and product discovery, al-



Gap is among the retailers that have publicized partnerships with Meta’s Muse agent.

lowing shopping agents to complete purchases while proactively sending their catalogs to companies like OpenAI and Google for visibility, according to David Thompson, senior vice president of product and technology strategy at parent company QVC Group. “We need to be out in the places that already are grabbing her attention,” he said, referring to the company’s typical shopper. Thompson said QVC can’t confirm whether agents have actually completed

any purchases without conducting extensive traffic analysis. Some agents might also be inadvertently blocked by the company’s legacy security systems designed to defend against bad actors, he said. Gap decides which third-party agents can browse and which can check out on a case-by-case basis, said Damon Berger, senior vice president of marketing shared services. “We’re trying to be open yet continue to have the trust of our consumers,” Berger said.

Retail conglomerate **Tap-estry**, parent company of Coach and Kate Spade, allows agents to browse its brands’ sites but doesn’t let them complete purchases, largely because of concerns over fraudulent purchases and “inventory hoarding”—bots filling carts without buying. However, the company is optimizing its systems to allow agents at checkout, so it will be ready if it changes its strategy. “One day, if you’re like, ‘You know what, I will have my own

agents who will do my shopping for me,’ we want that journey to be smooth for you,” said Yang Lu, Tapestry’s chief information and digital officer. Department-store chain **Kohl’s** prevents agentic purchases, a spokeswoman said, declining to elaborate. **Chewy** and **Neiman Marcus** each block certain agents, according to Billions Network, a firm that helps companies verify humans and AI agents. Neither company responded to requests for comment. Others are more restrictive. **Amazon** blocked Meta’s Muse, saying the tool failed to identify itself as AI and raised data-privacy and security concerns, including the capture and storage of data regarding individual Amazon users’ accounts. The company also blocks agents from OpenAI, **Alphabet’s** Google, Anthropic and Perplexity, according to research from Billions Network. Muse is designed to protect users by generating a one-time card number for each transaction and asking for a user’s permission before buying anything, said a Meta spokesman. **EBay** in January barred agents, including those designed to shop, from accessing or taking action on its platform without express permission. The company believes some AI can’t make the nuanced evaluations necessary for shop-

ping handmade and preowned goods, according to a person familiar with the matter. Some retailers that don’t welcome agents still see agentic shopping strategies as “no-regret investments,” putting them in position to capitalize if more consumers adopt the technology, according to Isabel Perry, chief strategy officer at Dept, a digital marketing firm. Muse’s ability to theoretically shop anywhere with user permission means retailers are out of time to start making decisions, Perry said. It is unclear how eager consumers are for agents to shop on their behalf. Only 3% of U.S. adults would trust agents to complete purchases, according to a survey by payments firm NMI. One-third of active AI users told marketing firm VML they would never give agents the power to buy or even reorder products. Despite being “optimistic” about the technology, Amazon CEO Andy Jassy told investors last year that “the customer experience is not good,” citing AI’s tendency to bundle prices and other basic product information. Amazon released Buy for Me, a semiautonomous agentic shopping tool, last year. *Patrick Coffee writes for WJS Leadership Institute’s CMO Today.*

Amazon To Expand Project

Continued from page B1 into that market makes sense—bringing net new carbon-free capacity makes even more sense,” said Brandon Oyer, a nuclear engineer who is head of Americas power and water at Amazon.

“We’re still contracting for wind, we’re still contracting for solar, we’re still contracting for those combined with batteries. We’re continuing to go out and say, ‘Where else can we bring on new resources in a compressed timeline?’” he said. Meanwhile, opposition to building data centers is growing across the country, particularly over fears that they could increase energy prices. Residents in the Maryland community voiced environmental, resource and health concerns about the project

that was scrapped last month. Calvert Cliffs is home to two reactors that can generate up to 1,790 megawatts of electricity, enough to power more than 1.3 million homes. But like much of America’s aging nuclear fleet, the reactors came online in the 1970s. The 20-year agreement with Amazon will help extend operations at the plant, where one reactor is up for re-licensing in 2034 and another in 2036, said David Dardis, senior executive vice president at Constellation. “It really helps secure the

long-term future of Calvert,” Dardis said. The agreement will support more than \$3 billion in investments, including plant improvements and the increase in generating capacity. Amazon and Constellation also are exploring whether they could install next-generation nuclear technology, including new reactors, at the site. Much of the industry’s recent focus has centered on SMRs, or small modular reactors that developers hope will be cheaper and faster to build.

Although dozens of projects are under way, only a handful of new commercial reactors have come online in the U.S. since 2000. America’s last big nuclear-power project came in more than \$16 billion over budget and seven years behind schedule. Amazon is already betting big on nuclear. The company has a power purchase agreement with **Talen Energy** at its Susquehanna nuclear plant in Pennsylvania and is funding the development of small modular reactors in Washington at the Cascade

Advanced Energy Center. Amazon also invested in, and is a customer of, **X-energy**, a reactor developer that went public earlier this year. Other big tech companies have struck similar deals. **Microsoft** agreed to a 20-year power deal to support Constellation’s restart of the undamaged reactor at Pennsylvania’s Three Mile Island, the site of America’s worst nuclear accident. And Google is partnering with **NextEra Energy** to reopen the Duane Arnold Energy Center, a nuclear plant in Iowa, by early 2029.



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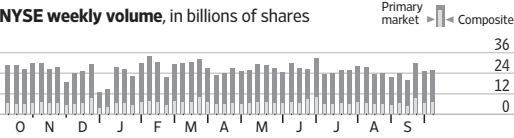
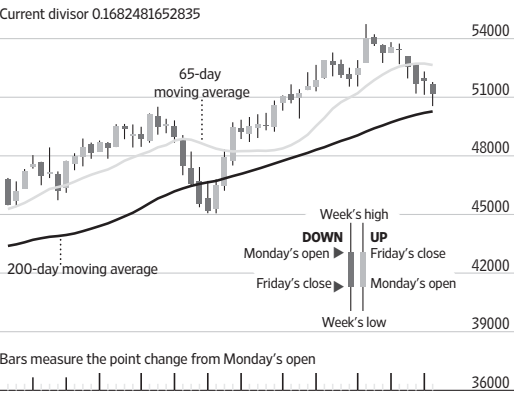


MARKETS DIGEST

Dow Jones Industrial Average

51176.96 ▼651.66, or 1.26% last week
High, low, open and close for each of the past 52 weeks

Last	Year ago
Trailing P/E ratio	20.84 25.63
P/E estimate *	19.51 22.32
Dividend yield	1.55 1.58
All-time high	54349.12, 08/05/26



* Weekly P/E data based on as-reported earnings from Birinyi Associates Inc.; * Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

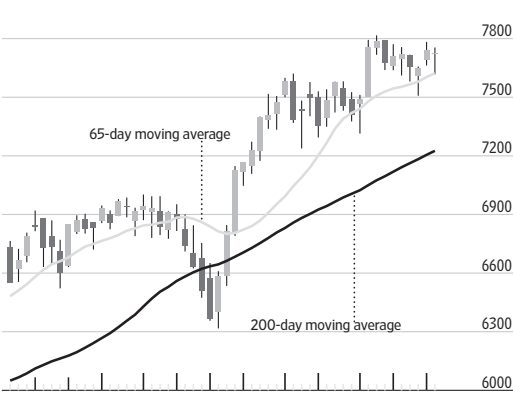
	High	Low	Latest Week Close	Net chg	% chg	Low	52-Week Close (●)	High	% chg YTD	3-yr. ann.
Dow Jones										
Industrial Average	51780.50	50546.54	51176.96	-651.66	-1.26	45166.64	●	54349.12	9.5	6.5 15.2
Transportation Avg	20029.91	19330.08	20009.75	437.53	2.24	15067.87	●	23933.14	26.3	15.3 10.6
Utility Average	1025.15	998.69	1018.02	7.70	0.76	1004.50	●	1190.23	-9.5	-4.7 9.1
Total Stock Market	76458.83	75047.24	76132.52	-176.99	-0.23	62750.36	●	77313.23	14.5	12.8 21.2
Barron's 400	1598.25	1563.35	1592.83	7.90	0.50	1318.70	●	1685.46	14.6	12.7 18.7
Nasdaq Stock Market										
Nasdaq Composite	27353.68	26709.69	27190.86	122.15	0.45	20794.64	●	27244.28	19.4	16.99 26.9
Nasdaq-100	31017.52	30081.06	30807.93	199.80	0.65	22953.38	●	30807.93	24.3	22.0 27.6
S&P										
500 Index	7754.67	7616.78	7722.72	-20.69	-0.27	6343.72	●	7798.99	15.0	12.8 21.7
MidCap 400	3688.72	3576.77	3668.01	19.44	0.53	3109.89	●	3926.98	11.5	11.0 14.1
SmallCap 600	1695.77	1641.82	1685.75	2.49	0.15	1364.94	●	1828.54	15.1	14.9 14.1
Other Indexes										
Russell 2000	2852.50	2775.36	2832.89	-4.66	-0.16	2305.11	●	3068.42	14.4	14.1 17.3
NYSE Composite	23912.59	23333.36	23654.31	-258.28	-1.08	20912.89	●	24821.68	8.9	7.5 15.8
Value Line	652.80	638.41	649.47	-3.18	-0.49	590.50	●	702.6	1.8	3.4 6.9
NYSE Arca Biotech	9584.62	9231.13	9273.55	-220.80	-2.33	6340.88	●	9539.76	41.3	29.7 23.1
NYSE Arca Pharma	1265.92	1205.83	1212.81	-43.13	-3.43	984.85	●	1315.38	18.1	7.7 11.2
KBW Bank	175.15	165.86	170.69	-4.87	-2.78	143.23	●	193.91	13.2	4.0 30.7
PHLX\$ Gold/Silver	370.60	356.12	361.89	-21.59	-5.63	265.03	●	470.37	20.7	5.7 51.8
PHLX\$ Oil Service	96.78	91.00	93.11	-3.19	-3.31	60.27	●	109.24	42.2	27.0 0.4
PHLX\$ Semiconductor	13269.33	12277.41	13136.67	467.74	3.69	6352.07	●	14634.72	99.5	85.5 56.2
Cboe Volatility	17.59	15.30	15.31	0.44	2.96	13.47	●	31.05	-8.0	2.4 -4.6

\$Nasdaq PHLX

S&P 500 Index

7722.72 ▼20.69, or 0.27% last week
High, low, open and close for each of the past 52 weeks

Last	Year ago
Trailing P/E ratio *	23.38 25.56
P/E estimate *	19.80 22.17
Dividend yield *	1.07 1.15
All-time high	7798.99, 08/13/26



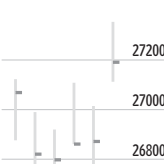
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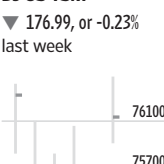
Nasdaq Composite

▲ **122.15**, or 0.45% last week



DJ US TSM

▼ **176.99**, or -0.23% last week



The Week's Action

Pct. chg (%)	Stock price	Point chg	In average	Company	Symbol	Close	\$1,000 Invested (year-end '25)
5.15	5.50	32.69		Cisco Systems	CSCO	\$112.20	\$1,483
3.95	8.88	52.78		NVIDIA	NVDA	233.95	1,257
2.90	23.84	141.70		Caterpillar	CAT	845.42	1,485
1.10	2.24	13.31		Chevron	CVX	206.69	1,394
0.74	1.85	11.00		Amazon.com	AMZN	251.52	1,090

New to the Market

Public Offerings of Stock

IPOs in the U.S. Market

None expected this week

Lockup Expirations

Below, companies whose officers and other insiders will become eligible to sell shares in their newly public companies for the first time. Such sales can move the stock's price.

Lockup expiration	Issue date		Symbol	Offer price(\$)	Offer amt (\$ mil.)	Through Friday (%)	Lockup provision
Oct.10	Oct.8, '25	PomDoctor	POM	4.00	23.0	-78.5%	365 days

Sources: LSEG Data and Analytics; Dow Jones Market Data

IPO Scorecard

Performance of IPOs, most-recent listed first

Company	SYMBOL	IPO date/ Offer price	Frida's close (\$)	% Chg From Offer price	1st-day close	% Chg From Offer price
Southport Acquisition II	PORT.UT	Oct. 1/\$10.00	9.96	-0.4	-0.2	-0.2
Acclevation Hldgs	ACCV	Sept. 30/\$18.00	17.72	-1.6	-1.3	-1.3
Roze AI	RZAI	Sept. 29/\$8.00	19.90	148.8	89.5	89.5
ADARx Pharmaceuticals	ADRX	Sept. 25/\$17.00	18.25	7.4	-5.7	-5.7
Bluerock Acquisition II	BRKKU	Sept. 25/\$10.00	10.02	0.2	0.1	0.1
Live Oak Acquisition VI	LOVIU	Sept. 23/\$10.00	10.00	...	-0.1	-0.1
Electra Therapeutics	ETRA	Sept. 18/\$15.00	10.37	-30.9	-21.7	-21.7
Leader's Advantage Acquisition	LEDRU	Sept. 18/\$10.00	9.97	-0.3	...	...
Orion180 Insurance	OIG	Sept. 18/\$2.00	9.44	-21.3	-19.0	-19.0
American Savings Bank	ASBH	Sept. 16/\$16.00	17.50	9.4	2.9	2.9
Inflection Point Acquisition VIII	IPHXU	Aug. 28/\$10.00	10.07	0.7	-0.3	-0.3
Three Lions Acquisition	TLACU	Sept. 1/\$10.00	9.93	-0.7	-0.2	-0.2
Rainier Acquisition	RNAQU	Aug. 27/\$10.00	10.07	0.6	-0.9	-0.9
JATT III Acquisition	JTTT	Aug. 26/\$10.00	10.65	6.5	-7.0	-7.0
Southern Cross Acquisition II	SCATU	Aug. 26/\$10.00	10.03	0.3	0.3	0.3
Advasa Hldgs	ADBS	Aug. 25/\$10.00	0.14	-98.6	-97.8	-97.8
First Breach	FBDT	Aug. 20/\$8.00	1.05	-86.9	-74.7	-74.7
Lyntris	LYNX	Aug. 19/\$17.50	12.74	-27.2	-15.1	-15.1
Karman Line Acquisition	XTERU	Aug. 18/\$10.00	9.93	-0.7	-0.2	-0.2
NorthStrive Acquisition I	NSAIU	Aug. 18/\$10.00	10.03	0.3	0.5	0.5

Sources: Dow Jones Market Data; FactSet

Public and Private Borrowing

Treasuries

	Tuesday, October 6	Monday, October 5
Auction of 6 week bill; announced on October 1; settles on October 8		Auction of 13 and 26 week bills; announced on October 1; settles on October 8
Auction of 3 year note; announced on October 1; settles on October 15		Wednesday, October 7
Thursday, October 8		Auction of 17 week bill; announced on October 6; settles on October 13
Auction of 4 and 8 week bills; announced on October 6; settles on October 13		

A Week in the Life of the DJIA

A look at how the Dow Jones Industrial Average component stocks did in the past week and how much each moved the index. The DJIA lost 651.66 points, or 1.26%, on the week. A \$1 change in the price of any DJIA stock = 5.94-point change in the average. To date, a \$1,000 investment on Dec. 31 in each current DJIA stock component would have returned \$32,300, or a gain of 7.67%, on the \$30,000 investment, including reinvested dividends.

Pct. chg (%)	Stock price	Point chg	In average	Company	Symbol	Close	\$1,000 Invested (year-end '25)
5.15	5.50	32.69		Cisco Systems	CSCO	\$112.20	\$1,483
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2.90	23.84	141.70		Caterpillar	CAT	845.42	1,485
1.10	2.24	13.31		Chevron	CVX	206.69	1,394
0.74	1.85	11.00		Amazon.com	AMZN	251.52	1,090
0.68	1.44	8.56		Honeywell International	HON	213.99	1,061
0.29	0.67	3.98		Salesforce	CRM	234.69	892
0.26	1.36	8.08		Microsoft	MSFT	517.53	1,077
-0.12	-0.42	-2.50		Alphabet	GOOGL	343.50	1,100
-0.73	-2.66	-15.81		Travelers	TRV	360.38	1,256
-0.90	-1.32	-7.85		Procter & Gamble	PG	144.91	1,033
-1.25	-4.69	-27.88		UnitedHealth	UNH	371.90	1,149
-1.27	-2.87	-17.06		IBM	IBM	222.64	767
-1.83	-6.71	-39.94		Visa	V	360.66	1,034
-1.95	-4.61	-27.40		McDonald's	MCD	231.89	775
-1.98	-6.11	-36.32		American Express	AXP	302.78	825
-2.16	-7.38	-43.86		Aapl	AAPL	333.69	1,231
-2.28	-4.51	-63.48		Boeing	BA	193.56	891
-2.46	-2.16	-12.84		Coca-Cola	KO	85.65	1,249
-2.79	-11.57	-68.77		Sherwin-Williams	SHW	319.51	1,257
-2.91	-9.59	-57.00		Merck	MRK	144.30	993
-3.01	-4.48	-26.63		JPMorgan Chase	JPM	332.38	1,399
-3.11	-10.68	-63.48		Walmart	WMT	104.26	1,046
-3.45	-3.72	-22.11		Goldman Sachs	GS	902.56	942
-3.52	-32.89	-195.49		Home Depot	HD	282.85	1,042
-3.53	-10.35	-61.52		Waltdisney	DIS	102.19	840
-3.73	-3.96	-23.54		3M	MMM	161.89	905
-4.52	-7.66	-45.53		NIKE	NKE	33.87	1,025
-5.26	-1.88	-11.17		Johnson & Johnson	JNJ	256.03	546
-5.60	-15.19	-90.28					1,257

* Based on Composite price. DJIA is calculated on primary-market price. Source: Dow Jones Market Data; FactSet.

Currencies

U.S.-dollar foreign-exchange rates at 5 p.m. ET

Country/currency	US\$/s			Country/currency	US\$/s		
	in US\$	Fri per US\$	YTD chg (%)		in US\$	Fri per US\$	YTD chg (%)
Americas				Vietnam dong			
Argentina peso	.00071524	9170	5.1		.00003848	25986	-1.2
Brazil real	.1919	5.2124	-5.5	Europe			
Canada dollar	.7018	1.4250	3.8	Czech Rep. koruna	.04604	21.720	5.6
Chile peso	.001009	990.92	10.1	Denmark krone	.1505	6.6428	4.5
Colombiapeso	.000366	3269.29	-13.3	Euro area euro	1.1254	.8886	4.4
Ecuador US dollar	1	1	unch	Hungary forint	.003053	327.58	0.1
Mexico peso	.0551	18.1624	0.9	Iceland krona	.008201	121.93	-2.7
Uruguay peso	.02474	40.4190	3.5	Norway krone	.1040	9.6196	-4.6
Asia-Pacific				Poland zloty	.2566	3.8971	8.5
Australiadollar	.6951	1.4386	-4.0	Sweden krona	.0996	10.0389	9.0
China yuan	.1491	6.7049	-4.1	Switzerland franc	1.2067	.8287	4.6
Hong Kong dollar	.1274	7.8479	0.8	Turkey lira	.0204	49.1284	14.4
India rupee	.01040	96.132	7.0	Ukraine hryvnia	.0222	45.0500	6.4
Indonesia rupiah	.0000558	17916	7.3	UK pound	1.3241	.7552	1.8
Japan yen	.006335	157.85	0.7	Middle East/Africa			
Kazakhstan tenge	.002230	448.44	-11.6	Bahrain dinar	2.6523	.3770	0.02
Macau pataca	.1237	8.0845	0.8	Egypt pound	.0191	52.105	9.6
Malaysia ringgit	.2448	4.0849	0.7	Israel shekel	.3277	3.0516	-4.2
New Zealand dollar	.5614	1.7813	2.5	Kuwait dinar	3.2379	.3088	0.3
Pakistan rupee	.00361	276.987	-1.2	Omni sul rial	2.6607	.3845	-0.1
Philippines peso	.0160	62.570	-6.2	Qatar rial	2.744	3.644	-0.3
Singapore dollar	.7819	1.2790	-0.5	Saudi Arabia riyal	.2666	3.7503	-0.2
South Korea won	.0007444	1343.43	-6.7	South Africa rand	.0600	16.6528	0.5
Sri Lanka rupee	.0030245	330.63	6.7				
Taiwan dollar	.03143	31.819	1.5				
Thailand baht	.02981	33.550	6.5				

HEARDONTHESTREET

FINANCIAL ANALYSIS & COMMENTARY

Luxury Stocks Sell at Fast-Fashion Prices

Trends that made companies like LVMH such a brilliant investment over the past 20 years are fading

If the products at Louis Vuitton and **Prada** were suddenly 30% cheaper than Zara or **H&M**, it wouldn't take long for shoppers to strip the luxury brands' shelves bare.

An investing equivalent is happening in the stock market, where shares of Louis Vuitton's owner, **LVMH**, and Prada are trading at an unusually big discount to the two fast-fashion companies. The fact that investors aren't pouncing reflects a growing fear that some luxury brands' best days are behind them.

Global luxury sales have barely grown in three years. The debate in the sector is whether this is a temporary blip or something more serious. Two trends that made luxury stocks an amazing investment over the past 20 years—booming Chinese demand and growing ranks of middle-class consumers splurging on luxury goods in the West—are fading. This means the industry's old 8% annual growth rate won't return soon.

China's consumers were responsible for more than half the industry's growth over the past 30 years, but they seem to be in worse shape than the country's official GDP figures suggest.

Chinese households are dipping into their savings. But this hasn't boosted retail sales, which have grown by less than 1% for five months in a row, according to research and brokerage firm Bernstein. This could be a sign that budgets are so stretched that consumers are using their savings for day-to-day living expenses.

Although home prices have stabilized in Tier 1 cities like Beijing, they are still falling in areas where 90% of the population lives, according to Bernstein. Overall real-estate values are down 40% from their peaks in late 2021 in China, representing an even worse property downturn than was seen in the U.S. after the 2008 financial crisis. Homeowners feel poorer, so they are spending less on luxury goods.

There might be more pain on the way. This summer, Beijing an-



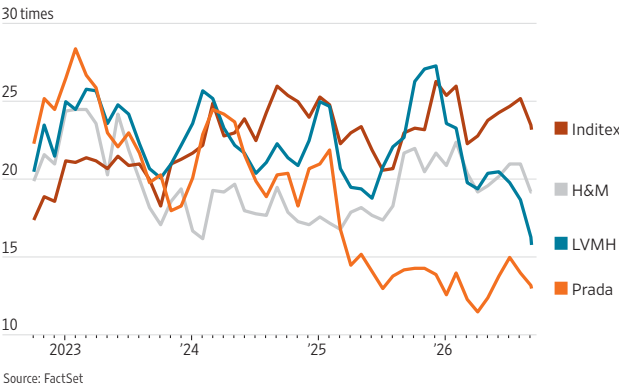
Shares of Louis Vuitton owner LVMH are trading at an unusually big discount to fast-fashion sellers Zara and H&M.

nounced a 20% tax on offshore trusts held by citizens. A fall in sales at luxury malls in July could be an early sign that wealthy Chinese shoppers are pulling back on big-ticket spending as they expect painful tax bills. Third-quarter sales updates will show whether this is affecting luxury brands like **Hermès** that cater to rich shoppers.

Meanwhile, middle-income consumers in Europe and the U.S. also have less cash to spend. They face a fresh round of inflation as war with Iran pushes energy costs higher. Rising government bond yields mean consumers will pay more when they borrow to buy a new home or a car, so there will be less money left over for \$4,000 handbags.

This leaves luxury brands reliant on a narrow group of ultrawealthy consumers who are still spending. For labels like **Brunello Cucinelli** that already sell most of their

Price/earnings multiples



goods to the ultrarich, things will be business as usual.

But a mega brand like Louis Vuitton sells luxury to the masses. The company gets more than half its sales from middle-income shoppers who don't spend huge sums of money individually, but make up a large share of the customer base and make perhaps one

big purchase a year.

This explains why investors aren't snapping up LVMH or Prada, even though their shares are cheap by historical standards. As a multiple of expected earnings, LVMH is trading at a 30% discount to Zara's owner Inditex.

The last time a discount of this size opened up was in 2016. Back

then, sales growth at LVMH had slowed because consumers were tired of heavily logoed handbags and ostentatious displays of wealth became risky in China.

Louis Vuitton successfully overhauled its products and Chinese demand began to pick up again. The company also increased its focus on the U.S. after 2020. Any investor who bought LVMH's stock in early 2016 and held on to it for the next five years made total annual returns of 34%, including reinvested dividends.

The case for buying the shares today is murkier. As well as squeezed incomes, Morgan Stanley analysts point out that luxury brands face stiff competition from luxury resellers, which wasn't the case a decade ago. The RealReal's sales rose 17% in the second quarter.

The market is signaling that cheaper fashion brands like H&M and Zara could benefit as former luxury shoppers trade down to more affordable options.

Cartier owner **Richemont** is faring better than LVMH. Its stock is trading at the same earnings multiple as Inditex. Cartier's sales have been booming as the brand does a good job of attracting customers at different ends of the income spectrum, which might now be the key to success in a K-shaped economy. The price of its goods range from a few hundred dollars for a simple ring to \$10 million or higher for a custom necklace.

With their customers slipping financially, luxury brands face a choice to make their goods more affordable or to hold the line on prices and let their businesses shrink. Either way, luxury stocks are becoming a very different proposition to investors who used to prize them for their strong growth, high operating margins and seemingly infinite pricing power.

There is a lively debate on social media about whether luxury brands offer shoppers value for money anymore. Based on what is happening in the stock market, investors have reservations, too.

—Carol Ryan

BUSINESS & FINANCE

OPEC, Allies Hold Oil Output Steady Amid Middle East Tensions

By **GIULIA PETRONI**

Key members of the Organization of the Petroleum Exporting Countries and its allies agreed to keep oil production steady in November, as security risks in the Middle East remain elevated despite signs that regional crude exports are back around prewar levels.

Sunday's decision comes as markets remain on alert for further escalation and attacks on shipping. Major Middle East producers have managed to ramp up crude supplies, with analysts estimating that regional exports have returned to prewar levels. Physi-

cal markets, however, continue to signal severe tightness.

The Iran war has disrupted global oil flows through key shipping routes for months, limiting the broader group called OPEC+'s ability to add barrels to the market and influence the supply balance. Most members also continue to pump below their official production targets.

OPEC+ kept production steady also for October, following six consecutive monthly increases.

In September, the group raised output by about 188,000 barrels a day, completing the phased unwinding

of 1.65 million barrels a day in voluntary supply cuts agreed in 2023. The participating countries are Saudi Arabia, the group's de facto leader, along with Russia, Iraq, Kuwait, Algeria, Kazakhstan and Oman.

Separate cuts of around 2 million barrels a day introduced by OPEC+ in 2022 remain in place through the end of the year.

Crude production among OPEC members rose by nearly 350,000 barrels a day to 24.08 million barrels a day in August, but remained more than 4 million barrels a day below prewar levels in February.

The cartel is reviewing

OPEC+ members' production capacity after saying last year that it would establish a system for setting production baselines in 2027 that would determine future quotas. The Middle East conflict, however, could test the group's cohesion if producers seek to raise output beyond their targets once regional oil flows normalize, analysts say.

The conflict between the U.S. and Iran is now in its eighth month, with no immediate resolution in sight as the two sides remain divided over key issues, including control of the Strait of Hormuz and the future of Iran's nuclear program.



Security risks in the Middle East remain elevated.

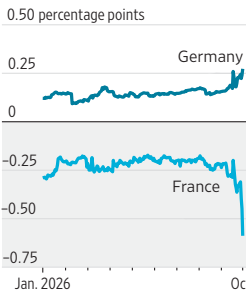
How French Bond Trade Backfired

Continued from page B1

Also a factor, longer-term investors from Japan and elsewhere have less of a reason to hunt for returns in France now that they can earn good money at home or in safer markets such as Germany. France's €3.5 trillion government bond market is the largest in Europe thanks to years of high deficit spending. More than half of that money, worth \$3.9 trillion, is owned by foreigners, according to MUFG.

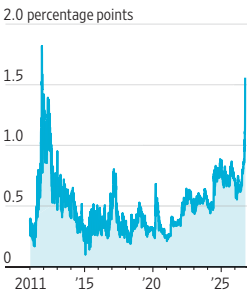
Some investors said the selloff will eventually create opportunities to buy French debt, especially because the European Central Bank ultimately backstops eurozone government bond markets. But they say yields could still rise to significantly higher levels. Credit-ratings firms could

Swap spreads for five-year government bonds*



*Gap between Euribor swap rate and five-year bond yield
Sources: Tradeweb (five-year); FactSet (10-year)

Spread of French 10-year yields over equivalent German bonds



duction in the pension age.

At its widest, French 10-year debt paid a yield 1.81 percentage points over equivalent bunds in November 2011, according to FactSet. On Friday, the gap wasn't far off that, at 1.55 points.

Despite profligate spending and the prospect of far-right or far-left parties taking power in next year's election, hedge funds and other investors piled into bets over the summer, according to traders and bond

analysts. They figured French politics wouldn't get much rockier in the near term.

But they did get rockier, amid a widening poll lead for Le Pen and a poorly received budget plan from Emmanuel Macron's government. Adding to the mix: a broad selloff in government debt globally, fueled by faster U.S. growth, inflation and rising energy prices.

Popular trades gone wrong include buying French and Italian government bonds while selling German bunds. The thinking went that yields in France were already historically high compared with those in the safer German market, and bound to revert toward more normal levels despite budget travails in Paris.

Instead, "le spread," traders' shorthand for the difference in borrowing costs between France and Germany, widened dramatically, as did "lo spread," or the extra yield on Italian government bonds over bunds. In a sign that the unwinding bond trades were causing pain elsewhere in European markets, the euro slid Thursday, as did stocks.

"Going long France and short Germany, that intra-Europe carry trade has gotten crushed," said SMBC's Calenti.

Another trade that went up in smoke, money managers say, was buying French and Italian bonds and selling interest-rate swaps. This strips sensitivity to interest-rate expectations out of the bonds, leaving a bet on the underlying riskiness of the country.

Bonds that mature in between two and five years were a particular target for this trade, one investor said. The bet was that despite France's precarious fiscal position, a country of its size was unlikely to default, especially in such a short period. The investors would profit if bonds outperformed relative to swaps, which acted as the hedge.

On Thursday, prices on the two-legged trade went the other way, putting anyone who had bought in recent weeks underwater. German bonds, on the other hand, outperformed swaps, suggesting investors were flocking to the safety of Europe's biggest economy, said Luca Salford, a strategist at

Morgan Stanley.

In past selloffs, foreign investors have generally been eager to step in and buy French bonds at higher, more attractive yields. But that dynamic changed last week.

At L&G Asset Management in London, fund managers at first saw what they thought was a great opportunity to buy French government bonds and sell bunds in recent days. It wasn't just that "le spread" was historically wide. The fund managers also thought bond math would play in their favor. As time passes, a five-year bond becomes a four-year bond, which typically has a narrower spread over safe assets, giving a source of extra return.

Their colleagues on the rates-strategy team said no—too many investors were still long France, and could create a self-fueling selling cycle if they ran to the exit at once.

They were vindicated in Thursday's disorderly selloff, said John Roe, head of multiasset allocation. "It's very tempting when you see numbers you've not seen for a long time to dive in," he said.

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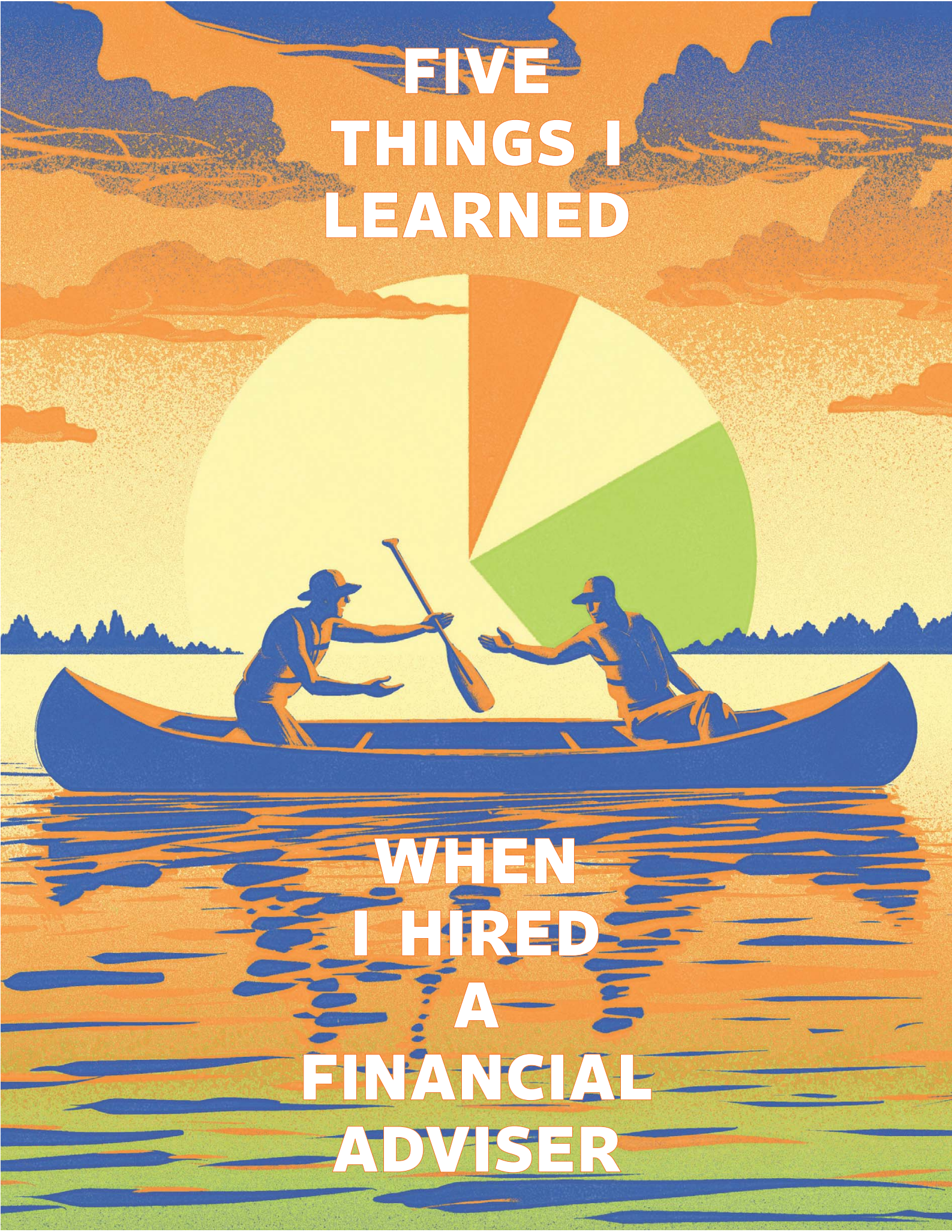
JOURNAL REPORT

INVESTING MONTHLY

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THE WALL STREET JOURNAL.

Monday, October 5, 2026 | **R1**



ALEX NABAUM FOR WSJ

FIVE THINGS I LEARNED

WHEN I HIRED A FINANCIAL ADVISER

I’ve been the family financial decision-maker for a quarter of a century. Handing the reins to somebody else has taught me a lot about my blind spots.

BY BRIAN HERSHBERG

FOR 25 YEARS, I managed my family’s finances myself. Then I had one of those milestone birthdays earlier this year that makes you think about life, death and, hopefully, retirement.

So I finally decided to hire a financial adviser to help.

It wasn’t because I suddenly decided I couldn’t manage our investments and day-to-day finances. It was because I began asking ques-

tions that I wasn’t sure I could answer. What would happen if I suddenly lost my job? Have we saved enough for retirement? And if I die tomorrow, would my wife know what we owned, where everything was and what to do next?

I also worried that after several strong years for U.S. stocks, our portfolio had become too concentrated and exposed to a crash or correction. I hadn’t rebalanced in years and I wanted to reduce some of that risk, diversify our holdings and start preparing for some worst-case scenarios.

My first mission was to find an adviser. As a Wall Street Journal features editor—and involved in many articles on wealth management—

I knew what I wanted: a fee-only adviser who would act as a fiduciary. This would ensure that any advice would be free from conflicts of interest by commission-driven brokers or advisers. I searched the National Association of Personal Financial Advisors website and contacted several fee-only firms in my area.

I figured I also knew what to expect. But the process of interviewing advisers and eventually hiring one taught me things about financial advice that I hadn’t appreciated from years of writing and editing stories about it. It also taught me a few things about myself as an investor and saver.

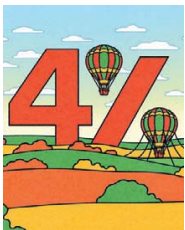
Here are five lessons I learned from the hiring

Please turn to page R4

Inside

RETIREMENT RESEARCH

The 4% rule for spending down retirement savings succeeds about 80% of the time when stocks are performing well and inflation is modest. **R2**



Health Decision

Should you keep your employer insurance or go on Medicare? Here are some of the considerations. **R6**

THE EXPERTS

How to set up a thoughtful—and hopefully—litigation-free plan for your estate. **R7**



RETIREMENT ROOKIES

Our columnists find that their retirement habits give them the edge against inflation. **R8**



JOURNAL REPORT / INVESTING MONTHLY



Memorials cropped up after Steve Jobs's death.

Financial Flashback

A look back at Wall Street Journal headlines from this month in history

15 YEARS AGO ▶
When Steve Jobs died 15 years ago today, Wall Street Journal tech columnist Walt Mossberg remarked that he was on par with Thomas Edison or Henry Ford in terms of his impact on business. He wasn't wrong. Indeed, the Journal on Oct. 6, 2011, gave the **Apple** legend's death a rare treatment: a six-column headline across the front page. "Apple has lost a visionary and creative genius, and the world has lost an amazing human being," said his deputy, Tim Cook. That work amounted to a résumé that would rival those inventors and innovators of yore. After co-founding Apple Computer in 1976 and taking its stock public in 1980, Jobs was ousted in 1985 after clashing with its board. But his story didn't end with pioneering the era of personal computing. After leaving Apple, he founded computer and software company NeXT in 1985 and purchased a small animation studio, Pixar, in 1986. He built that company into a Hollywood powerhouse, including the groundbreaking computer-animated feature movie, "Toy Story." Then Apple, which was near bankruptcy, called him back in 1997. He oversaw the launch of the colorful, see-through iMacs and eventually started three new product categories—the iPod, the iPhone and the iPad. Apple became the most valuable in the



The Wall Street Journal, Oct. 6, 2011

world, with a market capitalization of \$350 billion. It has since gone on to a market cap of nearly \$5 trillion, a period mostly run by that former deputy.

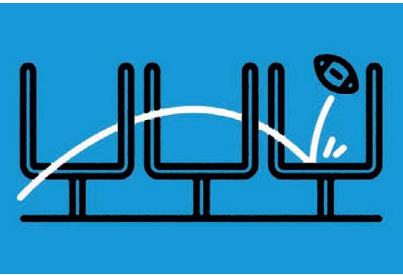
—Simon Constable

60 YEARS AGO ▼
French Buying of U.S. Gold Came to Halt Last Month

75 YEARS AGO ▼
AT&T Gets Millionth Stockholder as Saginaw Family Buys 7 Shares: Company First to Reach Million Mark in Holders

Quarterly Monitor • William Power

Funds Cling to 10.3% Gain in 2026



To use football terminology, the stock market had a solid first half but struggled to move the ball in the third quarter. Nevertheless, fund investors are in line for a win. For the quarter, S&P 500-focused funds posted an average total return of 2.2%. But overall U.S.-stock mutual funds and ETFs fell an average 2.4%, to trim their year-to-date gain to 10.3%, according to LSEG statistics. (See Mutual-Fund Yardsticks table on page R6.) International-stock funds were down an average 0.4% for the quarter, to trim the year-to-date return to 10.1%. The jump in interest rates, and slowdown in the tech-stock bullet train, has put many investors on edge. Highflying stocks like those tied to artificial intelligence “may be vulnerable to a selloff if investors decide they’d rather take advantage of the currently elevated risk-free rates” that Treasuries represent, said Saira Malik, chief investment officer at Nuveen. Treasuries have been pummeled recently, to push up yields—which move on a seesaw compared with prices—to multiyear highs. “Investors believe the Fed’s resolve will ultimately bring inflation under control, which is a precondition for a durable equity rally,” said Chris Osmond, chief investment officer for Fifth Third Wealth Advisors. Bond funds were hammered in the quarter. Funds focused on investment-grade debt (the most common type of fixed-income fund) posted a negative total return of 3.7%, to put the year-to-date gain at 3.0%.

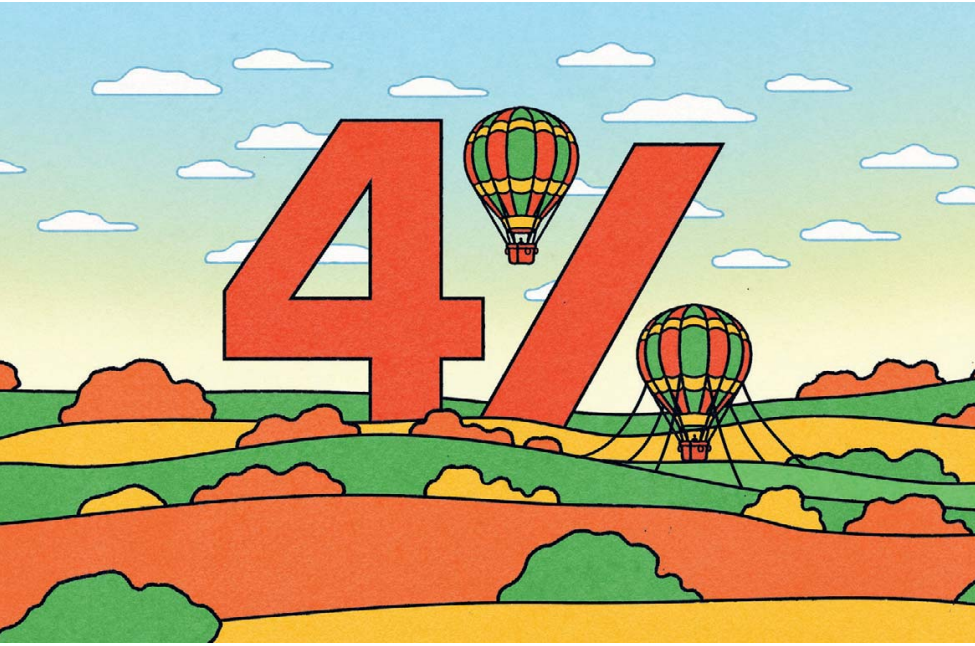
Fund flows
Investors continued to show faith in stocks in the quarter, but placed even more in the relative comfort of bond funds—despite the turmoil in Treasuries and accompanying jump in yields. Based on Investment Company Institute estimates, investors added a net \$4.3 billion to U.S.-stock mutual funds and ETFs. They also added a net \$15.7 billion to international-stock funds. However, that stock-fund investing paled in comparison to bond funds, which attracted a net \$175.0 billion.

William Power is deputy section editor of Journal Reports. Email him at william.power@wsj.com.



‘While investors fret over inflation, bond yields and geopolitics, stocks continue to climb the wall of worry—with double-digit gains this year.’

Carol Schleif
Chief market strategist, BMO Wealth Management



When the 4% Rule For Retirement Spending Succeeds—and Fails

The strategy does best when stocks are rising and inflation is modest

BY DEREK HORSTMAYER

THE 4% RULE is one of the most enduring guidelines for the decumulation phase of retirement. It is also one of the most debated. So my research assistants, Taha Abusaymeh and Anton Siren, and I decided to test this idea—in which savers withdraw 4% of their portfolio in the first year of retirement and then that dollar amount, plus more to account for inflation, each year after. We wanted to see where it fails and what is the biggest impediment to making it 30-plus years following this strategy without running out of savings. Our conclusion: The strategy works in more than 80% of cases in our baseline scenario, with the retiree making it to age 95

with money remaining. But the strategy fails far more often in certain circumstances—namely, when there is high inflation, if stocks slump for a decade (as they did during the early 2000s), or when an investor has too conservative an allocation strategy or has advisory fees. **Our methodology** To model a theoretical retiree using the 4% rule, we considered a 65-year-old with \$1 million in tax-free savings and with the goal of making it to 95 years old with money left over. Withdrawals come at the start of each year, before returns, beginning at \$40,000 and growing with realized inflation thereafter. As for portfolio allocation, we assumed the retiree follows a linear shift in asset mix, starting with 50% stocks at age 65 and

moving to 0% in stocks at age 95. We considered a diversified stock portfolio and assumed an average annual 10% return with 15% volatility, while bonds are assumed to have a 4% return and 5% volatility. Also in our baseline model, we assumed 3% inflation and zero fees on the management of assets, which our theoretical retiree holds in a posttax Roth individual retirement account. We also assumed spending on healthcare and other typical household expenses would be static over time, covered by portfolio withdrawals and Social Security benefits. With our model in place, we then ran more than 10,000 simulations to test the probability of success in our baseline assumptions as well as scenarios where we adjusted variables to mimic real-world situations like

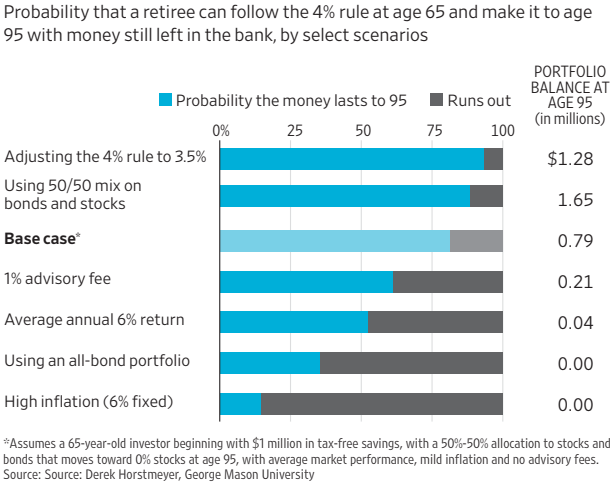
high inflation or long-term bear markets.

Our findings
In the baseline model, the retiree will make it to age 95 with money left in the portfolio 81.5% of the time—and completely run out 18.5% of the time. The median balance for those with money remaining at age 95 is \$792,000—meaning the retiree would lose just \$208,000 over a 30-year period if the baseline conditions held fast. The results get particularly interesting—with failure rates as high as 85.4%—when we alter the baseline assumptions. If we assume an inflation rate of 6% (instead of 3%) over the 30-year period, while keeping all other variables fixed, one’s probability of making it to 95 with money left in the bank drops to 14.6%. And for those retirees who do make it to the end with some money left over, their final balance has a median value of just \$23,000. Assuming stock volatility was 20% a year instead of 15% would diminish one’s chances of making it to the finish line with money remaining to just 75%. And if the retiree experiences a bad decade of stock returns (like we saw from 2000 to 2009,

when there were two market slides), this drops one’s chance of making it to 95 with money remaining to 52.4% (and a median balance of just \$44,000). What would happen if the retiree took a much more conservative investment strategy, moving fully to bonds at age 65 and staying there for the entire 30-year period? It would drop the probability of making it 95 with money remaining to 35.4%. How about the impact of advisory fees? To address this question, we looked at a simple 1% annual fee on wealth—and it knocked the probability of making it to 95 with money remaining to 61.3%. And the median balance for a retiree with money left over in this scenario was \$207,000. The results highlight how the 4% rule can be successful for roughly 4 out of 5 retirees when stocks are performing well and inflation is modest. But they also show how periods of high inflation or a lost decade in markets, among other factors, can lead many more retirees who follow the rule to burn through their savings before age 95.

Derek Horstmeyer is a professor of finance and director of the Future of Finance Lab at Costello College of Business, George Mason University, in Fairfax, Va. He can be reached at reports@wsj.com.

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JOURNAL REPORTS INVESTING MONTHLY



Four Big IRA Mistakes That You Can’t Undo

Rollover situations in particular are rife with land mines that can trigger taxes and penalties

BY LEONARD SLOANE

INVESTORS often make mistakes with their individual retirement accounts. Fortunately, the tax code allows many of these missteps to be corrected. Contribute too much to your IRA, for example, and you can withdraw the excess and related earnings without paying a 6% annual penalty if you do so be-

fore Oct. 15 of the following year. Or if you forget to take one of the annual withdrawals from your traditional IRA, known as required minimum distributions, you can take the distribution when you realize you’ve missed an RMD and use Internal Revenue Service form 5329 to request a waiver of the penalty. But there are some IRA missteps that can’t be fixed. Make the wrong kind of rollover or violate certain distribution rules,

and there may be no way to correct the situation. The consequences could include significant taxes, penalties and the loss of opportunity for growth. “These are fatal errors,” says Bradley D. Tiche, a financial planner in Wexford, Pa. “They’re made because people are unsure about what actions to take.” Here are four mistakes that generally can’t be undone and how to avoid them:

1. Taking a nonspouse beneficiary rollover
A surviving spouse who is the beneficiary of an inherited IRA can withdraw the funds and deposit them into his or her own IRA tax-free within a 60-day window. This isn’t an option for

nonspouse beneficiaries. For nonspouse beneficiaries to move inherited IRA assets while preserving their tax treatment, they must move the money directly from one custodian to another in a direct transfer. If the money is paid to the beneficiary instead, the taxable portion of the distribution becomes income. Some custodians may be reluctant to do a direct transfer, but this should be a priority. It is especially important for nonspouse beneficiaries who want to spread out the distributions—and the resulting tax bill—over 10 years. Your options if your custodian refuses a direct transfer are keeping the funds with that custodian or withdrawing them and paying the tax.

• **How to avoid it:** When moving an inherited IRA as a nonspouse beneficiary, make clear to both financial institutions that you want a direct transfer. This can even be in the form of a check from the sending custodian made out to the receiving custodian and sent to you—as long as the check isn’t payable to you.

2. Exceeding the one-rollover-a-year rule
IRA owners are limited to one indirect IRA-to-IRA rollover during any 12-month period. The key phrase is “12-month period.” It isn’t based on the calendar year, and the limit generally applies across all of an individual’s traditional and Roth IRAs rather than separately to each account. Any excess contribution has to be removed from the receiving IRA and pretax funds in the ineligible rollover are taxable. Those younger than 59½ also could face a 10% tax on early distributions unless an exception applies.

• **How to avoid it:** Move IRA money directly between financial institutions rather than taking possession of it yourself. Direct

custodian-to-custodian transfers aren’t subject to the once-per-year rollover limit.

3. Altering a 72(t) plan
So-called 72(t) plans allow individuals to tap their IRAs before age 59½ without paying a 10% early-withdrawal penalty. But IRA owners who want to take advantage of this rule must set up a distribution plan for “substantially equal periodic payments” that must be in effect for at least five years or until age 59½, whichever is longer. Once the plan begins, flexibility is limited. Any change—such as contributing more to the IRA or changing the distribution amount—can trigger a 10% penalty that is retroactive to all distributions taken before age 59½.

• **How to avoid it:** Divide your IRA, with one part used for the 72(t) plan and the other maintained normally for more flexibility.

4. Violating the “same property” rollover rule
When making a withdrawal from an IRA for an indirect rollover, the “same property” must be moved to another IRA within 60 days to be eligible for tax-free treatment. So, if you remove a particular stock, only those shares can be used for the rollover. If you make a mistake and roll over different property—say, cash or shares of another company—it is considered an excess contribution and must be removed. In addition, the distribution may be subject to tax and a penalty.

• **How to avoid it:** If you’re rolling over securities rather than cash, don’t sell or swap the property. Or, if possible, use a direct transfer.

Leonard Sloane is a writer in New York. He can be reached at reports@wsj.com.

What I Learned When Hiring A Financial Adviser

Continued from page R1 and onboarding process.

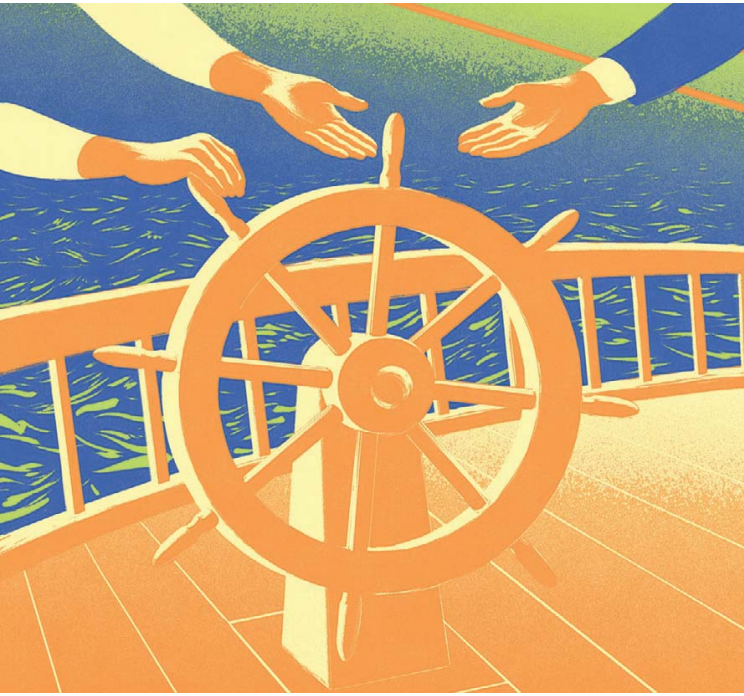
1. The fit goes both ways
The first adviser I contacted got back to me the day before my 50th birthday, and asked about our finances. After hearing the numbers, the adviser told me I had done well. Then came the bad news: The firm typically didn’t work with clients below a certain asset level, and I wasn’t even close to it. It was a sobering rejection, and made me realize that finding an adviser isn’t like hiring a contractor who actively bids for your business. Many advisory firms have a particular kind of client they serve—be it “high net worth” or company founders or some other niche. So I kept looking and found two other advisory firms that seemed promising. The first one was close to my home, but made me nervous: While the firm accepted clients regardless of account size, it was run by a lone adviser who was relatively new to the industry. The second firm, however, had several advisers on staff, a track record of nearly 30 years and, most crucially, a willingness to work with a relatively small client. After an initial meeting where I summarized our financial situation and heard the firm’s investing and planning philosophy—a systematic approach focused on growth using primarily passively managed index mutual funds—I was ready to sign on. But even though I managed our household finances, I was told I first had to bring my wife into the process to share her

questions and perspectives on such matters as risk tolerance and retirement. That made sense. After all, how can an adviser make a holistic plan if we aren’t all on the same page about our goals, our concerns or our relationship with money?

2. My finances were messier than I thought
I thought I had a pretty good handle on our finances. Then the adviser’s onboarding checklist arrived. Investment accounts were the easy part. To plan holistically for our household circumstances, the adviser wanted insurance policies, employee-benefits material, estate documents, tax information and other records that I hadn’t looked at in years or knew where to find. My filing system, such as it is, was a bit haphazard. But the exercise also had a benefit: It forced me to see the whole picture, and exposed the gaps in my system, such as a heavy tilt toward the tax-deferred savings in a 401(k) versus the posttax savings in a Roth IRA. Better to find out now rather than years from now when I’m set to retire.

3. Fee-only doesn’t mean inexpensive
I knew I wanted a fee-only fiduciary adviser because I didn’t want conflicted, commission-driven advice. What I hadn’t fully comprehended is how much an ongoing financial advisory relationship would cost. The firm that we hired charges an annual fee ranging from 0.5% to 1.25% of assets under management, assessed quarterly based on the market value of assets on the last business day of the previous quarter. It’s a fairly typical fee arrangement for fiduciary advisers, with the percentage fee falling as your assets under management rise. Right now we are on the high end of the fee scale because most of our assets are in company-sponsored 401(k)s and so remain

outside the adviser’s purview. But at some point the annual fee would rise if we choose to transfer those 401(k) savings to an individual retirement account and bring them under the advisory umbrella. The fee then will fall as a percentage of assets but the dollar amount will likely rise substantially. Thankfully that’s a decision for another day. Ultimately, for our household, we decided the cost was worth the peace of mind even if it was a bit hard to swallow. Besides portfolio management, we’re paying for retirement planning—both the accumulation and decumulation phases—tax and insurance guidance, estate planning and a sounding board for deci-



sions I had long made alone and with little regard for long-term consequences.

4. Risk is in the eye of the beholder
I went into the process primarily worried about our allocation to U.S. stocks, which far exceeded recommended norms. One of the adviser’s first recommendations

an inside view of our holdings. And he saw our portfolio risk in a different way. For example, I had always considered growth stocks to be riskier than value stocks as their valuations are typically higher and prices more volatile. But portfolio risk isn’t a zero-sum game. Concentrating too heavily in value stocks, my adviser said, creates a risk that a portfolio

won’t secure the returns needed to fund a long retirement. The lesson wasn’t about which class of stocks is safer, but rather that diversification means not only bulwarking your portfolio against downturns but also enhancing your chances of long-term success. Without taking an appropriate amount of risk, we’d be leaving ourselves vulnerable to falling short or having to scale back in retirement.

5. Letting go is hard
For half my life I made nearly every long-term financial decision for our household, from our 401(k) contribution rates to college financing for our son. Then I hired someone to essentially tell me that some of those decisions were wrong, or at least not in our long-term interest, and what changes to make. I knew I wanted to rebalance our holdings across accounts and reduce the overall risk, but selling investments that had performed well was tougher than I expected. I hadn’t realized how emotionally attached I had become to inanimate holdings or to my own sense of financial savvy. I still find myself at times checking prices of since-sold holdings—like a fantasy-football manager checking on what my inactive players are doing—but I am learning to take solace in the comfort of a better-balanced and more-comprehensive financial plan. In the months since we began working with our financial adviser, I’ve mostly adhered to the plan and taken the prescribed actions. I’m not going to blindly follow the adviser; after all, his judgment could be flawed and he has biases just like I have mine. But even if I don’t have this adviser forever, the lessons I’ve learned in working with him have been well worth the time and the money.

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The Experts

The Flaw in Your 401(k) Statement That Artificially Lowers Your Retirement Income

Savings plans must provide future income projections based only on the current balance. That may tempt younger workers to stop investing.

BY MARK IWRY
AND BRUCE E. WOLFE

YOUNG ADULTS looking to see how much income their 401(k)s will generate in retirement are often surprised to see how little the number is. What they don't know is that the number is woefully misleading.

Research suggests that savers receiving estimates of how much retirement income their plan will provide (together with other retirement-planning information) tend to be more satisfied and confident financially and to increase their retirement-savings contributions.

Under the 2019 Secure Act, 401(k) benefit statements are required to provide future income estimates annually for a retirement saver and spouse assuming a retirement age of 67.

That's better than nothing. But we believe the current regulation omits key elements that would reflect a more-realistic level of future retirement income and motivate many more individuals to save for the long term.

Artificially low estimates

The retirement-income estimates that 401(k) plans are legally required to provide are based on your current account balance. It's as if you and your employer stopped contributing to your account at the moment that estimate was made, rather than the reality that you likely will continue making contributions until you actually retire.

That means people in their 20s or early 30s, with decades of saving ahead, see only an artificially low estimate of their future retirement income—based on their current savings without any increase for future contributions and investment returns.

This unexpectedly low income estimate could surprise and discourage younger savers in particular, who might then reduce their saving rate or stop saving altogether, as they don't see the rationale for making financial sacrifices now for a marginal payday starting at retirement.

We acknowledge that some others might see the low estimate as a catalyst to invest more. But either way, the information they

are getting is incomplete.

A 31-year-old investor with a \$75,000 salary and a \$60,000 401(k) balance, for example, would still have 36 more years to

continue contributing (at an assumed contribution of 5% of pay) and ideally benefiting from market returns before retiring. But

the current required income estimate assumes none of that. In this case, the current balance would translate into roughly \$4,000 of

annual retirement income.

That's not very impressive or motivating. But if you add the future contributions and return assumptions to the estimate, the projected annual retirement income increases more than 10-fold to over \$40,000. And that's without taking any salary growth or employer matches into account. We recognize the impact of adding these assumptions will be sensitive to age and other factors that vary from person to person. Still, adding them is sure to have a meaningful impact.

Still not the standard

It's true that many 401(k) plans and providers do go beyond the legally required minimum—projecting continued contributions and investment returns (as well as salary growth).

Some even offer online tools, such as sliders that enable savers to do their own projections and gauge the effect of varying the assumptions.

These tools are great, even though they're mostly used by people close to retirement rather than younger savers.

But the first step needs to be a legally required standard set of realistic projections on the benefit statement. These should include continuing contributions, investment returns and salary growth assumptions to ensure all 401(k) participants receive annually a more useful retirement-income projection. That way, every worker will have access to the same useful information, regardless of the employer or retirement-plan provider.

Ultimately, these projections should encourage savers, especially younger ones, to conclude that sacrificing to save now will be worth the journey decades down the road.

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Investing as a high-income earner comes with its own set of challenges. Taxes can take a substantial bite out of your investment returns, so it's important to adopt tax-efficient investing strategies. In this article, we'll share some tips aimed at helping you reduce tax drag and potentially maximizing your after-tax returns.

Understanding the impact of taxes on your investments is the first step in determining a tax-efficient investment strategy.

higher your income, the more you stand to lose if you don't manage your investments tax-efficiently. For high-income earners, steeper marginal tax rates, limited deductions, and greater exposure to capital gains and estate taxes all factor in. They can significantly reduce your wealth over time, an effect known as tax drag.

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JOURNAL REPORT / INVESTING MONTHLY



Employer Insurance: Should You Keep It or Go On Medicare?

Workplace plans often cost less for basic coverage, but Medicare typically offers greater freedom and no surprises on expenses

BY GAIL MARKSJARVIS

TURNING 65 doesn't necessarily mean leaving your workplace health insurance and going on Medicare. For many Americans who work past 65, it brings a choice: Stick with your employer plan or see whether Medicare offers a better deal.

Many people are perplexed about that because they are bombarded by Medicare-related mail as they approach 65 and assume they must do something new, says financial planner Stephen Maggard of Columbia, S.C. "We call it the stack of confusion," he adds.

But there is no rule that requires a switch to Medicare for

primary insurance at age 65 unless you work for a company with fewer than 20 employees. At larger companies, people who are happy with their work insurance can stay the course until they retire or find that Medicare is a cheaper or more-predictable option.

Financial advisers suggest examining workplace plans each year during open-enrollment periods in the fall to make sure favored doctors, drugs and hospitals are still covered and that costs haven't jumped. Here are cost and other considerations.

Medicare costs

Medicare comes in three parts. There is Medicare A, which covers hospitals and which people can get free if they sign up at 65 or later—even if they are on a workplace plan. There is Medi-

care B, which people pick to replace workplace insurance for doctors, labs and services such as physical therapy. And then there is Part D, a drug insurance plan.

Part D is a government requirement for anyone over 65 who doesn't have what is called "creditable" drug insurance at work, and skipping it can inflict a penalty for life. Likewise, there are penalties if people over 65 don't enroll in Medicare within eight months of quitting or losing employer-sponsored health insurance.

The primary decision for people who are still working at 65 or older is whether to sign up through the Social Security Administration for Medicare Part B. This year the average person on Medicare B would pay \$202.90 a month in premiums, or \$2,434.80 for the year. And for that they would be able to go to doctors, have lab tests, and see physical therapists without asking an insurance company for permission.

What people pay for Part D

depends on the insurance company a person picks and the drugs they take, but the average monthly premium is \$44. So with Part A, Part B and Part D, the average individual annual price tag is almost \$3,000.

Still, there could be more expenses. Generally, Medicare pays only 80% of a person's doctor expenses and hospital coverage begins only after a patient covers the \$1,736 deductible. As a result, a serious disease such as cancer or a major surgery could be expensive. So financial planners typically advise buying a Medicare supplement insurance policy known as Medigap Plan G for people who can afford it. The premiums vary, but the national average for a 65-year-old was recently \$217 a month for a Medicare supplement, according to the Medicare Payment Advisory Commission. That would bring the annual cost to just over \$5,500.

Medicare Advantage plans are often cheaper than a Medicare/Medigap combination, but like workplace insurance, the plans typically limit patients to certain doctors, hospitals and drugs. And they make patients seek permission before certain procedures.

But the value of Medicare—with all the pieces of coverage—is that there are no surprises on expenses and freedom to pick almost any doctor or hospital without permission. When a person goes to a doctor or hospital that takes Medicare, they don't get a bill no matter how great the charge. The only thing they pay other than premiums is an annual deductible, currently \$283 for Part B, at the beginning of the year and drug charges no greater than \$2,100 for the year.

Workplace plan costs

Health plans at work are often cheaper than going on Medicare because employers pick up about 84% of the cost on average, according to healthcare researcher KFF. The employee's share for single coverage averages \$1,440, or \$120 a month. In addition, the average extra out-of-pocket spending is \$869 a year for deductibles and copays and coinsurance that occur when the patient gets medical care.

But the actual expense could be much higher if the person has significant health issues and must pay a portion each time they see a doctor or get treatment. Under federal law, in-network expenses can't exceed \$10,600 a year and KFF research finds that 72% of employees have limits no higher than \$3,000 for care within a network. If a person needs expertise outside the network, however, the cost can

be huge.

Still, assuming an employee's workplace plan simply costs a person just \$2,309 a year for premiums and out-of-pocket extra charges, switching to Medicare would cost more.

Other considerations

High-income workers often have concerns about going on Medicare because of the Income-Related Monthly Adjustment Amount—the so-called Irmaa surcharge—added to Medicare Part B and Part D premiums. If an individual has had an income over \$109,000, or a couple over \$218,000, the government requires that they pay anywhere from \$284.10 to \$689.90 a month for each person on Part B and up to \$91 a month for Part D drug plans.

Another hurdle is what to do when an employee's younger spouse is covered by a workplace health-insurance plan. If an employee wants to go on Medicare at 65, a younger spouse might not be eligible for the workplace insurance and won't be able to start Medicare until 65. So an employee might decide to keep workplace insurance instead of Medicare. Once both spouses go on Medicare, they each face their own premiums so as a couple their costs can exceed the \$6,850 that is average for workplace family coverage.

A final stumbling block can be reluctance to give up a high-deductible insurance plan at work, which allows an employee to save money for retirement in a health savings account. These accounts carry tax advantages that can exceed 401(k)s and individual retirement accounts, and when people start Medicare they can no longer contribute to an HSA. That is true even if they stay on an employer health insurance plan and sign up only for Medicare A while delaying Medicare B for the future.

An annual decision

While there is no need to dump employer insurance if it has been reliable and cheaper than Medicare, financial advisers warn older workers not to assume it will remain that way simply because it has been dependable in the past.

"A lot of people stay with their plans at 65," says financial planner Justin Henrich of Kalamazoo, Mich. "They are in good health, and the next year the plan works, and then the next year the plan works, and then a year comes when it doesn't any longer. Doctors change, drug needs and coverage change, or the person suffers a health event."

At that point, he says, a worker would be free to contact the Social Security Administration and switch to Medicare.

Gail MarksJarvis is a finance and investment writer and author in New York. She can be reached at reports@wsj.com.

Mutual-Fund Yardsticks: How Fund Categories Stack Up

Includes mutual funds and ETFs for periods ended Sept. 30. All data are final.

Investment objective	Performance (%)			
	September	3rd-qtr	1-yr	5-yr*
Diversified stock & stock/bond funds				
Large-Cap Core	-0.6	1.7	12.7	11.8
Large-Cap Growth	1.6	1.7	10.0	11.0
Large-Cap Value	-3.3	0.2	15.2	11.2
Midcap Core	-4.9	-4.8	11.7	8.0
Midcap Growth	-2.2	-6.0	1.6	2.3
Midcap Value	-6.0	-2.4	11.6	8.8
Small-Cap Core	-4.8	-7.0	13.9	6.6
Small-Cap Growth	-4.1	-9.9	11.7	2.7
Small-Cap Value	-5.6	-5.3	16.2	8.3
Multicap Core	-1.9	0.1	12.9	10.2
Multicap Growth	0.1	-1.4	8.1	7.8
Multicap Value	-4.0	1.1	16.6	10.8
Equity Income	-3.7	-0.4	12.3	9.8
S&P 500 Funds	-0.4	2.2	15.3	13.3
Specialty Divers. Equity	-0.9	2.7	2.6	3.5
Balanced	-2.2	-1.2	8.0	5.8
Stock/Bond Blend	-2.0	-1.0	9.7	6.6
Avg. U.S. Stock Fund¹	-2.2	-2.4	12.4	8.6
Sector stock funds				
Science & Technology	3.6	0.6	31.7	15.1
Telecommunication	-1.1	-0.5	13.4	8.3
Health/Biotechnology	-2.0	3.7	29.5	5.4
Utility	-5.5	-12.0	-4.0	7.3
Natural Resources	-5.8	8.3	34.7	17.9
Sector	-5.6	-5.4	4.4	2.4
Real Estate	-5.8	-6.4	4.3	1.8
Investment objective	Performance (%)			
	September	3rd-qtr	1-yr	5-yr*
World stock funds				
Global	-2.0	-0.2	11.8	8.6
International (ex-U.S.)	-3.0	-0.4	14.5	8.2
European Region	-4.6	-1.2	11.9	9.1
Emerging Markets	-0.9	-1.8	28.5	7.5
Latin American	-0.7	2.7	21.4	12.2
Pacific Region	-2.2	-2.5	15.3	4.4
Gold Oriented	-10.3	15.2	21.5	24.2
Global Equity Income	-3.3	0.1	15.2	10.4
International Equity Income	-2.8	1.6	18.6	10.4
Taxable-bond funds				
Short-Term	-0.7	-0.4	1.9	2.5
Long-Term	-3.0	-4.3	-2.9	-1.0
Intermediate Bond	-2.7	-3.7	-2.1	-0.7
Intermediate U.S.	-2.2	-2.5	-1.4	0.2
Short-Term U.S.	-0.9	-0.7	1.2	1.6
Long-Term U.S.	-3.4	-4.9	-4.2	-3.3
General U.S. Taxable	-2.6	-3.2	-1.7	-0.2
High-Yield Taxable	-2.4	-1.7	1.5	3.2
Mortgage	-2.9	-3.6	-1.1	0.1
World Bond	-0.9	0.7	1.3	1.6
Avg. Taxable-Bond Fund¹¹	-1.8	-1.6	0.1	1.4
Municipal-bond funds				
Short-Term Muni	0.1	0.9	5.0	1.5
Intermediate Muni	-3.6	-5.1	-2.1	0.04
General & Insured Muni	-4.4	-6.3	-2.5	-0.5
High-Yield Muni	-4.5	-6.4	-1.8	-0.5

Stock & Bond Benchmark Indexes All total return unless noted

Investment objective	Performance (%)			
	September	3rd-qtr	1-yr	5-yr*
Large-cap stocks				
DJIA	-4.1	-2.3	11.5	10.6
S&P 500	-0.3	2.3	15.7	13.8
Midcap stocks				
S&P MidCap 400	-4.2	-6.4	11.7	8.0
Small-cap stocks				
Russell 2000	-5.3	-7.2	16.2	6.3
Broad stock market				
DJ U.S. Total Stock Market	-0.7	1.4	15.3	12.6
Russell 3000	-0.8	1.4	15.1	12.6
Investment objective	Performance (%)			
	September	3rd-qtr	1-yr	5-yr*
Stock indexes				
DJ U.S. TSM Growth	1.2	6.0	13.8	14.3
DJ U.S. TSM Value	-3.2	-4.6	16.9	10.4
Taxable bonds				
Barclays Agg. Bond	-2.6	-3.5	-1.8	-0.6
Municipal bonds				
Barclays Muni. Bond	-4.4	-6.3	-2.7	-0.2
International stocks				
MSCI EAFE¹ (price return)	-3.3	0.3	13.0	6.5
Dow Jones World (ex. U.S.)	-2.5	0.5	18.8	9.0

* Annualized ¹ Diversified funds only ¹¹ Excludes money-market funds ¹ Europe, Australia, Far East

Source: LSEG

The Experts

How to Keep Your Estate Plan From Tearing Your Family Apart

It’s often the stuff you haven’t even thought of that can create the biggest divisions

BY JONATHAN I. SHENKMAN

AN ESTIMATED \$105 trillion will pass from older Americans to their heirs by 2048. But too often, inheritances spark disputes over issues many families rarely consider in advance—such as caregiving, prior financial assistance and other family dynamics.

In my experience as a financial adviser, I’ve seen these issues create strife and divisions that can last a lifetime. So here are some steps for a thoughtful (and hopefully, litigation-free) execution of an inheritance plan.

Pay caregivers in real time

A child who spends years providing hands-on care to a parent (or both parents) often sacrifices income and career advancement in the process.

Rather than settling that account later through a larger inheritance, or leaving the caregiver bitter at an equal share, parents should establish a written caregiver contract with a set rate and a fixed schedule for payments.

The contract should be drafted with an elder-law attorney to avoid jeopardizing a parent’s Medicaid eligibility or triggering any gift-tax issues.

Done this way, the caregiver is compensated in real time, not retroactively, and the eventual estate can then be split evenly. Maintaining clear communication, transparency and documenting the arrangement helps prevent misunderstandings and jealousy among siblings and ensures that the parents’ wishes are honored.

Log each lifetime gift in a shared place

School tuition payments for children and grandchildren, down payments for home, and business loans made to one child years earlier are common sources of disputes among heirs. The amounts and dates of these gifts can become contested once a parent is gone.

The fix is mechanical: Record each gift, with the date and dollar figure, in a single spreadsheet or ledger within 30 days of the transfer. Decide up front, in writing, whether such gifts count as an advance against the inheritance or stand apart from it—and state your justification for either decision. Then apply that rule consistently for each child.

Consider account type and asset class

Two heirs can inherit equal gross amounts and walk away with very different net outcomes depending on which assets they receive.

For instance, a Roth IRA passes income tax-free. Traditional IRAs and 401(k)s don’t.

Also, under the Secure Act’s 10-year rule, most nonspouse inheritors of a traditional IRA or 401(k) must empty the account within 10 years of the original owner’s death. On top of that, if the original owner had started taking the required minimum distributions, the IRS also requires annual distributions in years one through nine, not just a single withdrawal in year 10.

While a Roth IRA must also be

ize after-tax values.

Real estate can also get tricky. Inherited property benefits from a step-up in cost basis—meaning the heir owes capital-gains taxes only on the growth of the property’s value starting on the time of the owner’s death. This erases capital-gains taxes on decades of appreciation. But inherited real estate also brings property-tax obligations, maintenance and illiquidity that not every heir can manage.

So when giving different assets, consider the net value of that asset—not its face value.

Set structure, not just a dollar amount

Matching the structure of the inheritance to heirs’ individual circumstances can be more valuable than equal treatment.

risk-averse heir might also prefer a predictable amount each month over managing a portfolio.

Conversely, a child who handles money well and wants the flexibility to invest, start a business or buy a home is the better candidate for a lump sum.

A trust similarly lets parents give equal dollar values while applying different terms to each child: For instance, an outright distribution to one adult child, staged payouts to another, and built-in protections against creditors, divorce or addiction for a third.

Write down and discuss intent

Ultimately, one of the biggest predictors of postdeath conflict is whether inheritance decisions were explained before death.

Parents should schedule a meeting, led by an estate attorney or family governance consultant for larger estates, to explain their estate plans to their heirs, revisiting the conversation as estate plans evolve. The conversation doesn’t require disclosing dollar figures; it requires stating rationale.

Planning an explicit window for questions surfaces disagreements while parents can still respond to them directly, rather than leaving them to surface for the first time at a reading of the will.

Writing a short letter of intent that states the reasoning behind gifts, caregiving recognition, business decisions and any other unique circumstances also helps heirs understand the logic and avoid conflict.

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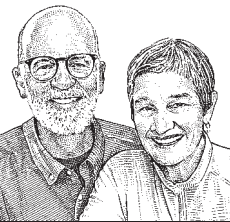
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Retirement Rookies • Stephen Kreider Yoder and Karen Kreider Yoder



Stephen Kreider Yoder, a longtime Wall Street Journal editor, joined his wife, Karen Kreider Yoder, in retirement in late 2022. In this monthly column, the 69-year-olds chronicle some of the issues they are dealing with early in retirement.

STEVE: A menu of worries scrolled through my head as I sat with my coffee one recent morning. The usual. Health, house, offspring, politics, the meaning of life.

Whoa, I told myself, just hold on! One usual was missing.

Inflation.

I thought back. I couldn't remember worrying about inflation since late winter—I, who had worried lifelong about running out of money.

There were plenty of reasons for concern, I couldn't escape them. Energy prices up, food costs rising, contractors charging more. I paid \$115.57 for a can of premium house paint—twice as much as I remember paying a few years ago.

"Should I be worried that I'm not worried about inflation?" I asked our financial planner, Michael, on a video call. "No. You're in a position strategically to stay ahead of inflation," he said.

"Does it worry you that I'm not worried?" I asked Karen, who has tolerated my money fears for 47 years. "No!"

But, we pondered, what factors allowed me to be blasé? Among our answers:

→ **Michael.** Four years into retirement, I'm enjoying the benefits of delegating money matters. I don't watch markets or much financial news. Our conservatively invested short-term funds should carry us until inflation reverts to its mean, Michael tells us, and our long-term funds in stocks are beating inflation. "We still won't run out before we die?" I asked. His reply: "100%," if we maintain our spending patterns.

→ **Abstinence.** When I think, "Wow this has gotten expensive," my advice to myself is, "Well then don't buy it, dummy." At O'Hare Airport in August, I needed a latte for a lay-*

over until I saw the price and realized I didn't need it after all. I drank free coffee on the plane.

→ **Downsizing.** We aren't buying tangible things as much. I enter an antique store and find must-haves—a pristine Underwood typewriter, a vacuum-tube radio—then remind myself that we're trying to get rid of stuff, and the urge passes.

→ **Gas.** Pump prices seldom hit us directly. We ditched our car in 2020, using bicycles and city buses for most of our getting-about, renting cars occasionally. Being carless also spares us inflation in maintenance and insurance, and we can't drive to malls and their inflated temptations.

→ **Planes.** Flying was a big expense until this year. I've ridden 22 airplanes so far in 2026, to the Midwest, East Coast and Japan. For all but two, I used frequent-flier miles I hoarded for decades as if they were part of my retirement portfolio.

→ **Fun.** Most of our recreation near home is cheap or free. We spend hours a week in parks and at the ocean. Recreational travel is mostly on the tandem bicycle; campgrounds on our routes are low-cost, and the riding is next to free.

→ **Restaurants.** I hate scowling at menu prices. So we eat out half as often and don't worry about the bill. We boycott restaurants that automatically add a 20% gratuity and presumptuously suggest we tip still more. Karen's cooking is better anyway.

→ **Repairs.** Labor costs are up, and our aging devices are balking. So I try fixing things myself. I have time and enjoy it. I've repaired our fridge, dishwasher, vacuum, toaster, sewing machine and bikes.

→ **Ballgames.** We stopped going. The beer costs too much, and the San Francisco Giants, well, let's not talk about them.

→ **Living like poor newlyweds, sorta.** Acts of fru-

gality have a comfortable familiarity. It's how we lived in our first decade of marriage, spending like college students long after we had good salaries.

Those were precious years of work and fun, and we can't recall anything we regret having not bought. The funds we squirreled away back then help buffer us from inflation in retirement now. (See "Michael," above.)

KAREN: I must live in an alternate universe. Friends stew about rising costs, but I'm not feeling it much.

For a reality check, I walked a block to our commercial street. At a cafe, I found a coffee for \$7, a pastry for \$8.50. At a boutique, a notecard was \$7. A bowl of noodles nearby, \$15. Yikes.

I went home empty-handed. I can make coffee. I bake my own pastries. I create my own notecards.

Retirement has put me in a world where life doesn't demand my buying as many things anymore, and where time can replace money.

When I feel the urge to buy something, I ask myself if I really need it. If I don't, I use Steve's multipurpose counterinflation mantra: "Well then don't buy it."

During my years as teacher and professor, I needed nice clothing and stylish, comfortable shoes. In retirement, with more-casual events and less wear-and-tear, I'm fine with a pared-down clothing portfolio. Some retirees seem to keep closets full of new outfits, as if maintaining workplace identities. They must face inflation in ways I don't.

I don't need to update my technology as often, either. Professional life demanded a reasonably current computer. My aging Mac could use an update, but do I *need* a new one? Sigh, not now. I'll wait a year.

My school-year schedule forced us to travel during peak times. We've now discovered budget-friendly weekday travel between holidays. We used to travel home from Kansas the weekend after Thanksgiving—peak of peaks. This year, we will board the

train in Kansas on a Wednesday after the holiday, for a lower fare and a scenic ride to California.

Back home, retirement gives me an inflation-fighting currency: time. Getting around by driving or taking an Uber is fast but no

cheaper for retirees. We're not in a hurry now, and we can get 50% senior discounts on city buses.

I have more time to shop for and prepare food. I have time to buy in bulk and to watch for good deals at the supermarket.

There is more time to forage. At a local farmers-market stand, the pristine regional fruit was pricier than a few months ago. I spotted a box on the ground with rejected fruit, a little riper or blemished.

"What do you do with this?" I asked the seller. "Compost it," he said. May I have it, I asked sheepishly—to dehydrate and to make jam, I explained. Sure, he said. "If you come back later, we'll have more."

I turned perhaps \$50 worth of produce into dried fruit, jam and an apricot pie.

On a sidewalk near home, I spotted a cardboard box with wide-mouth Ball jars. I sterilized them, perfect for making yogurt in, to give to friends with my homemade granola. The cost of yogurt we make is about \$1.50 a quart. Plus time, but I've got that.

I splurge on a few things that have risen in price. I buy the best quality thread. I get hand-roasted coffee for \$14.50 a pound from a friend's son in Oregon. Some of my dresses are from a fair-trade group, hand-dyed fabric designed and sewn in Kenya. I'm supporting women and their families, which transcends inflation.

Inflation-defying frugality is especially easy on the long bike tours that our currency of time allows us. Not only are the travel costs low, we have no space for souvenirs. I wash and wear the same bike clothes for months—no temptation to buy new outfits—and we're too scruffy for fancy restaurants.

The entertainment of the open road is inflation-free, and priceless.

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